

بنك أبوظبي التجاري
ADCB

Abu Dhabi Commercial Bank PJSC
2013 Annual Report

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His Highness
Sheikh Khalifa bin Zayed Al Nahyan

President of the United Arab Emirates and Ruler of Abu Dhabi
Supreme Commander of the UAE Armed Forces



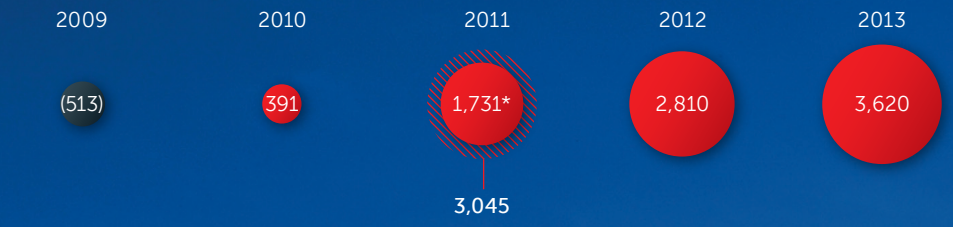
His Highness
General Sheikh Mohammed bin Zayed Al Nahyan

Crown Prince of Abu Dhabi
Deputy Supreme Commander of the UAE Armed Forces
Chairman of the Abu Dhabi Executive Council

FINANCIAL HIGHLIGHTS

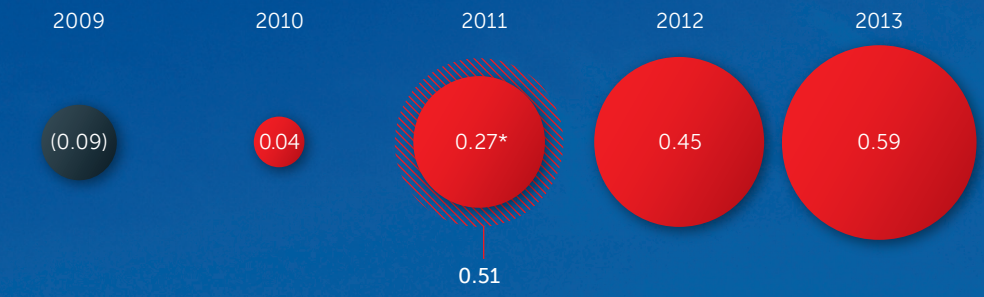
NET PROFIT (AED MN)

29%
increase in the past year



BASIC EARNINGS PER SHARE (AED)

31%
increase in the past year



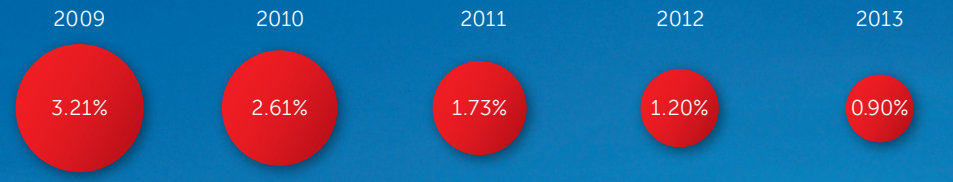
COST TO INCOME RATIO**

32.22%
in 2013



COST OF RISK

0.90%
in 2013



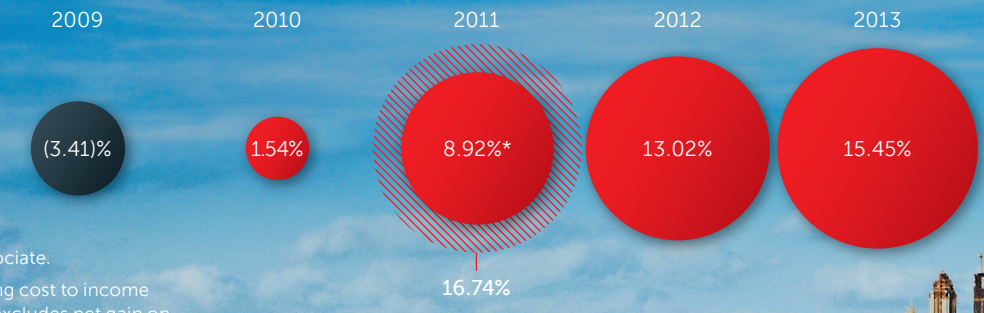
TOTAL CAPITAL ADEQUACY RATIO

21.21%
in 2013



RETURN ON EQUITY

15.45%
in 2013



*Normalised to reflect sale of investment in associate.

**Operating income for the purpose of calculating cost to income ratio includes share of profit of associates but excludes net gain on sale of investment in associate.

AMBITION+ DISCIPLINE

In addition to its financial assets, there are certain intangible qualities that a bank has to have if it really wants to deliver sustainable returns for shareholders and play a valuable role in the lives of its customers.

At ADCB, we believe that few qualities are as important — especially when combined — as ambition and discipline. The way we understand it, ambition is the desire for achievement and the willingness to strive for its attainment. Discipline means responsibility and taking a course of action based on principle and control. At ADCB, we are ambitious for our shareholders and customers. We value the investment and trust of our shareholders and work hard towards achieving sustainable success of our businesses. At the same time, we are disciplined in finding ways where we can add our financial resources and expertise to our customers' dreams and aspirations so they can become a reality.

We are equally ambitious for ourselves as an organisation. As one of the UAE's leading banks, ADCB's competitive standing and reputation stem from our ambition to be the best. The Bank's financial strength, risk management, governance and performance are directly attributable to a discipline that regularly brings prosperity and safety to our shareholders and customers. Ambition and discipline drove ADCB's record results for 2013. They frame our optimistic outlook for the future.





On behalf of ADCB's Board of Directors, I am pleased to report that the Bank achieved record results in 2013 with a net profit of AED 3,620 mn, up 29% from 2012.

These results reflect strong underlying performance across all ADCB operations and reinforce ADCB's position as one of the leading banks in the UAE, where our financial strength provides a clear competitive advantage. In 2013, ADCB differentiated itself and benefited as economic conditions began to improve and as uncertainties stemming from the global economic recovery and regional politics began to subside.

ADCB is a leading institution with a vision and strategy for the future. Our 2013 results demonstrate the Bank's ability to achieve the goals we set for ourselves. With a strategy and business model that form a strong foundation to build on, ADCB is an ambitious and secure bank, and our employees are very well equipped to help their customers achieve their financial goals. In this pursuit, ADCB plays a fundamental role in helping Abu Dhabi, the UAE, and their businesses and communities to prosper.

ADCB's strong performance also reflects the Bank's commitment to the Abu Dhabi Economic Vision 2030. ADCB moves in concert with the Vision's policy agenda and principles, as well as with its stated goal that the emirate should become a shining example on the international business stage.

As a result of the Bank's continued healthy financial position and capital base, and the strong performance of the Bank's core businesses in 2013, the Board has recommended a 30% cash dividend, subject to approval by the shareholders at the Annual General Meeting and the UAE Central Bank.

The Board met in October 2013 to review the Bank's strategy. Following that review, the Board and management reaffirmed the Bank's existing strategy, subject to certain adjustments necessary to enable the Bank to maintain its share of a market that is increasingly competitive. The Board and management continue to believe that the Bank's strategy and business model provide a solid foundation from which to implement the Bank's objectives and will enable the Bank to generate strong and sustainable returns on a continuing basis. In particular, the Board and management believe in the importance of excelling in service quality in the Bank's core business areas, as well as maintaining strong discipline in the Bank's operations, particularly in our approach to risk management. The Bank will continue to position itself as disciplined, efficient, safe and secure, and it is well-placed to deliver sustainable returns to investors.

In 2013, the Board also worked to maintain and extend the strong governance culture across the Bank. In particular:

- The Board continued to focus on its own engagement and effectiveness, through various efforts including regular evaluations, professional development, and improving boardroom processes and practices.
- Continued efforts were made to improve risk and remuneration governance.
- The Board's Corporate Governance Committee worked on embedding the governance culture across the Bank, particularly in the areas of risk management, remuneration, Islamic banking, transparency and product governance.
- The Board remained highly engaged, having met (either in full Board or Committee meetings) 56 times in 2013. The Board visited several branches and operations functions, and held off-site strategy sessions.

More details of these efforts are described in the Corporate Governance section of this report.

The Bank published a sustainability report in 2013. The Board appreciates the need for local and regional banks to be strong and secure to continue contributing to the development of local and regional communities and economies.

During 2013, the Bank continued to focus on attracting, training and retaining high-calibre UAE national talent across all levels of the Bank. At the end of 2013, 40% of the Bank's staff were UAE nationals.

The Bank remains committed to contributing to the development of the UAE banking sector, and on behalf of the Board, I extend our most sincere appreciation and gratitude to His Highness Sheikh Khalifa bin Zayed Al Nahyan, the UAE President and Ruler of Abu Dhabi; to His Highness Sheikh Mohammed bin Zayed Al Nahyan, Abu Dhabi Crown Prince and Deputy Supreme Commander of the UAE Armed Forces; to His Highness Sheikh Mansour bin Zayed Al Nahyan, Deputy Prime Minister and Minister of Presidential Affairs; and to the UAE Central Bank for their continued support for ADCB and the development of the UAE economy. I also extend the gratitude and appreciation of the Board to our shareholders, valued customers, and the ADCB executive management team and employees for their continued dedication and commitment.

Eissa Mohamed Al Suwaidi
Chairman



It gives me great pleasure to report another year of delivering strong results at ADCB. Even as economic challenges persisted, we continued building the foundation for sustained growth and profitability, and we produced excellent returns for our shareholders.

Our success reflects the efforts of our Board members, executive management team and employees, who bring our values to life every day. They were guided, as always, by our strong vision of creating the most valuable bank in the UAE.

A SOLID FOUNDATION

2013 was another eventful year with many challenges. Much was achieved: as planned, credit quality was improved and risks reduced; cost management was disciplined; and we made further progress maintaining our strong capital structure. In a competitive market environment, we laid the strategic foundations for future growth and profitability. Implementing these measures rigorously will be a key goal for the Bank in the coming years.

ADCB has a strong and conservative balance sheet that gives us the platform to accelerate business growth and concentrate on the products and services that matter most to our customers. Throughout the year, we optimised the overall quality of our loan book to maximise returns and minimise risks.

Our capital is at industry-leading levels. We ended 2013 with a Tier 1 capital ratio of 16.62%.

We have more than adequate capital today to support our strategic growth plans, and we are well–positioned to return excess capital to our shareholders via dividends and share buybacks. In 2013, we bought back 7.02% of the issued share capital, which resulted in an EPS uplift of 7% on a pro-forma basis.

GROWING REVENUE

We continued to deliver strong operating performance in 2013, with operating income up 11% to AED 7,320 mn. ADCB's revenue growth is a direct result of our customer-centric focus. We put customers first and help them succeed financially. When we do this, we enhance relationships, build loyalty and earn trust. When we do it right, our customers bring us more business and we earn more revenue to support our operations and grow our earnings.

MANAGING OUR COST BASE

During 2013, the Bank's cost-to-income ratio was 32.22% and we continued to invest in our businesses. We manage our expenses well — not by cutting costs that are critical to business, but by making sure that everything we do is as efficient and simple as possible. We spend money on what really matters to our customers and invest in the things that help us grow revenue, including our people, systems, processes and infrastructure.

MANAGING RISK

ADCB has a strong risk-management culture, and in 2013 we observed improvements in credit quality across major consumer and commercial portfolios. As at 31 December 2013, our collective loan impairment allowance balance was AED 2,640 mn and 1.96% of credit-risk-weighted assets, in excess of the UAE Central Bank directive for banks to increase the level of collective impairment allowance to 1.50% of credit-risk-weighted assets by 2014. In line with our current provisioning policies, we will continue to reassess loss history and probability of default and loss given default in various portfolios at each reporting period, and we remain prudent in building adequate provisions based on our understanding of the portfolio and current economic conditions.

OUTLOOK AND PRIORITIES OF 2014

The UAE market continues to remain intensely competitive, yet the prospects of economic growth in 2014 are promising. We have consistently demonstrated our competitive advantage and remain confident that our strong and conservative balance sheet will provide a platform for future growth.

We continue to focus on our strategic objectives, and we will take advantage of future economic improvements to capitalise on value-adding opportunities for our shareholders and to contribute to the UAE economy as a whole.

Ala'a Eraiqat
Chief Executive Officer
Member of the Board of Directors

CFO'S MESSAGE



ADCB has once again delivered solid income and profit growth in line with the Bank's well-defined long-term strategy. ADCB's 2013 record results demonstrate that our strategy is working.

2013 was our fourth consecutive year of strong financial results. The Bank's performance during this period reflects the emphasis we place on sustainable growth and the focus we have on fundamental banking principles. Our balance sheet is managed conservatively, and loans and advances are diversified across all economic sectors to minimise risk. We are resilient, control costs efficiently and are always looking for ways to build capital for our businesses, improve shareholder returns and offer the best products and services to our customers.

ADCB's net profit in 2013 was AED 3,620 mn, up 29%, and our basic earnings per share was AED 0.59 for 2013, up 31% from 2012. The Bank's operating profit before impairment allowances increased to AED 4,961 mn in 2013, up 10%, from 2012. The 4% increase in net interest and Islamic financing income to AED 5,429 mn and 36% increase in non-interest income to AED 1,890 mn reflected the diversity of our business model.

In 2013, the Bank's retail portfolio grew across all products by AED 3,900 mn, up 23%, in an extremely competitive environment. Our customer deposits grew to AED 115,428 mn, up 6%, in 2013. We also continued to focus on maintaining a strong and conservatively positioned balance sheet driven by our strategy, which resulted in a stable loans-to-deposit ratio of 114% at the end of 2013.

Credit quality continued to improve during 2013, as the overall financial condition of businesses and consumers strengthened and the economic sectors affected by the recession improved. Non-performing loan ratio was 4.1% compared to 5.4% a year earlier, and provision coverage improved from 82.2% to 109.7%. Past due but not impaired loans showed a significant decline of 50% in 2013 and total impairment charges were 22% lower year-on-year in 2013.

As at 31 December 2013, the Bank's total equity was AED 24,821 mn, and total Tier 1 capital was AED 24,408 mn under Basel II, or 16.62% of total risk-weighted assets. Liquidity remained strong with a liquidity ratio of 22.8%, and we were a net lender of AED 8.5 bn in the interbank markets at the end of 2013.

Our business is growing, and the progress we have made gives us confidence as we move ahead. Every year, ADCB finds better ways of delivering the right products and services to our customers and attractive returns to our shareholders.

Deepak Khullar
Group Chief Financial Officer



Capital Gate Tower, Abu Dhabi

AMBITION+ VISION

ADCB's vision is to be the bank of choice in the UAE. We work hard every day to earn the trust and confidence of our customers, as well as that of the many communities we serve. Our breadth of products and services, combined with our expert advice, financial strength and disciplined risk practices, allows us to offer our clients the best of ADCB in order to meet all of their financial needs. In doing so, ADCB supports the implementation of the goals and objectives of UAE Vision 2021 and Abu Dhabi Economic Vision 2030.

Abu Dhabi Ports Company, Abu Dhabi Terminals

AMBITION+ TRADE



Photo Credit: Abu Dhabi Terminals
*Khalifa Industrial Zone Abu Dhabi



In December 2013, Abu Dhabi Terminals (ADT) marked an important milestone as the millionth container came ashore at Khalifa Port, one year after the port was officially opened at the end of 2012. ADCB has provided major banking and financial services for Khalifa Port, the region's first semi-automated and one of the most technologically advanced container terminal, and KIZAD's* Zone A expansion, a USD 7.2 billion project. The Khalifa Port Container Terminal is one of the pillars of the government's plan to grow and diversify the economy as laid out in the Abu Dhabi Economic Vision 2030. Together with the adjacent KIZAD industrial zone, the port is expected to contribute 15% of non-oil GDP, according to Abu Dhabi Ports Company.



AMBITION+ GROWTH

Small and medium-sized enterprises — SMEs — make strong contributions to economic growth throughout the UAE. Romana Group is ranked as one of the Dubai SME 100, and it produces more than 600,000 bottles of water per day, serving 250,000 customers through 6,000 retail outlets. ADCB has been actively engaged with Romana in its growth plans and provides working capital, trade and heavy-equipment finance, as well as personal financial services for the company's employees.



Romana Group manufacturing plant

AMBITION+ HOSPITALITY



Park Hyatt Hotel, Abu Dhabi

In Abu Dhabi, the Tourism Development & Investment Company (TDIC) is the organisation mandated by the government to develop the emirate's tourism industry. TDIC is behind some of Abu Dhabi's most prestigious projects, including Saadiyat Island. Saadiyat will host premium residential, hospitality, education, retail and leisure brands, combined with the world's largest concentration of cultural institutions. TDIC's Park Hyatt Abu Dhabi Hotel, pictured here, is one of the first hospitality venues to be completed on Saadiyat, and in 2013 it was voted "Best Luxury Hideaway Resort" by the renowned World Luxury Hotels Awards organisation. The Bank is one of the principal providers of financial services to TDIC and also serves other companies within the hospitality industry.

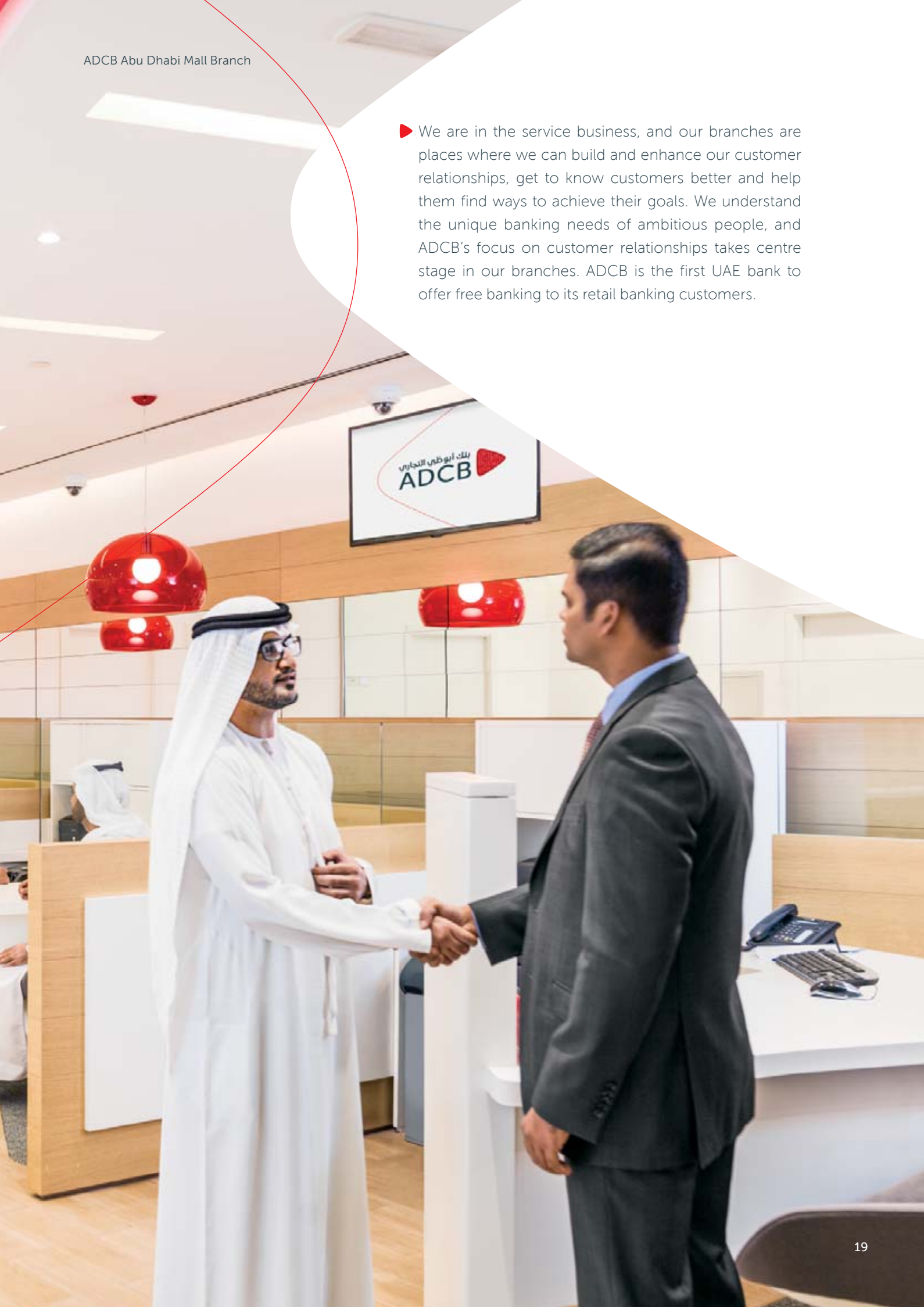


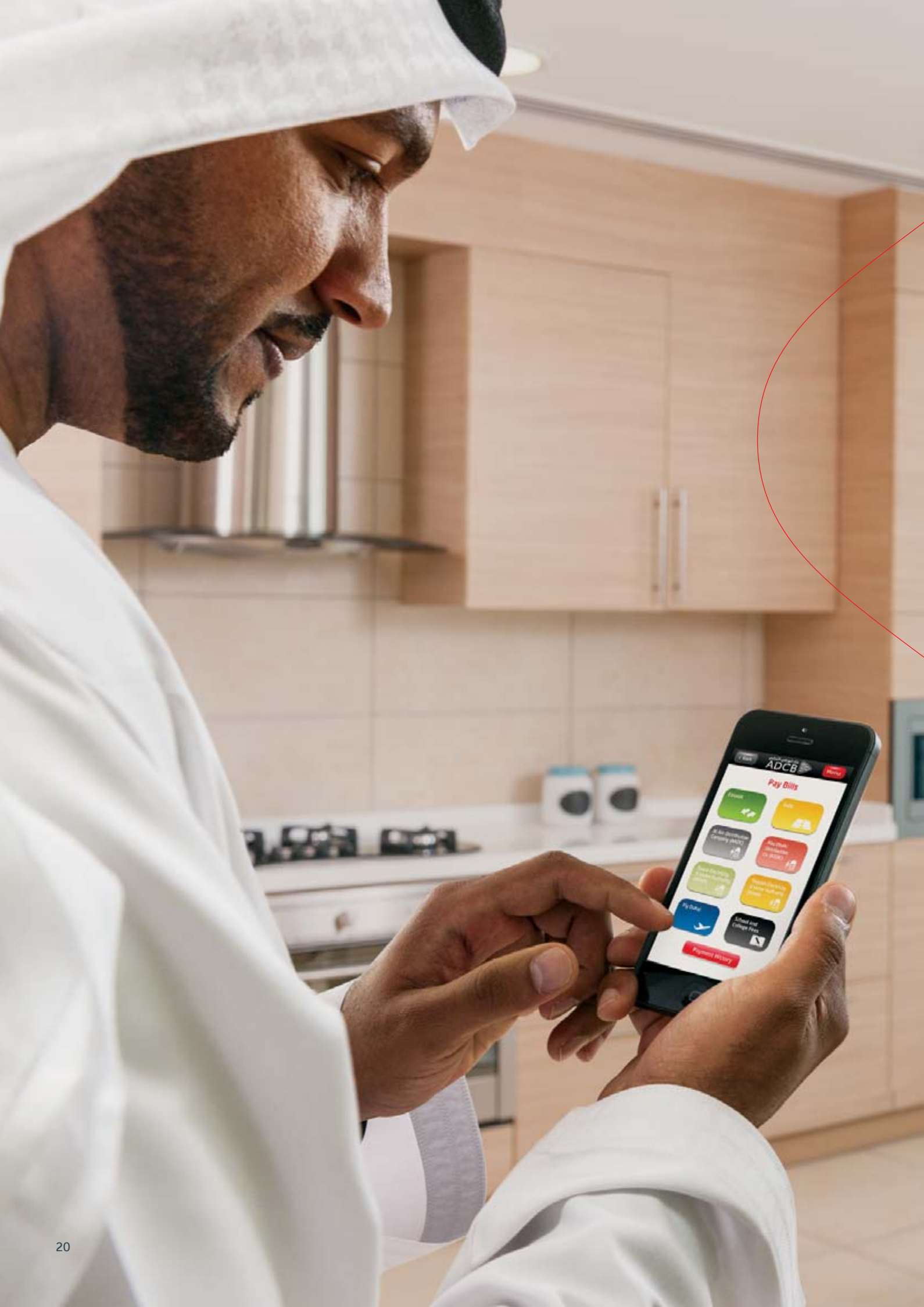
AMBITION+
SERVICE



ADCB Abu Dhabi Mall Branch

We are in the service business, and our branches are places where we can build and enhance our customer relationships, get to know customers better and help them find ways to achieve their goals. We understand the unique banking needs of ambitious people, and ADCB's focus on customer relationships takes centre stage in our branches. ADCB is the first UAE bank to offer free banking to its retail banking customers.




ADCB
Pay Bills

AMBITION+ TECHNOLOGY

Consumer banking preferences have been increasingly shifting toward mobile and digital channels as technology continues to transform the way financial services are obtained. In this environment, ADCB has designed award-winning online banking and mobile banking solutions to make customers' 24/7 banking experience convenient and easy. With mobile and personal Internet banking, customers can check balances, transfer money anywhere across the globe, pay bills, and do a lot more with greater efficiency. Over 70% of our customers now access bank services through their smart phones and mobile devices.

Our award-winning Mobile Banking App is available for download in most app stores.



AMBITION+ CITIZENSHIP

ADCB provides support to charitable organisations through direct donations and sponsorships, fund-raising, volunteerism and other forms of outreach. For the past four years, ADCB has been the proud sponsor of Ghantoot Pink Polo Day, an event dedicated to raising awareness of breast cancer in the UAE. All funds raised at Pink Polo Day go to Pink Caravan, a committee-run campaign that aims to raise funds to continue outreach programmes and support breast cancer awareness.



His Highness Sheikh Falah bin Zayed Al Nahyan, Chairman of the Ghantoot Racing and Polo Club, leads ADCB to victory at the Pink Polo Championship in Abu Dhabi.


ADCB


1
Deliver strong profitability
2
Deliver consistent and attractive shareholder returns
3
Develop resilience and deliver low earnings volatility
4
Develop and capture sustainable efficiency
5
Be the bank of choice of our customers
OUR AMBITION:
Creating the most valuable bank in the UAE

AMBITION+ STRATEGY

HOW WE MEASURE

We regularly measure ourselves against our strategy to become the most valuable bank in the UAE using a range of key performance indicators (KPIs) listed below.

2013	2012
15.5%	13.0%

Return on equity*

2013	2012
118%	15%

Total shareholder return*

2013	2012
0.59	0.45

Basic earnings per share (AED)

2013	2012
32.2%	31.4%

Cost to income ratio*

*Figures have been rounded.

DELIVERING ON OUR STRATEGIC ASPIRATIONS

As we did last year, the Board and management continued to focus on ADCB's five strategic aspirations in 2013. Building a business with profitability, growth and principle requires a balanced strategy, flawless execution and precise measurement:

- Deliver strong profitability
- Deliver consistent and attractive shareholder returns
- Develop resilience and deliver low earnings volatility
- Develop and capture sustainable efficiency
- Be the bank of choice of our customers

Our continuing strategy is to create the most valuable bank in the UAE. By prioritising customer relationships, we build maximum value for our customers and shareholders. At the Group level, we outlined strong corporate governance, ambitious but achievable financial goals, and a clear rubric to measure progress. Our goal is to meet or exceed our own standards and establish new benchmarks for the industry, measured against a number of key performance indicators reported in this annual report.

To achieve our strategic aspirations, the Board sets the strategic direction of the Bank, which the senior management uses to design the Bank's annual strategic plan and prepare the annual budget for their approval. Thereafter, quarterly updates are provided by senior management to the Board to monitor progress and permit any necessary modifications or adjustments in strategic direction.

- Return on Equity (ROE) — We focus on growing our business where risk-adjusted returns are maximised and capital is efficiently deployed to increase ROE.
- Total Shareholder Return (TSR) — TSR is recognised as one of the best measures of achieving a good return by investing in a specific company and is reflective of the company's performance across various KPIs.
- Basic Earnings Per Share (EPS) — Efficient capital management is core to our strategic aspirations. In 2013, we commenced our share buyback programme and bought back 7.02% of the issued share capital. This resulted in an improvement to EPS of 7% on a pro-forma basis.
- Cost to Income Ratio — We made important changes to our core processes and introduced specialist management techniques to do more with less, and thus became more efficient while still investing in our businesses.
- Customer Loyalty and Satisfaction — In 2013, we instituted a change management programme designed to elevate quality and simplify solutions to enhance the customer experience, embracing a new customer-oriented business measure, the Net Promoter Score (NPS). This is currently being implemented and the score will be available in 2014. In 2012, under the previous methodology, the Bank measured customer loyalty and satisfaction, which was 93%. Our philosophy is based on listening to what customers are saying about their experiences with ADCB, and then reacting accordingly to drive meaningful improvements in business performance.

RETURN ON EQUITY

is calculated as the profit attributable to equity shareholders as a percentage of average shareholders' equity.

TOTAL SHAREHOLDER RETURN

measures the growth in share price plus dividends paid to shareholders during the year.

BASIC EARNINGS PER SHARE

is calculated as profit attributable to equity shareholders of the Bank as divided by the weighted average of the equity shares in issue during the year.

COST TO INCOME RATIO

is calculated by dividing operating expenses by operating income.

OUR PORTFOLIO*

CONSUMER BANKING: 42%

comprises retail, wealth management and Islamic financing. It includes loans, deposits and other transactions and balances with retail customers and corporate and private accounts of high net worth individuals and funds management activities.



TREASURY & INVESTMENTS: 28%

comprises asset liability management (ALM), management of the Bank's investment portfolio, and interest rate, currency and commodity derivative portfolios.

Treasury & Investments manages the Bank's funding and centralised risk management activities through borrowings, issuance of debt securities and use of derivatives for risk management. It also undertakes trading and corporate finance activities and investing in liquid assets such as short-term placements, corporate and government debt securities.

*Based on operating income



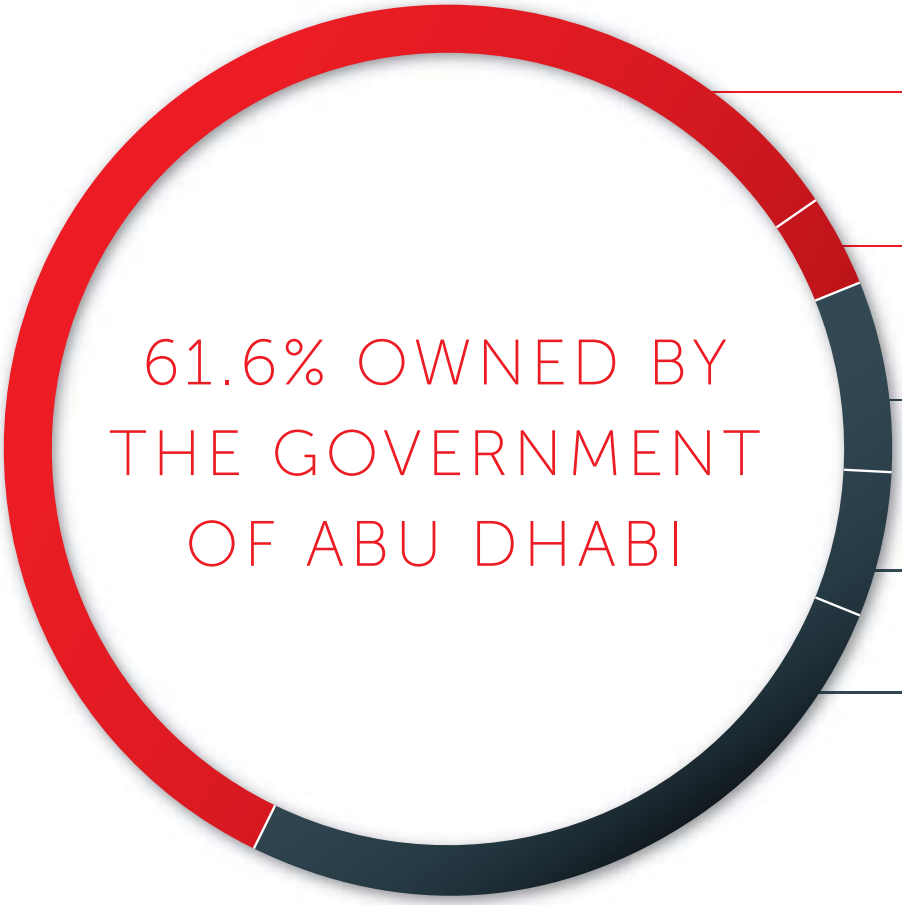
WHOLESALE BANKING: 26%

comprises business banking, cash management, trade finance, corporate finance, small and medium enterprise financing, investment banking, Indian operations, Islamic financing, infrastructure and asset finance, government and public enterprises. It includes loans, deposits and other transactions and balances with corporate customers.

PROPERTY MANAGEMENT: 4%

comprises real estate management and engineering service operations of subsidiaries — Abu Dhabi Commercial Properties L.L.C., Abu Dhabi Commercial Engineering Services L.L.C., investment properties and rental income of ADCB.

OUR OWNERSHIP STRUCTURE



ABU DHABI INVESTMENT COUNCIL (ADIC)
58.08%

ABU DHABI GOVERNMENT ENTITY
3.51%

ABU DHABI COMMERCIAL BANK
Held as Treasury shares as part of the share buyback programme
7.02%

FOREIGN INVESTORS
5.13%

FREE FLOAT
Individuals, corporates, and UAE Royal Family members
26.26%

OUR RATINGS

A/A-1/Stable
S&P

A+/F1/Stable
FITCH

AAA/P1/Stable
RAM

15.5%

Return on equity*

95%

Loan book in the UAE*

118%

Total shareholder return*

*Figures have been rounded.

NET PROFIT (AED MN)



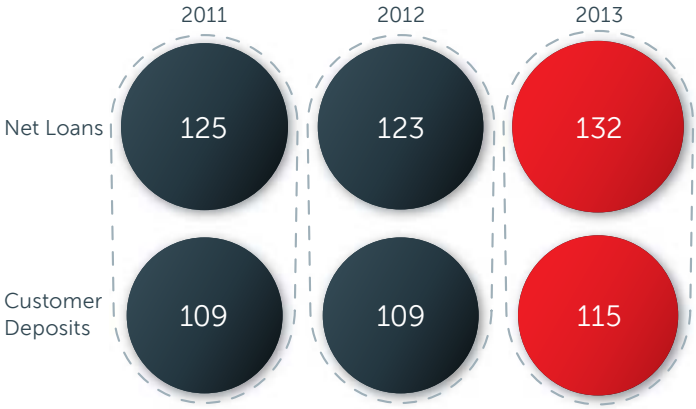
*Excludes AED 1,314 mn on sale of investment in associate.

AMBITION+
RESULTS

RESULTS HIGHLIGHTS

LOAN AND DEPOSIT GROWTH (AED BN)

Net loans increased 7% and customer deposits increased 6% in 2013



TOTAL OPERATING INCOME (AED MN)

11% increase in 2013



ADCB's results not only reinforce our position as one of the UAE's strongest and most successful financial institutions, they determine how large a role we can play in helping our customers, communities and the UAE to prosper with a sense of safety and security in line with the Bank's long-term strategy.

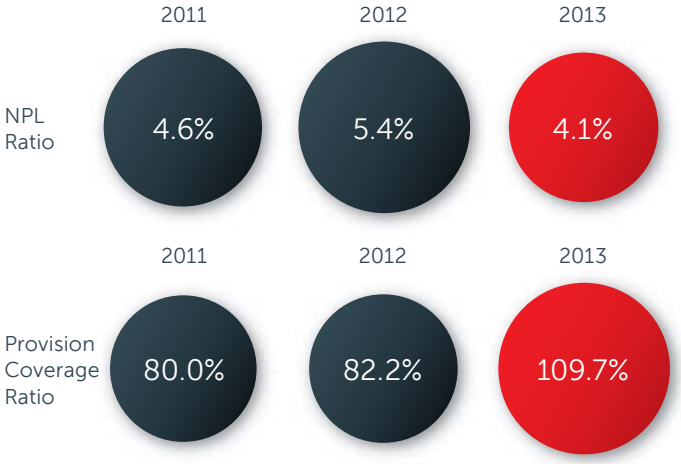
ADCB delivered record results in 2013. The Bank earned AED 3,620 mn in net profits, compared to AED 2,810 mn in 2012, and basic earnings per share rose to AED 0.59 — up 29% and 31%, respectively, for the year. Total operating income increased 11% over 2012 to AED 7,320 mn. Dividend per share was AED 0.30 in 2013, an increase of 20% over 2012.

The Bank's results reflected strong underlying performance throughout its business segments and were driven by strong lending and deposit growth in our Consumer and Wholesale Banking businesses, as well as increased capital markets activity in the Treasury & Investments Group. Customer deposits grew 6% to AED 115 bn and net loans increased 7% to AED 132 bn as at 31 December 2013.

As our results indicate, ADCB has a strong and conservative balance sheet, one that gives us the platform to accelerate business growth and indicate how we optimise the overall quality of our loan book to maximise returns with minimal risk as reflected in our improved provision coverage ratio of 109.7% and non-performing loan ratio of 4.1% at the end of 2013.

NON-PERFORMING LOAN (NPL) AND PROVISION COVERAGE RATIOS*

NPL ratio improved to 4.1% and provision coverage ratio increased to 109.7% at the end of 2013



DIVIDENDS PER SHARE (AED)

Increased 20% in 2013



* Excludes Dubai World exposure and related provision re-classified as performing loan in 2011.

** Subject to approval by the shareholders at the Annual General Meeting and the UAE Central Bank.

ADCB's leadership is consistently recognised by some of the most reputable industry publications and independent authorities. ADCB has distinguished itself in recent years by ranking among the leading banks in the UAE and achieving excellence across our businesses. These recognitions have been given for the Bank's innovative products and services, and for best practices in corporate governance, transparency and disclosure. We are proud of our top rankings and accolades. More than anything, we believe they reflect our success and the reputation we have earned by staying close to our customers.



2013 AWARDS AND ACCOLADES

"Best Cash Management Bank in the UAE"

EUROMONEY

"Best Trade Bank in the Middle East — Silver"

TFR EXCELLENCE AWARDS 2013

"Best Islamic Banking Window"

"Most Innovative Product of the Year"

GLOBAL ISLAMIC FINANCE AWARDS

"The Best Emiratisation CEO Award"

"Honouring UAE nationals in Higher Management positions in the Banking Sector Award"

"Distinguished Woman in the Banking & Finance sectors Award"

THE EMIRATES INSTITUTE FOR BANKING & FINANCIAL STUDIES

"Best Transaction Bank"

"Best Corporate Bank"

THE *BANKER MIDDLE EAST* INDUSTRY AWARDS 2013

"The Best Corporate Governance — United Arab Emirates 2013"

WORLD FINANCE MAGAZINE

"Best New SME Product"

"Best Trade Finance Offering"

"Best Cash Management"

THE *BANKER MIDDLE EAST* PRODUCT AWARDS 2013

"Deal of the Year 2013: Middle East — Islamic Finance Category Jebel Ali Free Zone Sukuk refinancing"

"Deal of the Year 2013: Middle East — Restructuring Category — Global Investment House Restructuring Deal"

THE BANKER 'DEALS OF THE YEAR' 2013 AWARDS

"Best Bank in Trade Finance" in the UAE

"Best Bank in Payments and Collections" in the Middle East region

GLOBAL FINANCE MAGAZINE

"Highly Commended for the Best Trade Bank in the Middle East and North Africa"

TRADE FINANCE EXCELLENCE AWARDS 2013

COST TO INCOME RATIO

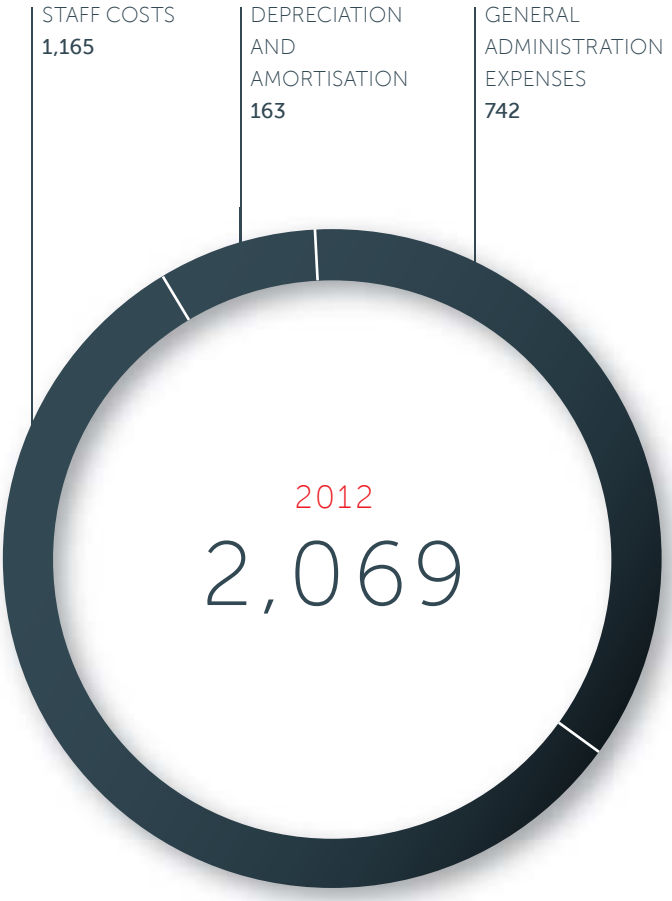


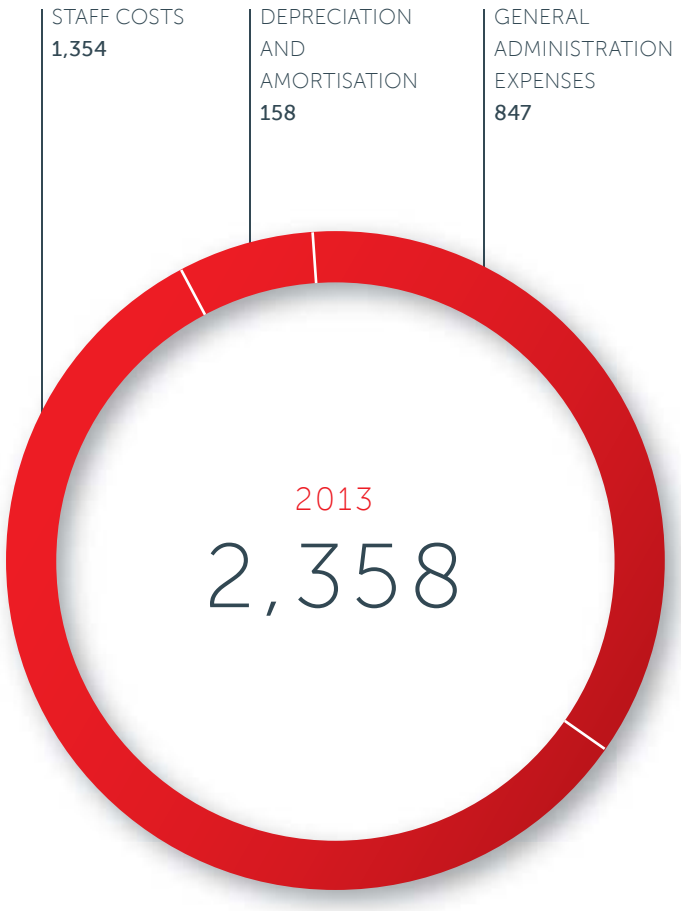
*Operating income for the purpose of calculating cost to income ratio includes share of profit of associates but excludes net gain on sale of investment in associate.

Figures have been rounded.

AMBITION+
EFFICIENCY

OPERATING EXPENSES
(AED MN)





Disciplined cost management is among our top priorities while we emphasise revenue growth. Our cost discipline is measured by our cost-to-income ratio, which reflects how much we spend for every dirham we earn as revenue. In 2013, the cost to income ratio was 32.22%.

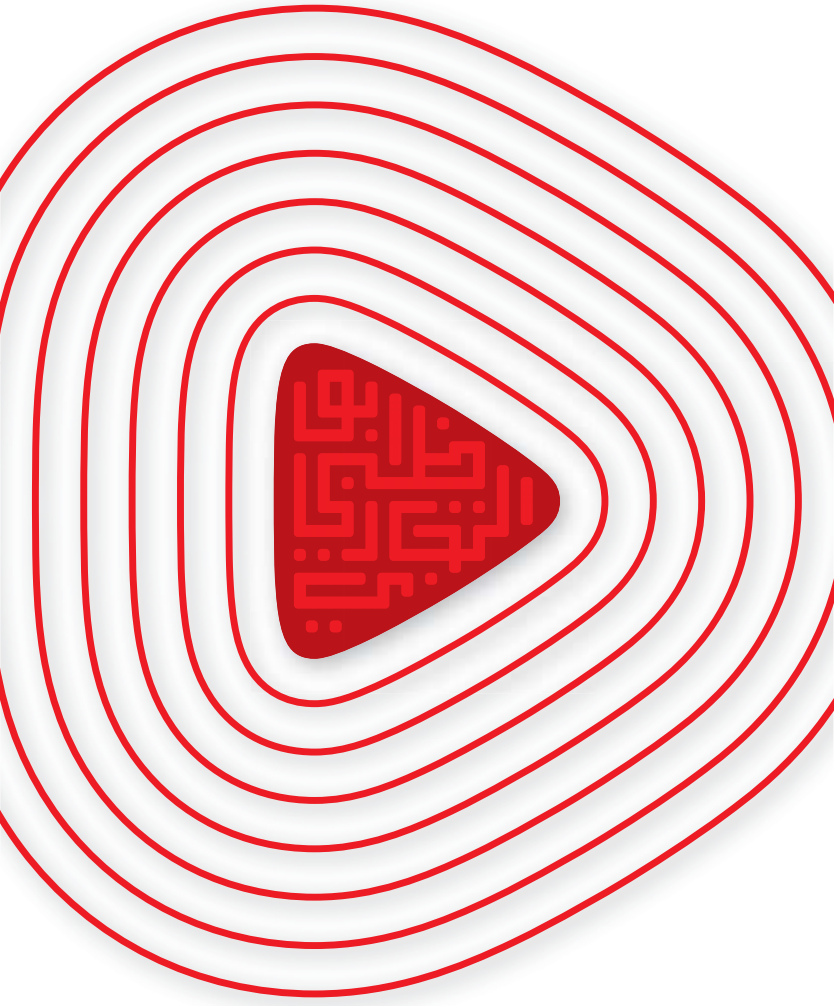
We manage our cost base wisely and focus our spending on opportunities that will eventually benefit our customers through better services, which in turn will help us generate more revenue for our shareholders. The success of this approach is evidenced by our achievement in procuring goods and services and driving process efficiencies, where we saved more than AED 150 mn in the last three years. We invested in state-of-the-art procurement systems which helped improve our cost efficiency through automation and strict cost control processes while significantly reducing the time to procure with better support for supplier discovery, dynamic negotiations and compliance.

Our disciplined cost management approach is central to the successful delivery of our strategy and we continue to make progress in driving cost savings and efficiencies throughout the Bank.



AMBITION+
CULTURE

OUR CORE VALUES



ADCB has established a set of core values that are designed to provide the framework for employee behaviour and foster a customer-centric culture within the Bank.

INTEGRITY – honesty and transparency in everything we say and do

RESPONSIBILITY – embracing our commitment to the local community and our shareholders by nurturing and developing our employees

STABILITY – pursuing growth based on prudence, proven business principles and financial strength

EMPOWERMENT – creating an environment where employees are involved, recognised and rewarded for good performance

EFFICIENCY – providing customer service standards designed to reach optimum efficiency and reliability

INNOVATION – encouraging employees to be creative, continuously improving and lateral-thinking

CONSISTENCY – ensuring that products and services are uniform and satisfactorily maintained by measuring customer-satisfaction levels.

Visitors to any ADCB location will find themselves among the industry's best professionals — ambitious men and women who are always on a path to greater achievement. ADCB has a high-performance culture that emphasises energy, drive and care.

At ADCB, we are proud of our entrepreneurial spirit and can-do attitude. We are driven by the fact that we are, first and foremost, a local bank. We are proud of the respect we earn in recognition of our international banking standards and our depth and breadth of experience.

ADCB employees are committed to the highest ethics and a code of conduct. How we do business is as important as the business that we do. Our employees share a common bond and a strong belief that the basic principles of corporate governance, fairness, transparency, accountability and responsibility are relevant in everything they do.

Our talent is very diverse, and we are proud of that, too. The UAE is culturally very rich, and the culture at the Bank reflects that. At ADCB, we employ more than 4,000 employees, representing some 57 different nationalities.

COMMUNITY SUPPORT



OVER AED

600,000

IN BREAST CANCER AWARENESS DONATIONS, SPONSORSHIPS AND FUNDRAISING



OVER AED

7.79 mn

TO VARIOUS CAUSES IN THE UAE

Giving back to the communities we serve is a top priority at ADCB, whether through direct charitable donations, fundraising, volunteering or other forms of outreach.

We take pride in working to develop vibrant and diverse communities capable of sustaining a high quality of life and economic opportunity. We strongly believe that a healthy and prosperous community is a prerequisite for a sustainable business.

Our employees contribute their time and money to support many worthwhile causes throughout the UAE. ADCB encourages everyone in the organisation to play an active role in the community and participate in meaningful ways by volunteering in community programmes.

We also work with partners throughout the emirates to deliver initiatives that promote positive social and economic outcomes for people in our markets. In 2013, ADCB entered into partnership with Emirates Foundation for Youth Development to collaborate and support programmes focusing on social inclusion, leadership, empowerment and community involvement. Partnership programmes also address culture-specific issues in financial literacy, disadvantaged females and special-needs UAE nationals.

ADCB actively participates in breast cancer awareness programmes. In 2013, we facilitated the collection of contributions that went to the Pink Caravan Initiative by Friends of Cancer Patients for Breast Cancer Awareness.

AMBITION+ RESPONSIBILITY



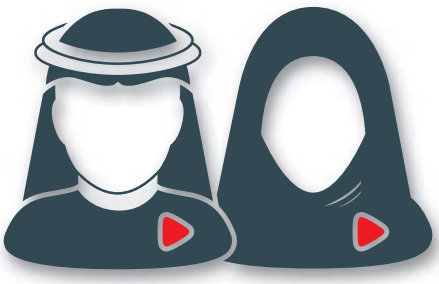
40%

OF EMPLOYEES
ARE UAE NATIONALS



48%

OF EMPLOYEES
ACROSS ADCB BUSINESSES
ARE FEMALE



COMMITMENT TO RECRUIT

500

UAE NATIONALS OVER
FIVE YEARS AS PART OF THE
ABSHER EMIRATISATION
PROGRAMME

SUSTAINABILITY PROGRESS

ADCB delivers superior results in a way that respects the dignity and uniqueness of individuals while observing responsible and sustainable business practices.

Sustainability forms one of the cornerstones of UAE Vision 2021 and the Abu Dhabi Economic Vision 2030, both of which emphasise the importance of numerous sustainability factors. ADCB voluntarily embarked on the sustainability journey, in recognition of international best practices to develop and maintain a prosperous and healthy society in the markets we operate in.

One of the ways we help the UAE prosper is by contributing positively to the communities we operate in. Our scale and reach through our brands and branches mean we are doing more to help communities across UAE.

The management of ADCB strongly supports investing in communities and standing by our clients and customers. Our strategy is built on our belief that disciplined growth with strong governance, solid sources of capital and liquidity ensures that we are in a position to create value for our shareholders and society over the long run.

Over recent years, we have continuously delivered for our stakeholders, including our customers, shareholders and communities.

At ADCB, we foster a work environment that embraces diversity. This brings a wider range of experiences and insights to the Bank and acts as a catalyst for creativity and innovation. The employees in our workforce come from 57 countries around the world and possess diverse backgrounds. This has resulted in a highly blended workforce with great diversity of gender, age, nationality, religion and individuals with disabilities. In parallel with diversity, we focus on empowering UAE nationals, aligned with the UAE's 'Emiratisation' strategy, to ensure long-term viability and development of the UAE.

ADCB has an ongoing commitment to transparent disclosure and genuine concern for social and environmental issues. In 2013, ADCB published a sustainability report that is available online at: www.adcb.com/aboutus/sustainability. Moving ahead, ADCB is furthering its strategic partnerships and initiatives focused on water usage, energy efficiency, public health, government policy and supply chain management.



95%

OF SOURCING IS FROM LOCAL SUPPLIERS



749,370

SHEETS OF PAPER SAVED



9.5

TONS OF E-WASTE RECYCLED



43

TONS OF PAPER RECYCLED



ADCB's strong financial performance reinforces its position as one of the UAE's leading banks.

ADCB operates through Consumer Banking, Wholesale Banking, and Treasury & Investments Groups. Through these groups, ADCB offers a wide range of products and services to its customers — retail banking, wealth management, private banking, corporate banking, commercial banking, cash management, investment banking, corporate finance, foreign exchange, interest rate and currency derivatives, Islamic products, and project finance.

CONSUMER BANKING GROUP (CBG)

Consumer Banking Group provides a comprehensive suite of conventional and shari'ah-compliant products and services across all segments of retail clients. Designed to cater to every client need, the wide range of products and services includes deposit and transactional accounts, personal and auto loans, mortgages, credit cards, third-party insurance and investment products. In addition, CBG offers wealth management and brokerage services, offshore banking services, and investment products, as well as financial support to businesses of Ultra High Net Worth individuals through its Private Accounts unit.

CBG serves its customers through one of the broadest banking platforms in the UAE, including 50 branches, 298 ATMs, a 24/7 contact centre, ADCB@ctive online banking and mobile applications. ADCB has adopted a multi-channel distribution approach supported by a focus on convenience, availability and self service to enhance customer satisfaction. In 2013, over 90% of the Bank's retail financial transactions were conducted by customers via various automated channels, and over 70% of our customers now access bank services through their smart phones and mobile devices. At the Bank's call centre, first-contact resolution continued to remain stable at 85%.

ADCB ISLAMIC BANKING WAS A PRIME DRIVER OF GROWTH, CONTRIBUTING 52% OF RETAIL LIABILITIES AND 31% OF RETAIL ASSETS SOURCED DURING THE YEAR.

In 2013, Retail Banking reported an increase in income despite an intensely competitive market environment. Strong growth, primarily in personal loans and credit card acquisitions, helped offset the impact of margin erosions and an overall decline in portfolio yields. The focus on the mass affluent market was a driver of profitability for 2013, with significant growth in wealth management fee income. A marked improvement in cost of funds was achieved through a shift in the liability book composition towards low-cost deposits and current and savings accounts. Customers of ADCB's Islamic Banking services responded positively to the Bank's comprehensive range of shari'ah-compliant products and services, which allow families to stay true to their values and traditions. ADCB Islamic Banking was a prime driver of growth, contributing 52% of retail liabilities and 31% of retail assets sourced during the year.

Growth initiatives were balanced with a disciplined risk-management culture. Delinquencies and loss rates reduced across all retail products and were at their lowest levels in several years, reflecting improvements in credit quality across the retail banking franchise.

In the last quarter of 2013, ADCB launched a comprehensive rebranding initiative. The effort encompassed all aspects of the brand, including an updated identity, a redesigned branch experience and a new campaign designed to enhance the Bank's customer-centric focus and its commitment to serving the unique banking needs of ambitious people. The new branches, to be rolled out over the next two years, have been designed to be unlike any other bank branch in the UAE. Made to be more intuitive, accessible and welcoming, the design uses bespoke lighting, textures and finishes to put customers' needs centre-stage.

We continue to face increasing competition in the rapidly evolving consumer banking industry. Our strength lies in our focus on customer-centricity and our cross-selling efforts, which along with untapped market segments form a key part of our growth strategy going forward.

WHOLESALE BANKING GROUP (WBG)

Wholesale Banking Group provides ADCB's corporate, business banking, government, public enterprises and institutional client coverage, as well as cash management, trade finance, financial institutions, corporate finance and investment banking services. WBG is also responsible for ADCB's Indian branches.

Wholesale Banking's financial results for 2013 reflected strong underlying performance across all of its business and product areas. In particular, solid growth was achieved through the significant inroads the group made in the small and medium-size enterprise (SME), mid-corporate and government markets.

Net loan growth was AED 8 bn, up 13% over 2012, and WBG reported a strong growth in funded assets and unfunded trade assets despite a large repayment from a customer in Q3 2013. CASA deposits grew 30% year-on-year, reflecting the ongoing resonance of our market-leading product, channel and service propositions. During 2013, Wholesale Banking won more than 150 new client mandates. This success was reflected in ADCB's

position as the No. 1 Cash Management Bank in the UAE, as voted for by clients in the Euromoney Global Cash Management survey.

From a strategic perspective, 2013 represented a continuation of the five-year strategy agreed for Wholesale Banking through 2016. The core focus on the UAE market and expansion segments such as SME, Mid-Corporate and Government–related business remains unchanged.

The SME business segment achieved steady expansion with increases in lending, trade and liability market share. The refreshed Mid-Corporate segment grew rapidly to build market share and drive earnings across product lines, mainly through new-to-bank clients. The Large Corporate business maintained its strong market position, and the Government area grew its client base, particularly in financing, investment and transaction banking. Financial Institutions grew selectively and continued to lay the groundwork for building greater nonlending earnings with a focus on trade finance.



In products areas, Cash Management leveraged its market leadership during the year to increase its product and channel capabilities. In 2013, ADCB Cash Management became the first provider in the UAE to deliver B2B direct-debit functionality and increased leadership in the real-estate escrow management market. Trade Finance continued to improve product and service offerings, while a re-engineering of business processes resulted in faster response times and better client service. Investment Banking focused on enhancing niche capabilities for key clients, as well as building advisory relationships and market share in syndications, and won two prestigious international awards for transactions delivered in the UAE and Regional markets.

During 2014, Wholesale Banking plans to drive further growth and cross-sell across its businesses, particularly in the Business Banking, Mid-Corporate and Government segments. Further focus will also be given to increase business activity in the UAE–India corridor by expanding capabilities in Indian branches. In addition, the foundations have been put in place for increases in activity in Institutional and Corporate clients, while mandates are being secured from a highly encouraging cash management, trade finance and investment banking pipeline. WBG will further re-engineer business processes and recruit new talent to enhance client service. Throughout the year, Wholesale Banking Group confidently expects to continue to deliver improvements to the quality of its overall loan portfolio.

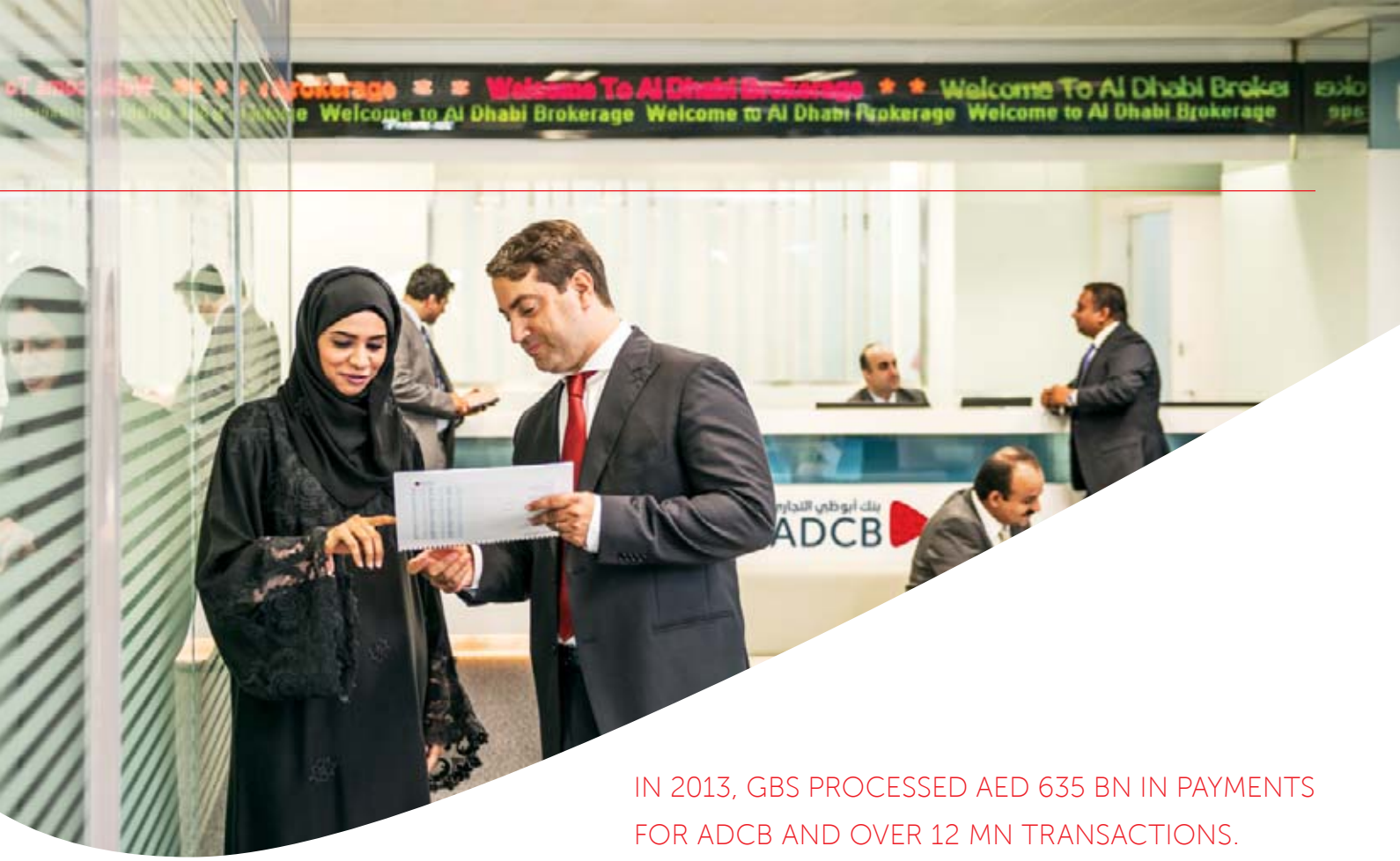
TREASURY & INVESTMENTS

Treasury & Investments Group manages ADCB's treasury operations and investment portfolio, as well as its interest rate, currency and commodity derivatives business. Treasury & Investments also acts as the gateway for all financial market transactions between ADCB and most regional central banks and sovereign wealth funds.

By working in close collaboration with its customers and investing in staff, products and technology, Treasury & Investments performed well in 2013, posting net profit growth of 48% year-on-year.

On a continuing basis, Treasury has worked on improving the liquidity and capital position of the Bank. The Investment Portfolio run by Treasury as part of ADCB's liquid asset management strategy has performed well during the year.

2013 was a very active year in the capital markets space for ADCB. With issuances in excess of AED 9 bn, the Bank tapped into the capital markets three times during the year. For the first time in the UAE, ADCB simultaneously launched a five-year senior tranche of USD 750 mn and 10-year Tier-2 notes of USD 750 mn. Both issuances had a very favourable response from the markets. These launches were followed by a new Tier-2 issuance, both in CHF and USD denominations, as well as a very successful FRN issue. Using the proceeds from the Tier-2 issuances, ADCB repaid the Government Tier-2 loan provided by the UAE Ministry of Finance to all local banks at the height of the global financial crisis in 2009.



IN 2013, GBS PROCESSED AED 635 BN IN PAYMENTS FOR ADCB AND OVER 12 MN TRANSACTIONS.

Volume in the Foreign Exchange increased by 55% in 2013 over the prior year. Treasury initiatives in launching new products resulted in execution of the first shari'ah-compliant Islamic swap (Profit swap) in the UAE market along with the Derivative Desk launching several new products for trading in futures for precious metals and equity indices.

On the technology front, Treasury has successfully upgraded its IT platforms for seamless deal processing and limits-monitoring. Treasury has also launched an e-commerce project linking multi-bank portals and third-party vendors to allow ADCB customers to perform transactions electronically on best-in-market pricing. The e-commerce initiative will help ADCB increase its customer base and enhance its quality of services.

GROUP BUSINESS SERVICES (GBS)

Group Business Services provides the foundation on which ADCB's business performance and customer service are built. Through the efforts of 824 employees, GBS comprises a number of key 'run the bank' and 'change the bank' support functions that keep ADCB operational and agile. GBS support functions include Group Strategy and Change, Technology Services, Group Operations, Corporate Services, and Workplace Protection Services.

GBS is responsible for managing ADCB's ATM network, providing teller services to the Bank's customers, keeping its technology systems operating, helping to protect stakeholders from fraud, processing billions of dirhams worth of payments, and providing comprehensive online and mobile services.

In 2013, GBS processed AED 635 bn in payments for ADCB and over 12 mn transactions. The group facilitated more than 13 mn online logins in 2013, and registered 50,000 mobile app users. It managed more than 15 mn ATM/CDM transactions on ADCB's 298 ATMs.

In addition to focusing on agility, operational risk management, and service, GBS focuses on maintaining ADCB's cost-to-income ratio through continuous efficiency and productivity improvements across all support services.

GBS manages the Bank's capital investment portfolio and is involved in a number of programmes aimed at ensuring that ADCB maintains its market-leading position well into the future. Some of ADCB's key investment initiatives include the New Branch Expansion Programme, the Technology Transformation Programme and the Treasury & Investments Re-platforming Initiative. In 2014,

GBS will launch Itmam Services — ADCB's new shared-services subsidiary, a number of mobile platform innovations, and a first-of-its-kind UAE national job-creation solution.

HUMAN RESOURCES

ADCB's people are the key to our continued success. Our highly trained, motivated and well-integrated workforce delivers the Bank's business results, achieves strategic goals and provides outstanding customer service.

As a major financial institution and employer, we value our thousands of employees, and we are committed to helping them fulfil their professional ambitions, just as our employees are committed to helping the Bank achieve its business objectives — most importantly, its ambition to create the most valuable bank in the UAE.

ADCB sees its responsibility toward our employees as multifold: we aim to ensure long-term fulfilling and engaging careers; offer long-term development and training opportunities; create a work environment characterised by meritocracy and fairness in all employee-related processes; foster diversity while driving Emiratisation; and ensure a safe and healthy workplace.

The professional development of employees is essential to the Bank's future. We have implemented a systematic approach to identifying, developing and deploying talented employees to ensure an appropriate supply of high calibre individuals with the values, skills and experience for current and future critical positions. In 2013, we continued to build consistency across our learning curricula and to improve the relevance and quality of learning programmes. We have endeavoured to achieve a standard of excellence focusing on leadership, values and technical capability.

Performance management is vital in helping ADCB employees build long-term partnerships through enhanced customer service as well as strong relationships with one another. ADCB's performance, reward and recognition strategy is designed to ensure sustainable performance through reward programmes that support our business strategy.

At ADCB, we foster a work environment that embraces diversity. This brings a wider range of experiences and insights to the Bank and acts as a catalyst for creativity and innovation. Our workforce is made up of a highly blended group



of employees with great diversity of gender, age, nationality, religion and individuals with disabilities. We work hard to ensure ADCB is inclusive of all colleagues.

Our employment policies are developed to reflect legal, cultural and employment requirements. We aim to be recognised as an employer of choice and therefore seek to maintain high standards and good employee relations at our workplaces.

Emiratisation is an important focus at ADCB, and the Bank employs and empowers UAE nationals through a range of well-orchestrated Emiratisation efforts. These efforts are aligned with the UAE's Emiratisation strategy to ensure long-term viability and development of the UAE.

EMIRATISATION IS AN IMPORTANT FOCUS AT ADCB, AND THE BANK EMPLOYS AND EMPOWERS UAE NATIONALS THROUGH A RANGE OF WELL-ORCHESTRATED EMIRATISATION EFFORTS.

As part of ADCB's Emiratisation strategy, ADCB is determined to attract and retain the best UAE national talent through its Emirati Graduate Development Programme (EGDP) and be regarded as the employer of choice in the local market. The ADCB EGDP is a world-class programme for UAE national graduates, and its goal is to take participants on a journey that will enable them to fulfil their professional and career ambitions.

The objective of the EGDP is to develop recent UAE national graduates to be 'desk-ready' to take on full-time job responsibilities within specified business areas across ADCB. The multi-faceted programme offers practical business experience through sequential and strategic job rotations, technical skills training and professional qualifications in relevant fields. During 2013, ADCB committed to recruiting and developing approximately 80 UAE national graduates of the EGDP as full-time employees.

In April 2013, as another move forward in its Emiratisation strategy, ADCB signed a partnership agreement with the Ministry of Presidential Affairs for the Absher Initiative. The Initiative is based on four pillars: creating jobs; training and rehabilitating the UAE national workforce; increasing hiring in the private sector; and developing and encouraging the role of the private sector within the UAE.



By recruiting under the Absher Initiative, ADCB aligned with the country's leadership vision for the year 2013 to be the Year of Emiratisation. By doing so, ADCB provided young and talented UAE national graduates with opportunities to hold managerial positions across different lines of business within the private sector, while guaranteeing their financial stability and successful careers.

Through the Absher Initiative moving forward, ADCB will continue to provide UAE nationals with the training they need to develop their leadership and managerial skills. It will allow the Bank to enhance management and self-development skills among UAE nationals, while providing them with the required development to enable them to gain valuable work experience.





BOARD OF DIRECTORS PROFILES

(left to right)

Eissa Mohamed Al Suwaidi
Chairman

Eissa Mohamed Al Suwaidi was appointed by the Government of Abu Dhabi to join the ADCB Board of Directors and was elected as Chairman of ADCB in September 2008. Eissa Mohamed Al Suwaidi has more than 20 years of experience in asset management and banking.

External appointments:
Chairman – Emirates Telecommunications Corporation (Etisalat)

Executive Director – Abu Dhabi Investment Council

Board Member – Abu Dhabi National Oil Company for Distribution, International Petroleum Investment Company, Abu Dhabi Fund for Development, Emirates Investment Authority

Bachelor of Economics
(Northeastern University, USA)

Mohamed Sultan Ghannoum Al Hameli
Vice Chairman

Prior to joining the Finance Department of the Government of Abu Dhabi, Mohamed Sultan Ghannoum Al Hameli was the Assistant Director of the European Equities Department of Abu Dhabi Investment Authority (ADIA). He was appointed by ADIA to join the ADCB Board of Directors in October 2004.

External appointments:
Director General – Abu Dhabi Finance Department

Chairman – Health Authority (HAAD)

Board Member – Abu Dhabi Health Services Co., Abu Dhabi Public Service Co. (Musanada), Social Welfare & Minor Affairs Foundation, and Member of ADIA Audit Committee

Bachelor of Finance
(Boston University, USA)

General Manager Program
(Harvard Business School)

Chartered Financial Analyst
(CFA Institute)

Ala'a Eraiqat
Executive Director, Chief Executive Officer

Ala'a Eraiqat joined ADCB in January 2004 and held various senior posts before taking over as Chief Executive Officer and also becoming a member of ADCB's Board of Directors in February 2009. He has been a banker since 1991 and previously held senior positions at Citibank and Standard Chartered Bank, among others.

His responsibilities extend to chairing the following subsidiaries and committees of ADCB, among others: Abu Dhabi Commercial Properties, Abu Dhabi Commercial Engineering Services, Al Dhabi Brokerage, the Management Executive Committee and the Management Risk & Credit Committee.

External appointments:
Board Member – Abu Dhabi National Hotels PJSC (ADNH), MasterCard Asia/Pacific, Middle East & Africa Regional Advisory Board, and Mubadala Infrastructure Partners Advisory Board

Personal awards:
Named in 2011 as the No. 1 CEO among the Top 50 CEOs from 300 companies in Saudi Arabia and the UAE by *Trends*, an international magazine on Arab affairs; received *The Asian Banker* "Promising Young Banker Award" for the Gulf region 2007; and in 2009, chosen by *Arabian Business* as one of the GCC's "Most Admired Executives."







Mohamed Darwish Al Khoori
Director

Mohamed Darwish Al Khoori has 23 years of experience in asset management. Since 2008, he has been the Executive Director of the Internal Equities Department at Abu Dhabi Investment Authority.

In May 2004, Mohamed Darwish Al Khoori was nominated by the Government of Abu Dhabi to join the ADCB Board of Directors. He was subsequently elected in April 2006 by ADCB shareholders to act as an ADCB Director, and, in March 2009, he was again nominated by the Government of Abu Dhabi.

External appointments:
Chairman – Oman & Emirates Investment Holding Company

Member – The Financial Corporation (FINCORP) Board

Member – The Financial Corporation (FINCORP) – Audit Committee

Board Member – Abu Dhabi Global Market

Executive Director – Abu Dhabi Investment Authority (ADIA) — Internal Equities Department

Member – ADIA's Investment, Alpha and Management Committees

Bachelor of Business Administration (Siena Heights University, Michigan, USA)

General Manager Program (Harvard Business School)

Abdulla Khalil Al Mutawa
Director

Abdulla Khalil Al Mutawa is a competent and dedicated investment professional with more than 30 years of experience and a comprehensive background in finance and administration. He was nominated by ADCB shareholders to join the ADCB Board of Directors in March 1997.

External appointments:
General Manager – Office of Sheikh Suroor Bin Mohammed Al Nahyan

Board Member – Alfalah Exchange, UAE; Bank Alfalah, Pakistan; UAE Banks Federation

Bank Alfalah:
Chairman – Board Strategy & Finance Committee
Chairman – Board Audit & Risk Committee
Chairman – Board Human Resources Committee
Member – Board Risk Management Committee
Member – Board Compensation Committee
Member – Board Finance Credit & HR Committee

Bachelor of Business Administration (University of North Carolina, USA)

Khaled H Al Khoori
Director

Khaled H Al Khoori was elected by ADCB shareholders to join ADCB's Board of Directors in April 2012. Since January 2006, he has been the Chairman of Orient House for Development & Construction.

External appointments:
Chairman – Orient House for Development & Construction

Board Member & Chairman of Capital Expenditure – Abu Dhabi National Hotels (ADNH)

Master of Civil Engineering (Northeastern University, USA)

Bachelor of Civil Engineering (Northeastern University, USA)





BOARD OF DIRECTORS PROFILES

(left to right)

Mohamed Ali Al Dhaheri
Director

Mohamed Ali Al Dhaheri was appointed by Abu Dhabi Investment Council (ADIC) to join the ADCB Board of Directors in May 2007. Prior to joining ADIC in 2007, Mohamed Ali Al Dhaheri was the Chief Operating Officer of the Treasury Department in Abu Dhabi Investment Authority.

External appointments:
Board Member – Abu Dhabi Investment Company, Al Hilal Takaful, Securities & Commodities Authority

Member – Abu Dhabi Investment Council's Investment Committee, Administrative Committee & Chairman of Investment Operations Committee

Chairman – Al Hilal Takaful's Investment Committee

Member – Al Hilal Takaful's Audit and Executive Committees

Member – Securities & Commodities Internal Audit Committee

Bachelor of Business Administration (International University of America)

Sheikh Sultan bin Suroor Al Dhahiri
Director

Sheikh Sultan bin Suroor Al Dhahiri was elected by ADCB shareholders to join the ADCB Board of Directors in March 2009.

External appointments:
Chairman – SSD Group, Abu Dhabi Maritime & Mercantile International Co.

Board Member – National Corporation for Tourism & Hotels

Master of Business Administration (Abertay Dundee University, UK)

Bachelor in Business & Marketing (Middlesex University, London, UK)

Khalid Deemas Al Suwaidi
Director

Khalid Deemas Al Suwaidi was appointed by the Abu Dhabi Investment Council to join the ADCB Board of Directors in March 2009, and in 2012 was nominated and elected by ADCB shareholders to act as an ADCB Director. He has approximately 14 years of banking experience, having held senior management positions with National Bank of Abu Dhabi and First Gulf Bank.

External appointments:
Chairman – Emirates & Morocco Trading & General Investment, United Tina

Vice Chairman – Manazel Real Estate Company

Chief Executive Officer – Das Holding

Board Member – Abu Dhabi National Takaful Company, Citiscape Group Company

Master of Business Administration, minor in Management Information Systems and Strategic Planning (Widener University, USA)

Bachelor of Science/Computer Information Systems (Bethune Cookman College, USA)







Aysha Al Hallami
Director

Aysha Al Hallami is currently a Research Manager in the Strategy Unit of H.H. the Managing Director's Office at Abu Dhabi Investment Authority (ADIA). She is part of the Strategic Research Team that is responsible for ADIA's portfolio construction, as well as strategic and tactical asset allocation decisions.

Master of Sciences in Finance & Banking, British University in Dubai in association with Cass Business School, City University, London

Bachelor of Science in Business Sciences: major in Finance, Zayed University, Abu Dhabi

Omar Liaqat
Director

Omar Liaqat is the Chief Operating Officer at Abu Dhabi Investment Council. He is an experienced professional with more than 30 years of experience in a wide range of industries in the financial, auditing and management areas. He was a member of the founding team of the Abu Dhabi Investment Council, prior to which he worked at Abu Dhabi Investment Authority (ADIA) for 19 years. At the onset of his career, he worked in the auditing profession with a host of high-profile clients in the UK and US.

External appointments:
Chief Operating Officer – Abu Dhabi Investment Council

Member – Audit Committee — Abu Dhabi National Insurance Company

Member – Audit Committee — Abu Dhabi Fund for Development

Chartered Accountant (Fellow), England & Wales Institute

Gerry Grimstone
Adviser

ADCB appointed Gerry Grimstone as adviser to its Board of Directors with effect from 1 January 2013. He brings significant international expertise and experience in investment banking and the financial services industry, and serves on the boards of public and private sector companies.

He was previously a senior investment banker at Schroders and an official in the UK's HM Treasury. He was responsible for privatisation and policy for state-owned enterprises and helped oversee HM Treasury's Operational Efficiency Programme. He has also served as one of the UK's business ambassadors.

External appointments:
Chairman – Standard Life

Chairman – TheCityUK

Lead Non-executive Director – UK Ministry of Defence

Independent Non-executive Director – Deloitte LLP

Board Member – UK Government's Shareholder Executive



EXECUTIVE MANAGEMENT PROFILES

(left to right)

Abdirizak Mohamed
Group Chief Internal Auditor

Abdirizak has been the Group Chief Internal Auditor at ADCB since 2006, having previously worked at the NASDAQ Stock Market, NASD (FINRA) and OFHEO (FHFA). He has more than 20 years of financial industry experience that spans capital markets management, accounting policy/applications, examinations and auditing, risk management, regulatory oversight, and corporate governance. Currently, he serves as an Audit Committee member of various Abu Dhabi–based companies. Abdirizak is a Certified Public Accountant, and holds a Bachelor's degree from the University of Washington in Seattle and a Master's from the George Washington University in Washington, DC.

Arup Mukhopadhyay
Group Head of Consumer Banking

Arup joined ADCB in 2005 and is Executive Vice President and Head of the Consumer Banking Group. He had previously spent seven years with Citibank, becoming Head of Wealth Management products and Marketing Director for its UAE Consumer business. Before that he worked with Unilever in India in several sales and marketing roles. Arup is a Mechanical Engineering graduate and holds an MBA from the Indian Institute of Management, Lucknow.

Simon Copleston
General Counsel and Board Secretary

Simon has been General Counsel and Board Secretary at ADCB since 2008. After graduating from Durham University in the UK, he practised corporate law in the City of London for eight years. He joined Abu Dhabi Investment Authority in 2006, acting as lawyer to the Emerging Markets Department and the Strategic Investment and Infrastructure teams. He has more than 15 years' experience in banking, finance, and corporate law.

Simon is a UK-qualified solicitor and has been highly instrumental in the Bank's recent recognition as a regional leader in corporate governance.

Ali Darwish
Group Head of Human Resources

Ali is an experienced banking professional who has worked at senior executive levels since 1998. He is Head of Human Resources for ADCB. Ali's distinguished career in banking began in 1988, when he joined British Bank of the Middle East (HSBC currently). Before joining ADCB, he was a key part of organisations such as Tamweel, Dubai Islamic Bank (DIB) and ABN AMRO. Under Ali's leadership, his DIB subsidiary was voted Best Organization by the Board of Islamic Financial Services. He was also an integral part of ABN AMRO's success in winning the "Best Bank Customer Service/Contact Centre" award at the 2006 *Banker Middle East* Industry Awards.

Kevin Taylor
Group Treasurer

Kevin joined ADCB in 2009 as the Head of Treasury and Investments Group. He has held significant Treasury and Risk positions in global organisations such as ALICO, Citigroup, Westpac Bank and Merrill Lynch. At ADCB, he is responsible for a front office staff of 40, including FX trading and sales, derivative trading and sales, and fixed income and investments personnel, along with money market and balance sheet analytics teams. Kevin is the Chairman of the UAE Banks Federation's Financial Markets Committee and holds an MBA from Macquarie University in Australia.

Ala'a Eraiqat
Chief Executive Officer, Executive Director

Ala'a Eraiqat joined ADCB in January 2004 and since then has held various senior posts, before taking over as Chief Executive Officer and also becoming a member of ADCB's Board of Directors in February 2009. He previously held senior positions at Citibank and Standard Chartered Bank, among others.

His responsibilities extend to chairing the following subsidiaries and committees of ADCB, among others: Abu Dhabi Commercial Properties, Abu Dhabi Commercial Engineering Services, Al Dhabi Brokerage, the Management Executive Committee and the Management Risk & Credit Committee.



Deepak Khullar
Group Chief Financial Officer

Deepak was appointed Group Chief Financial Officer in 2008 and is responsible for group finance, investor relations, and strategic sourcing. He previously spent 15 years with Standard Chartered Bank in the Middle East and in Korea. Before joining Standard Chartered, he worked for 12 years with Ernst & Young and Price Waterhouse & Co. (now PricewaterhouseCoopers) in the Middle East and India. He is an Associate of the Institute of Chartered Accountants of India and an Associate Member of the Association of Corporate Treasurers (UK).

Abdulla Khalifa Al Suwaidi
Head of Government Relations

Abdulla joined ADCB as Executive Vice-President and Head of Government Relations in 2010, after being the Vice-President of Dubai Islamic Bank's Wealth Management Division. He is currently appointed as Managing Director of ADCB's subsidiaries: Abu Dhabi Commercial Properties LLC and Abu Dhabi Commercial Engineering Services LLC. Abdulla is responsible for retaining the ISO certification by Lloyd's Register Quality Assurance for both companies. He is a member of ADCB's MEC, Vice-Chairman of the ADCP & ADCE boards and Chairman of ADCIF.

Abdulla has 11 years' experience in banking and business management and holds Master's degrees in Business Administration and Science in Management from Colorado Technical University, USA, with double majors in Business Management and System Management.

Colin Fraser
Group Head of Wholesale Banking

Colin completed his Master of Arts in Financial Economics at the University of Dundee, receiving the Bowie Memorial Prize for top economics graduate. He is an Associate of the Chartered Institute of Bankers and a Fellow of the Royal Society for the Arts. Colin joined Barclays Bank in 1992 and undertook various roles as an international banker. In 2007, he was appointed Barclays' Corporate Banking Director, GCC, joining ADCB a year later as Executive Vice-President and Head of the Wholesale Banking Group.

Kishore Rao Naimpally
Group Chief Risk Officer

Kishore joined ADCB as Chief Risk Officer in 2009, having started his banking career with State Bank of India, where he spent 12 years in diverse roles. He also spent 13 years at ABN AMRO, handling various assignments across Asia, Europe and North America, and was previously Chief Credit & Risk Officer at Arab Banking Corporation for five years, responsible for enterprise-wide risk-management implementation. Kishore is a member of ADCB's MEC, MRCC, MRC and ALCO. As the Bank's first CRO, Kishore is charged with setting up, embedding, and expanding the risk framework. He is a qualified cost accountant and corporate secretary and holds a degree in physics.

Jerry Möllenkramer
Group Chief Operating Officer

Jerry was appointed Group Chief Operating Officer following ADCB's acquisition of the Royal Bank of Scotland's retail banking business in the UAE in 2010. He was previously Chief Operating Officer for Royal Bank of Scotland's Middle East and Africa franchise, a position he held from 2008. He also served as an Executive Director for ABN AMRO's Group Services Division, and before that fulfilled various directorships within ABN AMRO's Wholesale Division. Jerry holds a BA from the University of California, an MBA and Master in Business Informatics from Erasmus University – Rotterdam School of Management, and was a distinguished Fulbright fellow at the University of Leiden in The Netherlands.

CORPORATE GOVERNANCE REPORT

ADCB aspires to high standards of corporate governance. Over recent years, the Bank has sought to enhance and improve its corporate governance standards and framework, emphasising transparency.

We believe high standards of corporate governance are a key contributor to the long-term success of a company, creating trust and engagement between the company and its stakeholders. Striving to deliver exemplary governance is a core aspect of the Bank's strategic intent. We have clear, well-understood governance policies, procedures and practices throughout the Bank. In this Corporate Governance Report, we outline the Bank's corporate governance framework, including the role and responsibilities of the Board and each of its Committees. We continue to review and develop this framework in light of changes in the Bank's businesses, best practices and the external environment.

GOVERNANCE AT ADCB

As part of the Bank's commitment to removing 'clutter' from its annual report, the Bank reports to shareholders on corporate governance by publishing: (a) this report, which contains only information that is material, relevant and has changed since the most recent annual report; and (b) detailed information, which is available on the Bank's website at http://www.adcb.com/about/corpgovernance/overview.asp.

Please visit our website for an overview of the Bank's governance framework and policies and practices, including the Bank's corporate governance code, code of conduct, disclosure standards, communication with shareholders, and investor relations.

EXTERNAL RECOGNITION

The Bank's ongoing achievements in corporate governance resulted in the Bank receiving the 'Best Bank Corporate Governance Award' from *World Finance* magazine in 2013. The award is in recognition of ADCB's achievements in corporate governance and is an affirmation of the Bank's commitment to upholding the highest standards of transparency and accountability.

THE BOARD

THE BOARD'S AGENDA IN 2013

The Bank's Board has adopted a rolling Board agenda. The rolling agenda ensures that certain big-picture items, including long-term planning, strategy, operational plans, succession planning, performance against budget and strategic targets, and human resources are discussed by the Board on a regular basis. This provides a structural framework for the Board's oversight.

In 2013, the Board focused on the following:

- defining and debating strategy;
- risk management, market trends and developments, new business opportunities, and the impact of regulatory developments;
- assessing each of the Bank's divisions and its performance against set targets that contribute to the achievement of the Bank's overall strategy; and
- improving governance structures and processes and maintaining a governance framework that adds value to the business.

Eight Board meetings were held in 2013. The Board also had an off-site strategy meeting to debate and refine the Bank's strategy. Senior and middle management were invited to Board and strategy meetings to further enhance the Board's engagement with the management and the business. Regular tours were made to various divisions and branches of the Bank to enhance the Board's awareness and contributions.

STRATEGY SETTING

The Board of Directors is responsible for determining the Bank's strategic direction. In 2013, the Board of Directors and the management team met to discuss and refine the Bank's strategy. In order to deliver against these objectives, management has developed a detailed set of strategic plans that operate across the Bank's businesses.

The Directors set the strategic direction of the Bank (with due consideration given to risk tolerance, shareholder expectations, business development opportunities and other macro-economic factors), which senior management then uses to design the Bank's annual strategic plan and prepare the annual budget for Board approval. Thereafter, senior management provides regular updates to the Board of Directors to monitor progress against budget and strategy and permit any necessary modifications or adjustments in strategic direction.

Please see further details in the Strategy section of this annual report on page 24.

BOARD OVERSIGHT OF RISK MANAGEMENT

Responsibility for setting our risk appetite and for the effective management of risk rests with the Board of Directors. Acting within an authority delegated by the Board, the Board Risk & Credit Committee (BRCC) has overall responsibility for oversight and review of all risk types — credit, market, operational, liquidity, fraud, reputational risks, etc. It periodically reviews and monitors compliance with the Group's overall risk appetite and makes recommendations thereon to the Board.

Its responsibilities also include reviewing the appropriateness and effectiveness of the Group's risk management systems and controls, overseeing the Management Risk Committees and ensuring that the Bank's risk governance is supportive of prudent risk-taking at all levels in the Bank.

Please see further details in the Risk Management section of this annual report on page 63.

CORPORATE GOVERNANCE STRUCTURE



THE BOARD'S ADVISER

In January 2013, the Bank appointed Gerry Grimstone as an Adviser to its Board of Directors. The appointment of Gerry Grimstone provided the Board with an experienced outside perspective. In 2013, Gerry Grimstone attended four Board meetings, the Board strategy sessions and a meeting of the Board's Nomination, Compensation & HR Committee. Gerry Grimstone made contributions in many areas, most particularly in strategic discussions, Board reporting and effectiveness, assessment of the performance of senior management and rewards.

STRUCTURE AND COMPOSITION

Please see details at http://www.adcb.com /about/corpgovernance/overview.asp.

PERFORMANCE EVALUATIONS

An effective Board is crucial to the success of the Bank. To assess the performance of the Board, the Board undergoes a rigorous performance evaluation annually.

The Board recognises that board evaluations are an essential component of good governance. The Bank conducts an in-house Board evaluation every year. In line with global standards, the Bank engages an independent external consultant to perform the evaluation every third year. In late 2012, the Bank engaged Professor Andrew Chambers to perform an evaluation of the Bank's Board. Prof. Chambers is a leading academic expert in governance and holds numerous senior advisory and Board roles. Prof. Chambers performed his evaluation late in 2012 and delivered his recommendations early in 2013.

The material recommendations of Prof. Chambers' report related to, amongst other things:

1. the format and independence of management's reports to the Board;
2. Board members' self-assessment;
3. Board oversight of the Bank's sustainability initiatives; and
4. enhancements to the Bank's public disclosures about the Board and its activities.

APPOINTMENT, RETIREMENT AND RE-ELECTION

According to the Bank's articles of association:

- All Directors are required to seek re-election by shareholders every three years, and one-third of the Board must seek re-election on an annual basis.
- Abu Dhabi Investment Council has the right to elect such number of Directors as is proportionate to the percentage of the Bank's share capital that it holds (as at 31 December 2013, 58.08%).
- Details of the Board Members' current terms of office and, where relevant, their election by Abu Dhabi Investment Council, are set out in the table under 'Board Membership and Attendance' on page 54.

Please see further details at http://www.adcb .com/about/corpgovernance/overview.asp.

BOARD MEMBERSHIP AND ATTENDANCE

In addition to the below, during 2013 the Board appointed several short-term 'special committees' with responsibility and authority to consider certain subjects. In particular, special committees were appointed to consider the future strategy of the Bank's Indian branches and to formulate the Bank's buyback strategy.

Name	Status	Expiration of current term of office	Board		Audit & Compliance Committee		Corporate Governance Committee		Risk & Credit Committee		Nomination, Compensation & HR Committee	
			Meetings: 8		Meetings: 9		Meetings: 5		Meetings: 28		Meetings: 6	
Eissa Mohamed Al Suwaidi	Director[1]	2014	C	7					C	25	C*	6
Mohamed Sultan Ghannoum Al Hameli	Director[1]	2016	M	8					M	24	M*	6
Ala'a Eraiqat	Director	N/A	M	8								
Mohamed Darwish Al Khoori	Director[1]	2014	M	8	C	9						
Khalid Deemas Al Suwaidi	Director	2015	M	5	M**	3	M	5			M**	1
Mohamed Ali Al Dhaheri	Director[1]	2016	M	7			C*	5	M**	8	M*	3
Abdulla Khalil Al Mutawa	Director	2015	M	8	M*	5			M**	8	M*	4
Sheikh Sultan bin Suroor Al Dhahiri	Director	2015	M	4			M	1				
Omar Liaqat	Director[1]	2016	M*	5	M*	6	M*	4				
Aysha Al Hallami	Director[1]	2016	M*	6	M*	6			M*	17		
Khaled H Al Khoori	Director	2015	M	8	M**	2			M*	18		
Jean-Paul Villain	Director[1]	2014	M**	1							M**	1
Salem Mohd Al Ameri	Director[1]	2016	M**	1	M**	2	C**					

C Chairman M Member *Chairman/Member (from April 2013) **Member (until April 2013) 1 Elected by Abu Dhabi Investment Council

DIRECTORS' INDEPENDENCE

The Bank considers that during 2013, the Bank's independent Directors represented more than one-third of the Board; and throughout 2013, the majority of Members of the Board Audit & Compliance Committee were independent.

Please see further details, including the Bank's independence criteria, at http://www.adcb.com/about/corpgovernance/overview.asp.

INDUCTION AND PROFESSIONAL DEVELOPMENT

In 2013, Aysha Al Hallami and Omar Liaqat were appointed to the Bank's Board of Directors. They were given formal induction and orientation with respect to the Bank's vision, strategic direction and core values, including ethics, corporate governance practices, financial matters and business operations. The management facilitated their visits to the Bank's departments and key branches to get familiar with the Bank's operations. Additionally, a series of induction meetings were arranged for them with key executive management members. Please see: http://www.adcb.com/about/corpgovernance/overview.asp for additional information concerning the Bank's induction programme for newly appointed Directors.

MATTERS RESERVED TO THE BOARD AND INFORMATION DISSEMINATION

Please see details at http://www.adcb.com/about/corpgovernance/overview.asp.

MEETINGS

In 2013, the Board of Directors met regularly, and Directors received information between meetings about the activities of Board and management committees, and developments in the Bank's business. There were eight Board meetings and 48 Board Committee meetings in 2013. The table above gives details of each Director's attendance at meetings of the Board and Board Committees in 2013.

BOARD COMMITTEES

The memberships and chairmanships of the Board's Committees are reviewed on a regular basis to ensure suitability and compliance with other requirements, and rotated as needed. Changes made in 2013 are reflected in the table above, entitled 'Board Membership and Attendance.'

OTHER PRACTICES AND POLICIES

RELATED PARTY TRANSACTIONS

Details of all transactions in which a Director and/or other related parties might have potential interests are provided to the Board for its review and approval. Where a Director is interested, the interested Director neither participates in the discussions nor votes on such matters. The Bank's policy is to, so far as possible, only engage in transactions with related parties (including Directors) on arm's-length terms.

CONFLICTS OF INTEREST

As at 31 December 2013, as a result of written declarations submitted by each of the Board Members, the Board was satisfied that the other commitments of the Directors do not conflict with their duties, or that where conflicts may arise, the Board is sufficiently aware and appropriate policies are in place to minimise the risks.

MANAGEMENT COMMITTEES

The Management Executive Committee is supported by the following other management committees:

Committee Name	# of meetings held in 2013	Responsibilities of the committee
Management Executive (MEC)	48	Most senior management committee; oversight of all of the Bank's businesses and operations.
Senior Management (SMC)	8	Administration, governance, change management, strategy and project updates and dissemination of information. Pre-screening of certain matters before MEC review.
Assets & Liabilities (ALCO)	7	To make investments and execute asset/liability transactions within delegated limits and to guide MEC and the Board on other investments and asset/liability transactions above those limits.
Management Risk & Credit (MRCC)	54 (50 regular MRCCs and 4 strategic MRCCs)	To approve credits within delegated limits, to consider risk strategy issues, and to set and recommend risk policies; to guide the MEC, Board Risk & Credit Committee and the Board on credits and above those limits and on general risk and risk policy issues.
Recoveries (MRC)	6	To approve recoveries within delegated limits and to guide MEC and the Board on recoveries above those limits.
Capital Expenditure Committee (CEC)	9	To review and approve project capital expenditure within delegated limits, and accordingly guide and advise the MEC and Board on project capital expenditure.
Liabilities, Product Performance & Cross-Selling Committee (LICO)	18	To approve the pricing and marketing of Bank's products and services (within the Bank's strategy).
Management HR Committee (MHRC)	6	To act as a forum for prior screening, discussion and recommendation of all human resources–related matters that ultimately appear before the MEC.
Financial Performance Management Committee (FPMC)	10	To monitor financial performance of the Bank's business lines.

DIVIDEND POLICY

The Bank has not adopted a formal dividend policy.

INTERNAL CONTROLS

In 2013, the Board of Directors, through the Board Audit & Compliance Committee, conducted a review of the effectiveness of the Bank's system of internal control covering all material controls, including financial, operational and compliance controls, and risk-management systems. The Board Audit & Compliance Committee has received confirmation from management that the Bank's internal controls have been assessed to be effective and operating as designed, and that management has taken or is taking the necessary action to remedy any failings or weaknesses identified.

Please see details at http://www.adcb.com /about/corpgovernance/overview.asp.

AUDIT ARRANGEMENTS

The external auditors were initially appointed at the 2011 Annual General Meeting (AGM), and at the 2012 and 2013 Annual General Assembly PricewaterhouseCoopers (PwC) were re-appointed as the external auditors of the Bank on the recommendation of the Board of Directors. Bank policy restricts their tenure to no more than seven consecutive years. Bank policy also restricts the tenure of the individual audit partner within the firm to no more than five consecutive years, unless exceptionally approved by the Board Audit & Compliance Committee. The Bank's external auditor is paid on a fixed annual fee basis, as approved by the shareholders at the AGM. In 2013, fees paid to external auditors for audit work conducted during the 2013 year totalled AED 1,566,000 for the audit of UAE business and its subsidiaries. A further AED 901,557 was paid to PwC for non-audit work. All non-audit work performed by PwC was preapproved by the Board's Audit & Compliance Committee.

INTERNAL AUDITS, REGULATION AND SUPERVISION

Please see details at http://www.adcb.com /about/corpgovernance/overview.asp.

DISCLOSURE ENHANCEMENT

The Bank is committed to high standards of transparency. In 2013, the Bank worked on enhancing its disclosures on risk, remuneration, and its Islamic Business and Islamic governance.

DIVERSITY

During 2013, Aysha Al Hallami was appointed as a Director. Aysha Al Hallami is the first woman to be appointed to the Bank's Board of Directors. This is in line with international trends and the Bank's efforts to promote greater diversity at the Board level, and it also corresponds with the government's efforts to empower Emirati women.

The Bank's Board is aware of the advantages of all types of diversity. A diverse board is likely to make better decisions.

ARTICLES OF ASSOCIATION

The Bank's articles of association are available on the Bank's website at *www.adcb .com/about us/corporate governance*.

REPORTS OF THE BOARD COMMITTEE CHAIRMEN

1 AUDIT & COMPLIANCE COMMITTEE

Composition as at 31 December 2013:
Mohamed Darwish Al Khoori (Chairman), Aysha Al Hallami, Abdulla Khalil Al Mutawa, Omar Liaqat
Secretary: Rami Raslan

Statement from the Chairman of the Audit & Compliance Committee

Dear Shareholders,

During 2013, the Audit & Compliance Committee continued focusing on integrity and transparency of the Bank's financial statements, and the effectiveness of the Bank's internal audit, internal controls and compliance functions, in addition to reviewing the work provided by the Bank's statutory auditors, PricewaterhouseCoopers.

The Audit & Compliance Committee was composed of four Non-executive Directors, the majority of whom were considered by the Bank to be independent. The Chairman of the Committee was an independent Director with relevant qualifications and experience.

The Committee held nine meetings in 2013, during which the Committee discussed, reviewed and worked on the following matters:

- overseeing and continuously assessing the effectiveness of the financial reporting and disclosure process;
- monitoring the choice of accounting policies, principles and judgments;
- overseeing regulatory compliance and development of the Bank's compliance function;
- overseeing and continuously assessing the effectiveness of the external audit process;
- monitoring internal controls;
- approving the annual audit plan;
- discussing the annual audited financial statements with management and the external auditor, and, in particular, considering the appropriateness of the Bank's specific and general provisions;
- overseeing the performance and activities of the internal audit function;
- reviewing audit issues raised by the internal and external auditors and management's responses;
- evaluating the external auditor's qualifications, performance and independence;
- discussing risk-management policies and practices with management; and
- reporting regularly to the Bank's Board of Directors.

The Committee regularly met separately with the external auditors and internal auditors in the absence of the Bank's management.

The views of the external and/or internal auditors were solicited when required.

The Board approved the 2013 annual accounts, at the Committee's recommendation, based upon the external auditors' report and the Committee's view that, as a whole, the accounts accurately reflected the Bank's performance in 2013 and that they are fair, balanced and provide the information required by shareholders to assess the Bank's performance. No significant issues were considered by the Committee with respect to the 2013 accounts.

The Board Audit & Compliance Committee has received confirmation from management that the Bank's internal controls have been assessed to be effective and operating as designed, and that management has taken or is taking the necessary action to remedy any failings or weaknesses identified.

The Committee considers that it made positive progress during 2013 towards meeting its responsibilities.

LOOKING AHEAD TO 2014

The Audit & Compliance Committee shall continue to focus on its governance responsibilities in 2014.

Mohamed Darwish Al Khoori
Chairman of the Board's Audit & Compliance Committee

2 CORPORATE GOVERNANCE COMMITTEE

Composition as at 31 December 2013:
Mohamed Ali Al Dhaheri (Chairman), Khalid Deemas Al Suwaidi, Omar Liaqat, Sheikh Sultan bin Suroor Al Dhahiri
Secretary: Rami Raslan

Statement from the Chairman of the Corporate Governance Committee

Dear Shareholders,

During 2013, the Corporate Governance Committee continued to oversee the development of the Bank's governance policies. In particular, the Committee engaged the Bank's divisions to assess their development of certain key governance themes, and oversaw the Board evaluation and implementation of policy adjustments arising from that evaluation.

The Corporate Governance Committee monitors local and international best practices regularly, and reviews and makes recommendations to the Board to enhance the Bank's governance practices in order to achieve high standards of corporate governance.

The Committee adopted a rolling agenda for 2013 that focused on, amongst other things, remuneration governance, risk governance, organisational transparency, Islamic banking governance, financial disclosure, and product governance.

The Committee held five meetings over the course of 2013. Amongst other things, in 2013 the Corporate Governance Committee worked on the following matters:

- reviewing the results of the 2012 Board evaluation and the adoption and monitoring of the action plan arising from it;
- reviewing and recommending amendments to Board and management committees' terms of reference;
- reviewing and recommending amendments to the Bank's governance policies;
- engaging the Bank's divisions and various businesses in its governance framework and providing guidance on enhancing governance practices;
- Directors' professional development programmes;
- ongoing review of international developments in corporate governance and assessment of Bank practices;
- considering corporate governance sponsorships;
- publication of corporate governance information;
- making recommendations to the Board and Board Committees on governance matters; and
- considering internal Bank initiatives to embed corporate governance within the organisation.

The Corporate Governance Committee plays an advisory role, reporting its recommendations to the Board for final approval. The Committee considers that the Bank has developed a robust governance framework, appropriate for the size and status of the Bank. However, there remain areas for improvement.

The Committee considers that positive progress was made during 2013 in the implementation of the Bank's corporate governance initiatives. The Bank's ongoing achievements in corporate governance resulted in the Bank receiving the 'Corporate Governance Award — UAE' from *World Finance* magazine in 2013. The award is in recognition of ADCB's achievements in corporate governance and is an affirmation of the Bank's commitment to upholding the highest standards of governance. The Bank also supported various governance initiatives that were aimed at raising awareness in the SME sector, by seconding its professionals to speak at several conferences.

LOOKING AHEAD TO 2014

The Committee's agenda for 2014 will reflect its ongoing commitment to governance across the Bank through a series of deep-focus sessions into governance matters including, amongst other things, ethics & compliance, bribery & fraud, strategy governance, risk governance, IT governance, sustainability & corporate social responsibility, and procurement governance.

Mohamed Ali Al Dhaheri
Chairman of the Board's Corporate Governance Committee

3 NOMINATION, COMPENSATION & HR COMMITTEE

Composition as at 31 December 2013:
Mohamed Sultan Ghannoum Al Hameli (Chairman), Eissa Mohamed Al Suwaidi, Abdulla Khalil Al Mutawa, Mohamed Ali Al Dhaheri
Joint Secretaries: Ali Darwish, Rami Raslan

Statement from the Chairman of the Nomination, Compensation & HR Committee

Dear Shareholders,

During 2013, the Nomination, Compensation & HR Committee focused on the Bank's remuneration framework, Board skills and composition, and HR policies.

The Nomination, Compensation & HR Committee met six times during 2013 and considered the following:

- selection and nomination of Directors;
- Directors' remuneration and fees;
- CEO performance evaluation and remuneration;
- Bank's remuneration policy for Directors, senior management members and staff;
- variable pay scheme governance;
- implementation of variable pay schemes in line with the international best practices;
- compensation survey findings and position of the Bank's pay practices against the market;
- compensation and variable pay recommendations;
- long-term incentive plans;
- succession planning for Directors and senior management;
- UAE Nationalisation strategy;
- Ambition University — learning and development aligned with business strategy;
- HR policies and practices; and
- retention plans.

The Bank's Emiratisation strategy has been amended and expanded in scope. It includes creative and impactful initiatives developed in partnership with government bodies and world-class education providers to ensure that the Bank attracts, selects and retains the best of the available UAE national talent, and contributes to the skill development of young UAE nationals.

The Committee commissioned an independent review of the Bank's variable pay schemes in 2012 and, during 2013, oversaw the implementation of certain changes recommended by those independent consultants. The changes were aimed at aligning the Bank's remuneration practices with evolving global best practices. In addition, the Committee consulted the Board's advisor on remuneration strategy and governance. The Committee considers that the Bank's remuneration policies are appropriate for the Bank's current size and status, and that its remuneration governance adheres to evolving global standards.

The Bank's HR team has designed and operates a succession plan aimed at ensuring that the key jobs across the organisation are continuously backed up by a pool of experienced and engaged high-potential employees. The Committee considers succession planning at the Bank's senior management levels.

The Committee considers that it made positive progress during 2013 towards meeting its responsibilities.

LOOKING AHEAD TO 2014

In 2014, the Committee shall continue to fulfil its governance responsibilities. Amongst other things, it will focus on UAE nationals strategy, staff retention plans, variable pay, benchmarking Board fees, Directors' independence, performance recognition rewards, succession planning, and applicable international remuneration, compensation and human resources best practices.

Mohamed Sultan Ghannoum Al Hameli
Chairman of the Board's Nomination, Compensation & HR Committee

4 RISK & CREDIT COMMITTEE

Composition as at 31 December 2013:
Eissa Mohamed Al Suwaidi (Chairman), Mohamed Sultan Ghannoum Al Hameli, Khaled H Al Khoori, Aysha Al Hallami
Secretary: Rami Raslan

Statement from the Chairman of the Risk & Credit Committee

Dear Shareholder,

During 2013, the Risk & Credit Committee comprised four Non-executive Directors.

The Committee oversaw management's administration of the Bank's credit portfolio, including management's responses to trends in credit risk, credit concentration and asset quality, and received and reviewed reports from senior management (and appropriate management committees and credit units) regarding compliance with applicable credit risk–related policies, procedures and tolerances. The Committee also assisted the Board in fulfilling its oversight responsibilities with regard to the risk appetite of the Bank, risk-management framework and the governance structure that supports it.

Over the course of 2013, the Committee held 21 meetings and considered a wide range of matters, from credit commitments to risk policies, strategies and new products, with increasing emphasis on risk strategy and policy issues. The Committee:

- considered major credit decisions;
- assisted the Board to define the risk appetite of the Bank and monitored the independence and effectiveness of risk management functions throughout the Bank;
- considered the Bank's key risks, including concentration and sectoral credit exposures;
- ensured the adequacy of infrastructure, resources and systems to maintain a satisfactory level of risk management discipline;
- exercised oversight of management's responsibilities, and reviewed the risk profile of the Bank to ensure that risk exposure conforms to the risk appetite determined by the Board;
- monitored the independence of risk management functions throughout the Bank;
- ensured the existence of a pervasive risk-awareness culture throughout the Bank;
- reviewed issues raised by Internal Audit that might impact the risk-management framework; and
- revised credit limits and country limits to ensure that risk exposure conforms to the risk appetite determined by the Board.

Throughout 2013, the Committee conducted risk strategy and policy meetings on a frequent basis (seven meetings were held focusing only on risk strategy and 'policy issues', and risk strategy issues were considered on an 'as required' basis during other meetings), with the objective of discussing and reviewing strategies, policies, frameworks, models and procedures that lead to the identification, measurement, reporting and mitigation of material risks.

The Committee considers that it made positive progress during 2013 towards meeting its responsibilities.

LOOKING AHEAD TO 2014

For 2014, the surrounding economic environment will continue to shape the Committee's agenda. The Committee will continue to assess and reassess the Bank's risk profile, strategy and appetite dynamically. The 2014 schedule contemplates eight focus-sessions on risk strategy and policy issues.

Eissa Mohamed Al Suwaidi
Chairman of the Board's
Risk & Credit Committee

DIRECTORS' REMUNERATION AND INTERESTS IN THE BANK'S SHARES

DIRECTORS' SHAREHOLDINGS AS AT 31 DECEMBER 2013

	Shareholding in ADCB		Change in shareholding
	As at 31 December 2012	As at 31 December 2013	
Abdulla Khalil Al Mutawa	2,347,277	2,347,277	0
Ala'a Eraiqat***	1,009,063	2,200,000	1,190,937
Aysha Al Hallami*		0	0
Eissa Mohamed Al Suwaidi	0	0	0
Khalid Deemas Al Suwaidi	0	0	0
Khaled H Al Khoori	0	190,000	190,000
Mohamed Ali Al Dhaheri	0	0	0
Mohamed Darwish Al Khoori	837,325	837,325	0
Mohamed Sultan Ghannoum Al Hameli	0	0	0
Omar Liaqat*		0	0
Sheikh Sultan bin Suroor Al Dhahiri	2,835,147	2,835,147	0
Jean-Paul Villain**	6,012		
Salem Mohd Al Ameri**	0		

**Appointed as directors in April 2013.*

***Ceased to be directors in April 2013.*

****Excluding 892,176 unvested restricted units in the Bank's LTIP scheme of which (1) 409,064 will vest on 31 December 2014 subject to early vesting, and (2) 483,112 will vest on 31 December 2015 subject to early vesting.*

BOARD COMMITTEES' FEES

	Nomination, Compensation & HR Committee		Board Risk & Credit Committee		Audit & Compliance Committee		Corporate Governance Committee		Board Committee meeting fees (2013)	Board Member remuneration (paid in 2013 for the year 2012)	Total
Members	Sessions attended	Amount	Sessions attended	Amount	Sessions attended	Amount	Sessions attended	Amount			
Eissa Mohamed Al Suwaidi	6	4,000	25	5,000					149,000	750,000	899,000
Mohamed Sultan Ghannoum Al Hameli	6	5,000	24	4,000					126,000	625,000	751,000
Khaled H Al Khoori			18	4,000	2	6,000			84,000	500,000	584,000
Mohamed Darwish Al Khoori					9	7,500			67,500	500,000	567,500
Abdulla Khalil Al Mutawa	4	4,000	8	4,000	5	6,000			78,000	500,000	578,000
Mohamed Ali Al Dhaheri	3	4,000	8	4,000			5	5,000	69,000	500,000	569,000
Sheikh Sultan bin Suroor Al Dhahiri							1	4,000	4,000	500,000	504,000
Khalid Deemas Al Suwaidi	1	4,000			3	6,000	5	4,000	42,000	500,000	542,000
Aysha Al Hallami			17	4,000	6	6,000			104,000	0	104,000
Omar Liaqat					6	6,000	4	4,000	52,000	0	52,000
Jean-Paul Villain*	1	4,000							4,000	500,000	504,000
Salem Mohd Al Ameri*					2	6,000			12,000	500,000	512,000
Total									791,500	5,375,000	6,166,500

**Board Committee Members until April 2013*

Note: Ala'a Eraiqat (Board Member and Chief Executive Officer) has waived his right to receive Board fees.

REMUNERATION POLICY

Directors' remuneration is set annually by the Board following delegation by the Bank's shareholders. Any proposals for changes are considered by the Nomination, Compensation & HR Committee prior to obtaining Board and, if necessary, shareholder approvals. According to federal laws and the Bank's articles of association, Directors may not receive any remuneration in respect of a year where the Bank does not achieve net profits.

Please see further details at http://www.adcb.com/about/corpgovernance/overview.asp.

BOARD REMUNERATION

Board member remuneration paid during 2013

	Director fees (AED per annum)*
Chairman of Board	750,000
Vice Chairman	625,000
Director	500,000

Board Committee meeting fees paid for attendance in 2013 (per meeting)

	Fees for attendance at Board Committee meetings (other than Audit & Compliance Committee)	Fees for attendance at Audit & Compliance Committee meetings
Committee Chairman	AED 5,000	AED 7,500
Committee Member	AED 4,000	AED 6,000

OTHER BENEFITS

As at 31 December 2013, the Bank's Directors were not eligible for any bonus, long-term or other incentive schemes. Directors do not receive any pension benefits from the Bank.

Please see further details at http://www.adcb.com/about/corpgovernance/overview.asp.

REMUNERATION & REWARD AT ADCB

GUIDING PRINCIPLES

In line with ADCB's commitment to sound governance and promotion of long-term sustainable shareholder value, ADCB's objective is to provide transparency to shareholders and other stakeholders about its remuneration principles and incentives.

- ADCB supports levels of remuneration necessary to attract, retain and motivate staff of the calibre necessary to lead, manage and serve in a competitive environment. However, ADCB seeks to avoid paying more than necessary for this purpose and has practices and policies in place which promote effective risk-management.
- ADCB seeks to ensure that remuneration packages reflect duties and responsibilities, are fair and equitable, and incorporate clear and measurable rewards linked to corporate and personal performance. Rewards will be based only on the results of a rigorous appraisal process.
- As far as possible, bearing in mind market trends and constraints, remuneration shall align the interests of ADCB's staff with the interests of shareholders and other stakeholders, and shall blend short- and long-term incentives. Performance-related elements shall be designed to minimise staff turnover and to give staff incentives to perform at the highest levels, whilst recognising the need to promote effective risk-management.

TOTAL REWARD — KEY COMPONENTS

An employee's rewards at ADCB are made up of:

FIXED PAY

This part of pay is fixed and based on the market rate for each role. It is influenced by each individual's contribution over the year, and any fixed-pay reviews will depend on the achievement of employee's objectives and overall performance level. Fixed pay is made up of a basic salary and a general allowance.

Key Management Fixed Pay

In 2013, Key Management (defined as CEO and his direct reports) received fixed pay, which included basic salary and other allowances (excluding cash and deferred variable pay awards as detailed on page 62) amounting to AED 27,056,384.

ALLOWANCES

Allowances include a social allowance (for UAE nationals), job-specific allowances (such as a teller allowance, a remote area allowance and a shift allowance), and grade-based allowances (such as an education allowance) and are paid in addition to fixed pay.

BENEFITS

Examples of our employee benefits include leave fare, private medical insurance, life assurance cover and annual leave.

VARIABLE PAY

Employees may receive variable pay in addition to fixed pay. It is based on each individual's performance over the year. Variable pay is not always payable, and the amount received may change from year to year. Although individual award amounts are dependent on individual performance, variable pay is also aligned to the business function's performance as well as the Bank's overall performance.

2012/13 Variable Pay Awards

For performance in 2012, the following awards were made to employees in 2013:

- Cash variable pay awards of AED 120,102,745
- Deferred compensation plan awards of AED 47,500,000
- Of this, AED 25,262,500 was allocated to Key Management in cash and AED 22,237,500 in deferred compensation.

ADCB'S BANK-WIDE VARIABLE PAY FRAMEWORK

In 2012, the Bank completed an extensive review of its variable pay (VP) practices, which it had commenced in 2011, and implemented several key changes aimed at improving remuneration governance and alignment with global best practices.

ADCB's Variable Pay Framework & Governance — Key Facts

Aligns individual, business function's & Bank-wide performance.	*Yes*
Differentiates between different functions of the Bank to ensure alignment to the relevant market.	*Yes*
Includes a deferred compensation plan.	*Yes*
Currency of deferred compensation.	*Cash & Shares*
Duration of deferred compensation plan.	*3 years*
Awards subject to thresholds, caps, clawback rules, malus clause, and deferral & retention provisions.	*Yes*
Employs remuneration professionals experienced in the governance of all types of compensation and benefits.	*Yes*
Designed in conjunction with, and reviewed by, independent external advisors reporting directly to the Nomination, Compensation & HR Committee.	*Yes*
Conducts regular external benchmarking to ensure alignment to evolving global best practices.	*Yes*
Constantly monitors the developments in remuneration governance and revises practices to ensure all VP plans evolve in line with the Bank's needs and external developments.	*Yes*
Designed to avoid excessive risk-taking.	*Yes*
Active involvement of Risk in the review of VP plans.	*Yes*
Minimum Shareholding Rule for Key Management.	*Yes*
Aligns employees with the long-term performance of the Bank.	*Yes*

ISLAMIC BANKING GOVERNANCE

The Islamic banking business at Abu Dhabi Commercial Bank PJSC (ADCB) is managed under the 'ADCB Islamic Banking' (ADCB IB) brand, offering shari'ah-compliant financial solutions to Consumer Banking, Wholesale Banking and Treasury clients. It is an independently managed business comprising the Islamic Banking Department (IBD), a business unit of ADCB, and Abu Dhabi Commercial Islamic Finance PJSC (ADCIF), a wholly owned subsidiary of ADCB. ADCB IB and ADCIF are regulated by the Central Bank of the UAE and supervised by an independent Fatwa & Shari'ah Supervisory Board (FSSB). ADCB IB commenced business in September 2008, and ADCIF was established in 2009.

Shari'ah governance is carried out under the guidance of a three member FSSB, which operates in accordance with the Islamic Financial Services Board (IFSB) standards and guidelines as laid out by the Accounting & Auditing Organisation for Islamic Financial Institutions (AAOIFI). Through a retainer agreement, Dar Al Shari'ah Financial Consultancy Company provides day-to-day support and assistance on shari'ah-related matters and coordinates between ADCB IB & FSSB. Fatwas (edicts) are issued by the FSSB for all products and services as well as bespoke structured deals to certify compliance with principles of shari'ah. This includes approving the product structure including the underlying Islamic contract, legal documentation, operational process flow and all associated product literature. The product Fatwas issued by the FSSB are published on the Bank's website and displayed at the Bank's branches.

ADCB IB maintains a separate set of general ledgers to ensure that the books of accounts for the Islamic business are accounted for separately and there is no mingling of Islamic funds with conventional funds. The Bank's consolidated accounts include the results of ADCB IB and ADCIF and are separately disclosed in the notes.

RISK MANAGEMENT

RISK GOVERNANCE FRAMEWORK



EFFECTIVE RISK MANAGEMENT AND CONTROLS

Effective management of risk is important for any bank and fundamental to our strategy. We are looking to create a more efficient, lower-risk, UAE-based retail and commercial bank. We maintain a conservative business model embodied by a risk culture with a prudent appetite for risk.

The Bank's approach to risk rests on an effective control framework and a strong risk management culture that guides our employees' approach to work and the way they do business. Our risk appetite is driven by our strategy and approved by the Board. This risk appetite is then embedded within policies, authorities and limits across the Bank.

RISK CULTURE

Identification, assessment and management of risk are the responsibilities of every staff member within the scope of their work and assignments. Our standards set the tone from the top and are central to our approach to balancing risk and reward. Personal accountability is reinforced by our ADCB Values, with staff expected to act with integrity in conducting their duties.

RISK MANAGEMENT ACTIVITY LEVELS

STRATEGIC LEVEL

Risk management functions performed by senior management and Board of Directors:

- Definition and identification of material risks
- Ascertaining the Bank's risk appetite
- Formulating strategy and policies for managing risks
- Independent review and challenge structures
- Establishing adequate systems and controls to ensure that overall risk remains within acceptable levels and the rewards compensate for the risk taken.

MANAGEMENT (MACRO) LEVEL

Risk management activities performed by middle management or units devoted to risk reviews

- Encompasses risk management with a business area or across business lines

TRANSACTION (MICRO) LEVEL

Risk management activities performed by individuals who take risk on the Bank's behalf such as front office and loan origination functions.

- Involves 'on the line' risk management, where risks are actually created.
- Risk management in these areas is confined to following operational procedures and guidelines set by management.

RISK GOVERNANCE AND OWNERSHIP

ADCB strongly believes in a disciplined approach to managing its risk framework and has actively fostered an organisation-wide culture of prudent risk management. All risk management reviews, decisions and actions are based on an approved enterprise-wide

risk management strategy framework supported by:

- a documented risk appetite statement;
- a comprehensive set of policies and procedures;
- clearly enunciated broad underwriting criteria by segment; and
- a risk governance structure incorporating sufficient in-built challenges, checks and balances.

Our risk management framework fosters the continuous monitoring of the risk environment and an integrated evaluation of risks and their interactions. Integral to our risk management framework are risk appetite, stress-testing, and the identification of top and emerging risks, all of which are discussed below.

RISK PERFORMANCE OVERVIEW 2013

In 2013, our risk focus was on successfully completing, firmly embedding and building upon the various risk initiatives undertaken in the last four years. We embarked upon building a market-leading enterprise risk management framework in 2009, with the aim of entrenching this risk consciousness in the DNA of the organisation, a process whose success we have measured through risk culture surveys conducted at the early stage of the implementation and following completion of the process.

2013 was characterised by changing regulations and intense market competition. The year-end was buoyed with increased market confidence resulting from the Dubai Expo 2020 announcement. The risk management philosophy at ADCB has been to be nimble in this volatile market environment without losing sight of our overall risk philosophy.

Since the last downturn, several risk initiatives have been launched so as to onboard learning from the past and to position the Bank strongly for the next upturn. The single most important initiative was the drive to change the 'risk culture' of the Bank so as to make ADCB a more risk-aware and risk-responsive bank. This was addressed by measures across several fronts — credit & risk training, changes to organisational structure, process enhancements, new systems initiatives, introduction of new risk tools and measures, and, last but not the least, through improved risk communication. The results as demonstrated by a third-party independent survey indicate that ADCB is in the top quartile across several risk culture dimensions — compared to international benchmarks as well as its own historical indicators.

In terms of training, besides ongoing internal training covering all aspects of risk policies, methods, concepts and tools, we completed a Bank-wide credit training, drawing in key staff from across all parts of the underwriting chain and covering the end-to-end underwriting process.

In terms of our risk management practices, we have continuously upgraded our capabilities through risk tools such as RAROC (Risk Adjusted Return on Capital). This enables the Bank to measure risk versus revenues using actual data, exposure and portfolio analyses techniques, with accessibility of data to the rank and file, standardised stress tests, projected ratings, economic capital computation, portfolio level returns, etc. All these tools today form an integral part of our credit-decision and pricing process.

Our disciplined approach to risk management and adherence to policies have contributed to our weighted-average portfolio ratings improving by 1 notch over a 15-month period along with a reduction of both single obligor, sector, revenue and deposit concentrations, a trend which constituted a key pillar of our risk strategy.

RISK MANAGEMENT GOVERNANCE STRUCTURE

Our risk governance structure emphasises and balances strong central oversight and control of risk with clear accountability for, and ownership of, risk within each business unit. Under ADCB's approach to risk governance, the business primarily owns the risk that it generates and is equally responsible for assessing risk, designing and implementing controls, and monitoring and reporting their ongoing effectiveness to safeguard ADCB from exceeding its risk appetite. The Credit & Risk Group and the Internal Audit function, both with independent reporting lines to the Board, constitute the second and third lines of defence, respectively.

ADCB's risk governance model has at its apex the Board-level Risk Committees supported at the Management level by several management-level risk committees, which collectively oversee the overall risk profile of the Bank and its portfolio. These Committees are actively supported by the Credit & Risk Group, the Internal Audit Group and Business Units concerned.

Ultimate responsibility for setting our risk appetite and for the effective management of risk rests with the Board of Directors. Acting within an authority delegated by the Board, the Board Risk & Credit Committee (BRCC) has overall responsibility for oversight and review of all risk types — credit, market, operational, liquidity, fraud, reputational risks, etc. It periodically reviews and monitors compliance with the Group's overall risk appetite and makes recommendations thereon to the Board. Its responsibilities also include reviewing the appropriateness and effectiveness of the Group's risk management systems and controls, overseeing the Management Risk Committees and ensuring that the Bank's risk governance is supportive of prudent risk-taking at all levels in the Bank.

The BRCC receives, on a regular basis, portfolio-level briefings from the Group Chief Risk Officer and also regular reports on risk management, including our portfolio trends, policy parameters, key risk indicators, results of stress-testing, and changes to the assumptions, liquidity measures, capital adequacy and planning, and is authorised to investigate or seek any information relating to any activity within its terms of reference. The BRCC also conducts 'deep dive' reviews on a rolling basis of different sections of the consolidated group risk information report.

ADCB'S APPROACH TO RISK MANAGEMENT

Risk management objectives are clearly defined and communicated across the Bank. The framework is comprehensive and is cascaded down from the Board of Directors to the individual business lines. This framework aims to be flexible enough

ADCB PRIMARY RISK CATEGORIES

		Reference note in audited financial statements
Credit risk	Credit risk reflects the risk of losses because one or more counterparties fail to meet all or part of their obligations towards the Bank. Credit risk also includes concentration risk.	Note 41
Market risk	Market risk is the risk that the Bank's income and/or value of a financial instrument will fluctuate because of changes in market-risk factors such as interest rates, foreign exchange rates, equity prices, commodities prices and options volatilities.	Note 45
Operational risk	Operational risk is the risk of loss arising from system failure, human error, fraud or external events. When controls fail to perform, operational risks can cause damage to reputation, have legal or regulatory implications, or lead to financial loss.	Note 46
Liquidity risk	Liquidity risk is the risk that the Bank will be unable to meet its payment obligations associated with its financial liabilities when they fall due and to replace funds when they are withdrawn.	Note 43
Capital risk	Capital risk is the risk that the Bank has inadequate capital resources: to ensure capital requirements set by the Central Bank of the United Arab Emirates; to safeguard the Bank's ability to continue as a going concern and increase the returns for the shareholders; and to maintain a strong capital base to support the development of its business.	Note 50

to incorporate new businesses that the Bank wishes to undertake while ensuring that risks are simultaneously proactively managed within the Bank.

ADCB defines risk appetite as the level of risk it is normally willing to accept while pursuing the interests of our major stakeholders, including our clients, shareholders, employees and regulators. The Bank has adopted its risk appetite statement keeping in mind its role as a key Abu Dhabi Government-owned bank of systemic importance in the UAE. As a result, we are committed to maintaining a strong balance sheet throughout market cycles and to delivering operational service excellence to meet the expectations of our major stakeholders, including our clients, shareholders, employees and regulators. The balance sheet will be characterised by strong liquidity, superior asset quality and a strong capital structure that supports our risk-taking activities, and the asset base will generate a sustainable income stream that is adequate to absorb potential losses, cover all costs, and provide a fair market return to its shareholders without exhibiting undue volatility or sharp changes in trend.

KEY RISK APPETITE PRINCIPLES

To achieve this overarching risk objective, the Bank has the following key risk-appetite principles:

- Limit overall obligor concentrations and manage sector concentrations
- Increase granularity of overall portfolio with healthy risk-adjusted returns
- Fundamentally improve the 'core engine' by investing in core business
- Predefined risk-reward hurdle for all new business
- Strong drive to improve credit quality in both the existing and new-to-bank portfolios

ADCB has meticulously applied these risk principles in its day-to-day operations to achieve the following results:

Metric	2013
Top 10 obligor concentration	Reduced by 7%
Granular business growth	Increase of AED 5,287 mn in granular businesses
Portfolio rating	New 2013 bookings in corporate book are 4 notches better than the portfolio average.

ADCB has expanded its high-level risk appetite definitions to be more granular at the level of the business unit, and this is expressed both in qualitative and quantitative terms. ADCB 's risk appetite is quantified in terms of maximum loss-taking ability, capital adequacy rates and also liquidity norms that the Bank wishes to maintain under various stress scenarios.

ADCB's approach to the risk management process comprises four basic components: identification and assessment of risk, measurement of risk, control of risk, and the monitoring and reporting of risk. Understanding, identification and management of risk are essential elements for a successful risk management function.

ADCB is primarily exposed to credit risk due to the nature of our portfolio compositions. Our risk-weighted assets (RWA) by risk type are as follows:

Credit RWA	AED 134,760 mn
Market RWA	AED 4,890 mn
Operational RWA	AED 7,217 mn

RISKS FACED BY ADCB

Analysis, evaluation, acceptance and management of risks or combinations of risks are an integral part of every activity we do.

Some principal risks that the Bank believes could cause its future performance to differ materially from expectations are described in the table below. However, other factors could also adversely affect the Bank's performance, and so the risks discussed in this report should not be considered to be a complete set of all potential/emerging risks and uncertainties. For a more full description of the risks faced by the Bank, please see the risk factors set out in the Bank's latest prospectus, found online at http://www.adcb.com/about/investorrelations/financialinformation/adcbsecurities.asp.

The Bank's approach to identifying, assessing, managing and reporting risks is documented in various policies, processes and standard operating procedures (SOPs).

ADCB's Specific Risk Factors are:

Risk Category	Description	Risk management
Increase in non-performing loans due to macroeconomic deterioration.	Deteriorating macroeconomic conditions can have an impact on ADCB's performance and its credit risk profile.	The Bank attempts to mitigate this risk by diversifying its portfolio and managing concentrations. In 2013, every member of the Management Executive Committee has concentration management as part of their performance objective The ADCB risk strategy focuses on growth of granular businesses, and risk parameters are set to encourage granular growth with an improvement in average portfolio quality.
Quality of credit portfolio due to macroeconomic deterioration	ADCB's credit portfolio can worsen due to quality of bookings.	ADCB has underwriting guidelines and minimum credit acceptance criteria to ensure that the quality of bookings improve the portfolio quality. For instance, in 2012, due to disciplined credit process, the portfolio rating improved by 1 notch.
Changes in regulations and laws	ADCB is a highly regulated entity, and changes to applicable laws or regulations, the interpretation or enforcement of such laws/regulations, or the failure to comply with such laws/regulations could have an adverse impact on ADCB's business.	The Bank closely watches the key regulatory developments in order to anticipate changes and impact on business. ADCB participates in regulatory consultative meetings to enhance the financial supervisory framework. ADCB is an active member of various forums such as UAE Banks Federation and actively tries to influence regulations. Regulatory compliance is closely monitored by the Risk and Audit areas under the oversight of the Board-level risk committees.
Interest rate risk	Interest rate risk is the risk resulting from exposures to changes in the level, slope, curvature of yield curves and the volatilities of interest rates.	Interest rate risk is controlled by measuring interest rate sensitivity in both the Banking Book and the Trading Book. In addition, stress-test metrics and limits are in place to control the exposure. Swaps are entered on a regular basis to hedge the interest rate risk.
Funding risk	Funding risk is the risk that the Bank is unable to achieve its business plans due to its capital position, liquidity position or structural position.	Funding is diversified, and it is raised through both retail and wholesale operations. In addition, business is required to self-fund all new operations. We also strive to maintain a large portion of our funding as sticky deposits.
Information security risk	Information security risk is the risk of loss of confidential information and disruption of processes due to unavailability of IT systems and may cause financial damage.	The Bank proactively identifies top organisational information security risks by continuous evaluation of threats and benchmarking Information Security controls against leading industry standards. An information risk heat map that maps the bank's protection mechanism against ever-evolving cyber threats is in place and continually updated. Knowledge from a variety of sources like published research, security forums and regional events are utilised to keep this mechanism relevant. A comprehensive technology risk management programme covers classification of assets, identification of vulnerabilities and assessment of the risks of all internal assets that enables prioritising and mitigating the internal risks. All internal systems and applications undergo regular security testing, which ensures the effectiveness of security controls.

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CONSOLIDATED FINANCIAL STATEMENTS

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REPORT OF THE INDEPENDENT AUDITOR ON THE CONSOLIDATED FINANCIAL STATEMENTS

To the Shareholders of
Abu Dhabi Commercial Bank PJSC
Abu Dhabi, UAE

Report on the consolidated financial statements

We have audited the accompanying consolidated financial statements of Abu Dhabi Commercial Bank PJSC ("the Bank") and its subsidiaries (together referred to as "the Group") which comprise the consolidated statement of financial position as at December 31, 2013 and the consolidated statements of income, comprehensive income, changes in equity and cash flows for the year then ended and a summary of significant accounting policies and other explanatory notes.

Management's responsibility for the consolidated financial statements

Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with International Financial Reporting Standards, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's responsibility

Our responsibility is to express an opinion on these consolidated financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those Standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance whether the consolidated financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the consolidated financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the consolidated financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the consolidated financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the financial position of the Group as at December 31, 2013 and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards.

Report on other legal and regulatory requirements

Further, in respect of the Bank, as required by the UAE Federal Law No. (8) of 1984, as amended, we report that we have obtained all the information we considered necessary for the purposes of our audit; the financial statements of the Bank comply, in all material respects, with the applicable provisions of the UAE Federal Law No. (8) of 1984, as amended, and its Articles of Association; the Bank has maintained proper books of account and the financial statements are in agreement therewith; the financial information included in the Chairman's Message and the CEO's Message is consistent with the books of account of the Bank; and nothing has come to our attention which causes us to believe that the Bank has breached any of the applicable provisions of the UAE Federal Law No. (8) of 1984, as amended, or of its Articles of Association which would materially affect its activities or its financial position as at December 31, 2013. Further, as required by the UAE Union Law No. (10) of 1980, as amended, we report that we have obtained all the information and explanations we considered necessary for the purpose of our audit.

For **PricewaterhouseCoopers**
January 26, 2014



Jacques E. Fakhoury
Registered Auditor Number 379
Abu Dhabi, United Arab Emirates

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

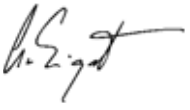
as at 31 December 2013

	Notes	2013 AED'000	2012 AED'000	2013 USD'000
Assets				
Cash and balances with central banks	5	9,961,206	9,337,874	2,712,008
Deposits and balances due from banks	6	11,344,700	16,517,118	3,088,674
Trading securities	7	884,640	641,877	240,849
Derivative financial instruments	8	3,616,203	4,993,226	984,537
Investment securities	9	20,854,772	18,712,916	5,677,858
Loans and advances, net	10	131,648,670	123,195,295	35,842,273
Investment properties	11	560,690	529,395	152,652
Other assets	12	3,404,638	5,925,962	926,937
Property and equipment, net	13	805,322	849,934	219,255
Intangible assets	14	61,695	92,126	16,797
Total assets		183,142,536	180,795,723	49,861,840
Liabilities				
Due to banks	15	4,291,011	4,411,271	1,168,258
Derivative financial instruments	8	3,965,587	4,768,338	1,079,659
Deposits from customers	16	115,427,708	109,216,925	31,426,003
Euro commercial paper	17	5,940,435	4,557,108	1,617,325
Borrowings	18	23,785,568	26,139,647	6,475,788
Other liabilities	19	4,910,917	6,994,845	1,337,031
Total liabilities		158,321,226	156,088,134	43,104,064
Equity				
Share capital	20	5,595,597	5,595,597	1,523,441
Share premium		3,848,286	3,848,286	1,047,723
Other reserves, net of treasury shares	21	5,135,440	6,288,591	1,398,160
Retained earnings		5,597,275	4,537,315	1,523,897
Capital notes	24	4,000,000	4,000,000	1,089,028
Equity attributable to equity holders of the Bank		24,176,598	24,269,789	6,582,249
Non-controlling interests		644,712	437,800	175,527
Total equity		24,821,310	24,707,589	6,757,776
Total liabilities and equity		183,142,536	180,795,723	49,861,840

These consolidated financial statements were approved by the Board of Directors and authorised for issue on 26 January 2014 and signed on its behalf by:



Eissa Al Suwaidi
Chairman



Ala'a Eraiqat
Chief Executive Officer



Deepak Khullar
Chief Financial Officer

The accompanying Notes are an integral part of these consolidated financial statements.

CONSOLIDATED INCOME STATEMENT

for the year ended 31 December 2013

	Notes	2013 AED'000	2012 AED'000	2013 USD'000
Interest income	25	6,519,957	7,469,680	1,775,104
Interest expense	26	(1,551,605)	(2,356,370)	(422,435)
Net interest income		4,968,352	5,113,310	1,352,669
Income from Islamic financing	22	596,818	354,045	162,488
Islamic profit distribution	22	(135,988)	(260,124)	(37,024)
Net income from Islamic financing		460,830	93,921	125,464
Total net interest and Islamic financing income		5,429,182	5,207,231	1,478,133
Net fees and commission income	27	992,536	940,035	270,225
Net trading income	28	537,393	302,686	146,309
Decrease in fair value of investment properties	11	–	(28,836)	–
Other operating income	29	360,508	174,032	98,151
Operating income		7,319,619	6,595,148	1,992,818
Operating expenses	30	(2,358,186)	(2,069,264)	(642,033)
Operating profit before impairment allowances		4,961,433	4,525,884	1,350,785
Impairment allowances	31	(1,334,298)	(1,709,719)	(363,272)
Profit before taxation		3,627,135	2,816,165	987,513
Overseas income tax expense		(7,491)	(5,830)	(2,039)
Net profit for the year		3,619,644	2,810,335	985,474
Attributed to:				
Equity holders of the Bank		3,365,309	2,735,810	916,229
Non-controlling interests		254,335	74,525	69,245
Net profit for the year		3,619,644	2,810,335	985,474
Basic earnings per share (AED/USD)	32	0.59	0.45	0.16
Diluted earnings per share (AED/USD)	32	0.58	0.45	0.16

The accompanying Notes are an integral part of these consolidated financial statements.

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

for the year ended 31 December 2013

	2013 AED'000	2012 AED'000	2013 USD'000
Net profit for the year	**3,619,644**	2,810,335	**985,474**
Items that may be re-classified subsequently to the consolidated income statement			
Exchange difference arising on translation of foreign operations	**(25,353)**	(6,812)	**(6,903)**
Fair value changes on cash flow hedges	**14,044**	29,337	**3,824**
Fair value changes on available-for-sale investments	**(65,690)**	821,606	**(17,885)**
Other comprehensive (loss)/income for the year	**(76,999)**	844,131	**(20,964)**
Total comprehensive income for the year	**3,542,645**	3,654,466	**964,510**
Attributed to:			
Equity holders of the Bank	**3,288,310**	3,579,941	**895,265**
Non-controlling interests	**254,335**	74,525	**69,245**
Total comprehensive income for the year	**3,542,645**	3,654,466	**964,510**

The accompanying Notes are an integral part of these consolidated financial statements.

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

for the year ended 31 December 2013

	Share capital AED'000	Share premium AED'000	Other reserves, net of treasury shares AED'000	Retained earnings AED'000	Capital notes AED'000	Equity attributable to equity holders of the Bank AED'000	Non-controlling interests AED'000	Total equity AED'000
Balance at 1 January 2013	**5,595,597**	**3,848,286**	**6,288,591**	**4,537,315**	**4,000,000**	**24,269,789**	**437,800**	**24,707,589**
Net profit for the year	–	–	–	**3,365,309**	–	**3,365,309**	**254,335**	**3,619,644**
Other comprehensive loss for the year	–	–	**(76,999)**	–	–	**(76,999)**	–	**(76,999)**
Other movements (Note 21)	–	–	**(1,076,152)**	**(673,062)**	–	**(1,749,214)**	–	**(1,749,214)**
Dividends paid to equity holders of the parent, net	–	–	–	**(1,397,983)**	–	**(1,397,983)**	–	**(1,397,983)**
Net decrease in non-controlling interests	–	–	–	–	–	–	**(47,423)**	**(47,423)**
Net realised gain on treasury shares	–	–	–	**5,696**	–	**5,696**	–	**5,696**
Capital notes coupon paid (Note 24)	–	–	–	**(240,000)**	–	**(240,000)**	–	**(240,000)**
Balance at 31 December 2013	**5,595,597**	**3,848,286**	**5,135,440**	**5,597,275**	**4,000,000**	**24,176,598**	**644,712**	**24,821,310**
Balance at 1 January 2012	5,595,597	3,848,286	4,919,896	3,708,227	4,000,000	22,072,006	5,517	22,077,523
Net profit for the year	–	–	–	2,735,810	–	2,735,810	74,525	2,810,335
Other comprehensive income for the year	–	–	844,131	–	–	844,131	–	844,131
Other movements (Note 21)	–	–	524,564	(547,162)	–	(22,598)	–	(22,598)
Arising on consolidation of fund subsidiaries	–	–	–	–	–	–	397,565	397,565
Dividends paid to non-controlling interests	–	–	–	–	–	–	(5,517)	(5,517)
Dividends paid to equity holders of the parent, net	–	–	–	(1,118,277)	–	(1,118,277)	–	(1,118,277)
Net decrease in non-controlling interests	–	–	–	–	–	–	(34,290)	(34,290)
Net realised loss on treasury shares	–	–	–	(1,283)	–	(1,283)	–	(1,283)
Capital notes coupon paid (Note 24)	–	–	–	(240,000)	–	(240,000)	–	(240,000)
Balance at 31 December 2012	5,595,597	3,848,286	6,288,591	4,537,315	4,000,000	24,269,789	437,800	24,707,589

For the year ended 31 December 2013, the Board of Directors has proposed to pay cash dividends representing 30% of the paid-up capital (Note 20).

The accompanying Notes are an integral part of these consolidated financial statements.

CONSOLIDATED STATEMENT OF CASH FLOWS

for the year ended 31 December 2013

	2013 AED'000	2012 AED'000	2013 USD'000
Operating Activities			
Profit before taxation	**3,627,135**	2,816,165	**987,513**
Adjustments for:			
Depreciation on property and equipment (Note 13)	**127,222**	131,286	**34,637**
Amortisation of intangible assets (Note 14)	**30,431**	31,527	**8,285**
Decrease in fair value of investment property (Note 11)	**–**	28,836	**–**
Impairment allowance on loans and advances, net (Note 41.8)	**1,554,120**	1,874,123	**423,120**
Discount unwind (Note 41.8)	**(144,016)**	(129,920)	**(39,209)**
Impairment recoveries, net of allowances on investment securities (Note 31)	**(31,858)**	(2,726)	**(8,674)**
Impairment allowance on property and equipment, net (Note 13)	**–**	21,337	**–**
Net (gains)/losses from disposal of available-for-sale investments (Note 29)	**(32,911)**	4,224	**(8,960)**
Net gains from trading securities (Note 28)	**(307,282)**	(104,018)	**(83,660)**
Ineffective portion of hedges — losses/(gains) (Note 8)	**9,238**	(22,559)	**2,515**
Employees' incentive plan benefit expense (Note 23)	**39,448**	48,339	**10,740**
Cash flow from operating activities before changes in operating assets and liabilities	**4,871,527**	4,696,614	**1,326,307**
Decrease/(increase) in balance with Central Bank	**1,025,000**	(1,500,000)	**279,063**
(Increase)/decrease in due from banks	**(5,692,166)**	4,430,974	**(1,549,732)**
Decrease in net trading derivative financial instruments	**42,957**	1,216	**11,695**
Net proceeds from disposal of/(purchases of) trading securities	**64,519**	(43,388)	**17,566**
Increase in loans and advances, net	**(9,864,527)**	(193,230)	**(2,685,687)**
(Increase)/decrease in other assets	**(39,573)**	23,206	**(10,774)**
Decrease in due to banks	**(278,943)**	(108,820)	**(75,944)**
Increase in deposits from customers	**6,164,461**	19,836	**1,678,318**
Increase/(decrease) in other liabilities	**507,322**	(881,381)	**138,122**
Cash (used in)/from operations	**(3,199,423)**	6,445,027	**(871,066)**
Overseas tax paid	**(9,717)**	(8,221)	**(2,646)**
Net cash (used in)/from operations	**(3,209,140)**	6,436,806	**(873,712)**
Investing Activities			
Impairment recoveries on available-for-sale investments	**31,858**	12,669	**8,674**
Overseas tax (paid)/refund, net	**(34,196)**	39,624	**(9,310)**
Net purchase of available-for-sale investments	**(4,643,834)**	(4,332,960)	**(1,264,316)**
Net proceeds from disposal of available-for-sale investments	**2,257,177**	1,408,955	**614,532**
Additions to investment properties (Note 11)	**(17,236)**	(85,625)	**(4,693)**
Net purchase of property and equipment	**(82,610)**	(113,733)	**(22,491)**
Net cash used in investing activities	**(2,488,841)**	(3,071,070)	**(677,604)**
Financing Activities			
Net increase in euro commercial paper	**1,404,151**	3,742,432	**382,290**
Net proceeds from borrowings	**12,933,276**	1,449,800	**3,521,175**
Repayment of borrowings	**(14,553,447)**	(7,208,013)	**(3,962,278)**
Dividends paid to non-controlling interests	**–**	(5,517)	**–**
Net proceeds from sale of treasury shares by Fund subsidiaries	**14,621**	9,119	**3,981**
Dividends paid to shareholders, net	**(1,397,983)**	(1,118,277)	**(380,611)**
Buyback of own shares (Note 20)	**(1,796,957)**	–	**(489,234)**
Net movement in non-controlling interests	**(47,423)**	(36,599)	**(12,911)**
Purchase of employees' incentive plan shares	**(630)**	(40,000)	**(172)**
Capital notes coupon paid (Note 24)	**(240,000)**	(240,000)	**(65,342)**
Net cash used in financing activities	**(3,684,392)**	(3,447,055)	**(1,003,102)**
Net decrease in cash and cash equivalents	**(9,382,373)**	(81,319)	**(2,554,418)**
Cash and cash equivalents at the beginning of the year	**19,180,314**	19,261,633	**5,221,975**
Cash and cash equivalents at the end of the year (Note 34)	**9,797,941**	19,180,314	**2,667,557**

Operating activities include dividend income and interest income on available-for-sale investments.

The accompanying Notes are an integral part of these consolidated financial statements.

1 ACTIVITIES AND AREAS OF OPERATIONS

Abu Dhabi Commercial Bank PJSC ("ADCB" or the "Bank") is a public joint stock company with limited liability incorporated in the emirate of Abu Dhabi, United Arab Emirates (UAE). ADCB is principally engaged in the business of retail, commercial and Islamic Banking and provision of other financial services through its network of 50 branches and three pay offices in the UAE, two branches in India, one offshore branch in Jersey, and ADCB subsidiaries.

The registered head office of ADCB is at Abu Dhabi Commercial Bank Head Office Building, Salam Street, Plot C- 33, Sector E-11, P. O. Box 939, Abu Dhabi, UAE.

ADCB is registered as a public joint stock company in accordance with the UAE Federal Commercial Companies Law No. 8 of 1984 (as amended).

2 APPLICATION OF NEW AND REVISED INTERNATIONAL FINANCIAL REPORTING STANDARDS (IFRSs)

IFRS 10 — Consolidated Financial Statements, IFRS 12 — Disclosures of Interests in Other Entities and other related Standards and amendments effective from 1 January 2013 were early-adopted with a date of initial application of 1 January 2012.

With effect from 1 January 2013, the Bank has adopted IFRS 13 — Fair Value Measurement, which aims to improve consistency and reduce complexity by providing a precise definition of fair value and improving disclosure requirements for use across IFRSs. It applies to both financial and non-financial instruments carried at fair value and requires additional disclosures in the consolidated financial statements. The disclosure note requirements are set out in Note 39.

Other than the above, there are no other IFRSs or IFRIC interpretations that were effective for the first time for the financial year beginning 1 January 2013 that have had a material impact on the Bank's consolidated financial statements.

STANDARDS AND INTERPRETATIONS IN ISSUE BUT NOT YET EFFECTIVE

The Bank has not early-adopted any new and revised IFRSs that have been issued but are not yet effective.

NEW STANDARDS AND AMENDMENTS TO STANDARDS:

Effective for annual periods beginning on or after 1 January 2014:

(a) Amendments to IAS 32 — Financial Instruments require presentation to clarify certain aspects because of diversity in application of the requirements on offsetting, focused on four main areas:

- the meaning of 'currently has a legally enforceable right of set-off'
- the application of simultaneous realisation and settlement
- the offsetting of collateral amounts
- the unit of account for applying the offsetting requirements

(b) Amendments to IFRS 10 — Consolidated Financial Statements, IFRS 12 — Disclosure of Interests in Other Entities, and IAS 27 — Separate Financial Statements relate only to investment entities, therefore will not apply to banks.

(c) Amendment to IAS 36 — Impairment of Assets to reduce the circumstances in which the recoverable amount of assets or cash-generating units is required to be disclosed, to clarify the disclosures required, and to introduce an explicit requirement to disclose the discount rate used in determining impairment (or reversals) where recoverable amount (based on fair value less costs of disposal) is determined using a present-value technique.

(d) Amendment to IAS 39 — Financial Instruments: Recognition and Measurement makes it clear that there is no need to discontinue hedge accounting if a hedging derivative is novated, provided certain criteria are met.

(e) Amendment to IAS 19 — Employee Benefits clarifies the requirements that relate to how contributions from employees or third parties that are linked to service should be attributed to periods of service. In addition, it permits a practical expedient if the amount of the contributions is independent of the number of years of service.

These amendments will not have a material impact on the Bank's consolidated financial statements.

IFRS 9 — Financial Instruments: Classification and Measurement (intended as complete replacement for IAS 39 — Financial Instruments)

Key requirements of IFRS 9 are described as follows:

IFRS 9 requires all recognised financial assets that are within the scope of IAS 39 to be subsequently measured at amortised cost or fair value. Specifically, debt investments that are held within a business model whose objective is to collect the contractual cash flows, and that have contractual cash flows that are solely payments of principal and interest on the principal outstanding, are generally measured at amortised cost at the end of subsequent accounting periods. All other debt investments and equity investments are measured at their fair values at the end of subsequent accounting periods.

Earlier effective dates for IFRS 9 have been withdrawn by the IASB and an effective date will be announced once the standard is complete with a new impairment model and finalisation of any limited amendments to classification and measurement.

Management anticipates that these IFRSs and amendments will be adopted in the consolidated financial statements in the initial period when they become mandatorily effective. The Bank is yet to assess IFRS 9's full impact, particularly as reconsideration of impairment and macro hedge accounting aspects of IFRS 9 are still outstanding.

3 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

3.1 BASIS OF PREPARATION

The consolidated financial statements have been prepared on a going-concern basis and in accordance with International Financial Reporting Standards (IFRSs) issued by the International Accounting Standards Board (IASB).

IFRSs comprise accounting standards issued by the IASB as well as Interpretations issued by the International Financial Reporting Interpretations Committee (IFRIC).

As required by the Securities and Commodities Authority of the UAE ("SCA") Notification No. 2624/2008 dated 12 October 2008, the Bank's exposure in cash and balances with central banks, deposits and balances due from banks, and trading and investment securities outside the UAE have been presented under the respective notes.

Certain items have been reclassified, consolidated and rearranged from the Bank's prior-year consolidated financial statements to conform to the current year's presentation and improve the transparency of certain line items of the consolidated statement of financial position, the consolidated income statement, and the consolidated statement of changes in equity, and the notes to the accounts.

3.2 MEASUREMENT

The consolidated financial statements have been prepared under the historical cost convention except as modified by the revaluation of financial assets and liabilities at fair value through profit and loss, available-for-sale financial assets, and investment properties.

3.3 FUNCTIONAL AND PRESENTATION CURRENCY

The consolidated financial statements are prepared and presented in United Arab Emirates dirhams (AED), which is the Bank's functional and presentation currency. Except as indicated, financial information presented in AED has been rounded to the nearest thousand.

The U.S. dollar (USD) amounts in the primary financial statements are presented for the convenience of the reader only by converting the AED balances at the pegged exchange rate of 1 USD = 3.673 AED.

3.4 USE OF ESTIMATES AND JUDGEMENTS

The preparation of financial statements requires management to make judgements, estimates and assumptions that affect the application of the accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in any future periods affected.

Information about significant areas of estimation uncertainty and critical judgements in applying accounting policies that have the most significant effect on the amounts recognised in the consolidated financial statements are described in Note 4.

3.5 BASIS OF CONSOLIDATION

The consolidated financial statements incorporate the financial statements of Abu Dhabi Commercial Bank PJSC and its subsidiaries (collectively referred to as "ADCB" or the "Bank") as set in Note 49.

Subsidiaries

Subsidiaries are entities controlled by the Bank. The Bank controls an entity when it is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. The financial statements of subsidiaries are included in the consolidated financial statements from the date that control commences until the date that control ceases.

Special purpose entities

Special purpose entities (SPEs) are entities that are created to accomplish a narrow and well-defined objective such as the securitisation of particular assets, or the execution of a specific borrowing or lending transaction. An SPE is consolidated if, based on an evaluation of the substance of its relationship with the Bank, the Bank's power over the SPE, exposures or rights to variable returns from its involvement with the SPE, and its ability to use its power over the SPE at inception and subsequently to affect the amount of its return, the Bank concludes that it controls the SPE.

The assessment of whether the Bank has control over an SPE is carried out at inception, and, normally, no further reassessment of control is carried out in the absence of changes in the structure or terms of the SPE, or additional transactions between the Bank and the SPE, except whenever there is a change in the substance of the relationship between the Bank and an SPE.

Funds management

The Bank manages and administers assets held in unit trusts on behalf of investors. The financial statements of these entities are not included in the consolidated financial statements except when the Bank controls the entity, as referred to above, or is the principal investor. Information about the Funds managed by the Bank is set out in Note 48.

Loss of control

Upon the loss of control, the Bank derecognises the assets and liabilities of the subsidiary, any non-controlling interests and the other components of equity related to the subsidiary. Any surplus or deficit arising on the loss of control is recognised in the consolidated income statement. If the Bank retains any interest in the previous subsidiary, then such interest is measured at fair value at the date that control is lost. Subsequently, it is accounted for as an equity-accounted investee or in accordance with the Bank's accounting policy for financial instruments, depending on the level of influence retained.

Transactions eliminated on consolidation

Intra-group balances, income and expenses (except for foreign currency transaction gains or losses) arising from intra-group transactions, are eliminated in preparing the consolidated financial statements. Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

Investments in associates

Associates are those entities in which the Bank has significant influence, but not control or joint control, over the financial and operating policies. Significant influence is presumed to exist when the Bank holds between 20% and 50% of the voting power of another entity.

Investments in associates are accounted for using the equity method and are recognised initially at cost. The cost of the investments includes transaction costs.

The consolidated financial statements include the Bank's share of the profit or loss and other comprehensive income of equity-accounted investees, after adjustments to align the accounting policies with those of the Bank, from the date that significant influence commences until the date that significant influence ceases.

When the Bank's share of losses exceeds its interest in an equity-accounted investee, the carrying amount of the investment, including any long-term interests that form part thereof, is reduced to zero, and the recognition of further losses is discontinued except to the extent that the Bank has an obligation or has made payments on behalf of the investee.

Joint arrangements

Joint arrangements are arrangements over which the Bank has joint control, established by contracts requiring unanimous consent for decisions about the activities that significantly affect the arrangements' returns. They are classified and accounted for as follows:

Joint operation — when the Bank has rights to the assets and obligations for the liabilities, relating to an arrangement, it accounts for each of its assets, liabilities and transactions, including its share of those held or incurred jointly, in relation to the joint operation.

Joint venture — when the Bank has rights only to the net assets of the arrangements, it accounts for its interest using the equity method, as for associates.

3.6 FOREIGN CURRENCIES

Items included in the financial statements of each of the Bank's entities are measured using the currency of the primary economic environment in which the entity operates (the 'functional currency'). The consolidated financial statements of the Bank are presented in AED, which is the Bank's functional and presentation currency.

Foreign currency transactions are translated into the functional currency using the exchange rates prevailing on the dates of the transaction. Monetary assets and liabilities denominated in foreign currencies are translated into the functional currency at the rate of exchange prevailing at the statement of financial position date. Any resulting exchange differences are included in the consolidated income statement. Non-monetary assets and liabilities are translated at historical exchange rates or year-end exchange rates if held at fair value, as appropriate. The resulting foreign-exchange gains or losses are recognised in either the consolidated income statement or the consolidated other comprehensive income statement, depending upon the nature of the asset or liability.

In the consolidated financial statements, the assets, including related goodwill, where applicable, and liabilities of branches and subsidiaries whose functional currency is not AED, are translated into the Bank's presentation currency at the rate of exchange prevailing at the statement of financial position date. The results of branches and subsidiaries whose functional currency is not AED are translated into AED at the average rates of exchange for the reporting period. Exchange differences arising from the retranslation of opening foreign currency net investments, and exchange differences arising from retranslation of the result for the reporting period from the average rate to the exchange rate prevailing at the period end, are recognised in other comprehensive income and accumulated in equity in the 'foreign currency translation reserve' (Note 21).

On disposal or partial disposal (i.e., of associates or jointly controlled entities not involving a change of accounting basis) of a foreign operation, exchange differences relating thereto and previously recognised in reserves are recognised in the consolidated income statement on a proportionate basis, except in the case of partial disposal (i.e., no loss of control) of a subsidiary that includes a foreign operation, where the proportionate share of accumulated exchange differences are reattributed to non-controlling interests and are not recognised in the consolidated income statement.

3.7 FINANCIAL INSTRUMENTS

Date of recognition

All financial assets and liabilities are initially recognised on the date at which the Bank becomes a party to the contractual provision of the instrument except for "regular way" purchases and sales of financial assets which are recognised on settlement date basis (other than derivative contracts). Settlement date is the date that the Bank physically receives or transfers the assets. Regular way purchases or sales are those that require delivery of assets within the time frame generally established by regulation or convention in the marketplace. Any significant change in the fair value of assets which the Bank has committed to purchase at the consolidated statement of financial position date is recognised in the consolidated income statement for assets classified as held-for-trading, and in other comprehensive income for assets classified as available for sale, and no adjustments are recognised for assets carried at cost or amortised cost.

Measurement of financial instruments

The classification of financial instruments at initial recognition depends on the purpose and the management's intention for which the financial instruments were acquired and their characteristics. All financial instruments are measured initially at their fair value, plus transaction costs, except in the case of financial assets and financial liabilities recorded at fair value through profit or loss.

Derivatives

A derivative financial instrument is a financial contract between two parties, where payments are dependent upon movements in the price of one or more underlying financial instrument, reference rate or index.

Derivative financial instruments are initially measured at fair value at trade date, and are subsequently remeasured at fair value. All derivatives are carried at their fair values as assets where the fair values are positive, and as liabilities where the fair values are negative. Derivative assets and liabilities arising from different transactions are only offset if the transactions are with the same counterparty, a legal right of offset exists, and the parties intend to settle the cash flows on a net basis.

Derivative fair values are determined from quoted prices in active markets where available. Where there is no active market for an instrument, fair value is derived from prices for the derivative's components using appropriate pricing or valuation models.

The method of recognising fair value gains and losses depends on whether derivatives are held-for-trading or are designated as hedging instruments, and if the latter, the nature of the risks being hedged. All gains and losses from changes in the fair value of derivatives held-for-trading are recognised in the consolidated income statement under net gain on dealing in derivatives (Note 28).

Financial assets and liabilities designated at fair value through profit or loss (FVTPL)

Financial assets and liabilities are classified as at FVTPL when either held-for-trading or when designated as at FVTPL.

A financial asset or liability is classified as held-for-trading if:

- it has been acquired principally for the purpose of selling it in the near term; or
- on initial recognition it is part of a portfolio of identified financial instruments that the Bank manages together and has a recent actual pattern of short-term profit-taking; or
- it is a derivative that is not designated and effective as a hedging instrument.

A financial asset or liability other than held-for-trading may be designated as at FVTPL upon initial recognition if:

- such designation eliminates or significantly reduces a measurement or recognition inconsistency that would otherwise arise for measuring assets or liabilities on a different basis; or
- it forms part of a group of financial assets or financial liabilities or both, which is managed, and its performance is evaluated on a fair value basis, in accordance with the Bank's documented risk management or investment strategy, and information about the grouping is provided internally on that basis; or
- it forms part of a contract containing one or more embedded derivatives and IAS 39 — Financial Instruments: Recognition and Measurement permits the entire combined contract (asset or liability) to be designated as at FVTPL.

Financial assets and liabilities at FVTPL are stated at fair value, with any gains or losses arising on remeasurement recognised in the consolidated income statement.

Held-to-maturity

Investments which have fixed or determinable payments with fixed maturities which the Bank has the positive intention and ability to hold to maturity are classified as held-to-maturity investments.

Held-to-maturity investments are initially recognised at fair value plus any directly attributable transaction costs and are subsequently measured at amortised cost using the effective interest-rate method, less any impairment losses, with revenue recognised on an effective-yield basis.

Amortised cost is calculated by taking into account any discount or premium on acquisition using an effective interest-rate method.

If there is objective evidence that an impairment on held-to-maturity investments carried at amortised cost has been incurred, the amount of impairment loss recognised in the consolidated income statement is the difference between the asset's carrying amount and the present value of estimated future cash flows, discounted at the investments' original effective interest rate.

Investments classified as held-to-maturity and not close to their maturity cannot ordinarily be sold or reclassified without impacting the Bank's ability to use this classification and cannot be designated as a hedged item with respect to interest-rate or prepayment risk, reflecting the longer-term nature of these investments.

Available-for-sale

Investments not classified as either "fair value through profit or loss" or "held to maturity" are classified as "available for sale". Available-for-sale assets are intended to be held for an indefinite period of time and may be sold in response to liquidity requirements or changes in interest rates, commodity prices or equity prices.

Available-for-sale investments are initially recognised at fair value plus any directly attributable transaction costs and are subsequently measured at fair value. The fair values of quoted financial assets in active markets are based on current prices. If the market for a financial asset is not active, and for unquoted securities, the Bank establishes fair value by using valuation techniques (e.g., recent arm's-length transactions, discounted cash flow analysis and other valuation techniques). Only in very rare cases, where fair value cannot be measured reliably, are investments carried at cost and tested for impairment, if any.

Gains and losses arising from changes in fair value are recognised in the other comprehensive income statement and recorded in cumulative changes in fair value with the exception of impairment losses, interest calculated using the effective interest method, and foreign-exchange gains and losses on monetary assets which are recognised directly in the consolidated income statement. Where the investment is disposed of or is determined to be impaired, the cumulative gain or loss previously recognised in equity in the cumulative changes in fair value is included in the consolidated income statement for the year.

If an available-for-sale investment is impaired, the difference between the acquisition cost (net of any principal repayments and amortisation) and the current fair value, less any previous impairment loss recognised in the consolidated income statement, is removed from equity and recognised in the consolidated income statement.

Once an impairment loss has been recognised on an available-for-sale financial asset, the subsequent accounting treatment for changes in the fair value of that asset differs depending on the nature of the available-for-sale financial asset concerned:

- For an available-for-sale debt security, a subsequent decline in the fair value of the instrument is recognised in the consolidated income statement when there is further objective evidence of impairment as a result of further decreases in the estimated future cash flows of the financial asset. Where there is no further objective evidence of impairment, the decline in the fair value of the financial asset is recognised directly in equity. If the fair value of a debt security increases in a subsequent period, and the increase can be objectively related to an event occurring after the impairment loss was recognised in the consolidated income statement, the impairment loss is reversed through the income statement to the extent of the increase in fair value.
- For an available-for-sale equity security, all subsequent increases in the fair value of the instrument are treated as a revaluation and are recognised in other comprehensive income, accumulating in equity. A subsequent decline in the fair value of the instrument is recognised in the consolidated income statement, to the extent that further cumulative impairment losses have been incurred in relation to the acquisition cost of the equity security. Impairment losses recognised on the equity security are not reversed through the consolidated income statement.

Deposits and balances due from banks and Loans and advances, net

Deposits and balances due from banks and Loans and advances, net include non-derivative financial assets originated or acquired by the Bank with fixed or determinable payments that are not quoted in an active market and regarding which it is expected that substantially all of the initial investments will be recovered other than because of credit deterioration. Placements with banks represent time-bound term deposits.

After initial measurement at fair value plus any directly attributable transaction costs, amounts 'Deposits and balances due from banks' and 'Loans and advances, net' are subsequently measured at amortised cost using the effective interest rate, less allowance for impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees and costs that are an integral part of the effective interest rate. The losses arising from impairment are recognised in the consolidated income statement.

Debt issued and other borrowed funds

Financial instruments issued by the Bank are classified as liabilities, where the substance of the contractual arrangement results in the Bank having an obligation either to deliver cash or another financial asset to the holder, or to satisfy the obligation other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of owned equity shares. These are recognised initially at fair value, net of transaction costs.

After initial measurement, debt issued and other borrowings are subsequently measured at amortised cost using the effective interest rate. Amortised cost is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the effective interest rate.

A compound financial instrument which contains both a liability and an equity component is separated at the issue date. A portion of the net proceeds of the instrument is allocated to the debt component on the date of issue based on its fair value (which is generally determined based on the quoted market prices for similar debt instruments). The equity component is assigned the residual amount after deducting from the fair value of the instrument as a whole the amount separately determined for the debt component.

Other financial liabilities

Other financial liabilities are initially measured at fair value, net of transaction costs. Other financial liabilities are subsequently measured at amortised cost using the effective interest method, with interest expense recognised on an effective-yield basis.

Reclassification of financial assets

Reclassifications are recorded at fair value at the date of reclassification, which is recognised as the new amortised cost.

For a financial asset reclassified out of the Available–for–sale category, any previous gain or loss on that asset recognised in equity is amortised to profit or loss over the remaining life of the investment using the effective interest rate. Any difference between the new amortised cost and the expected cash flows is also amortised over the remaining life of the asset using the effective interest rate. If the asset is subsequently determined to be impaired, then the amount recorded in equity is recycled to the consolidated income statement.

The Bank may in rare circumstances reclassify a non-derivative trading asset out of the Held-for-trading category into the Loans and receivables category if it meets the definition of loans and receivables and the Bank has the intention and ability to hold the financial asset for the foreseeable future or until maturity. If a financial asset is reclassified, and if the Bank subsequently increases its estimates of future cash receipts as a result of increased recoverability of those cash receipts, the effect of that increase is recognised as an adjustment to the effective interest rate from the date of the change in estimate.

Reclassification is at the election of management and is determined on an instrument-by-instrument basis. The Bank does not reclassify any financial instrument into the Fair value through profit or loss category after initial recognition.

Derecognition of financial assets and financial liabilities

Financial assets

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is derecognised when:

- the rights to receive cash flows from the asset have expired; or
- the Bank has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'passthrough' arrangement; and either:
  - the Bank has transferred substantially all the risks and rewards of the asset, or
  - the Bank has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Bank has neither transferred its rights to receive cash flows from an asset nor has entered into a passthrough arrangement, and has neither transferred nor retained substantially all the risks and rewards of the asset nor transferred control of the asset, the asset is recognised to the extent of the Bank's continuing involvement in the asset. In that case, the Bank also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Bank has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Bank could be required to repay.

Financial liabilities
A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or extinguishment is treated as a derecognition of the original liability and the recognition of a new liability.

The difference between the carrying value of the original financial liability and the consideration paid is recognised in the consolidated income statement.

Offsetting
Financial assets and liabilities are offset and reported net in the consolidated statement of financial position only when there is a legally enforceable right to set off the recognised amounts and when the Bank intends to settle either on a net basis, or to realise the asset and settle the liability simultaneously. Income and expenses are presented on a net basis only when permitted by the accounting standards, or for gains and losses arising from a group of similar transactions such as in the Bank's trading activity.

The Bank is party to a number of arrangements, including master netting agreements that give it the right to offset financial assets and financial liabilities but, where it does not intend to settle the amounts net or simultaneously, the assets and liabilities concerned are presented on a gross basis.

3.8 SALE AND REPURCHASE AGREEMENTS

Securities sold subject to a commitment to repurchase them at a predetermined price at a specified future date (repos) continue to be recognised in the consolidated statement of financial position and a liability is recorded in respect of the consideration received under borrowings. The difference between sale and repurchase price is treated as interest expense using the effective interest-rate yield method over the life of the agreement. Assets purchased with a corresponding commitment to resell at a specified future date (reverse repos) are not recognised in the consolidated statement of financial position. Amounts placed under these agreements are included in 'Deposits and balances due from banks'. The difference between purchase and resale price is treated as interest income using the effective yield method over the life of the agreement.

3.9 SECURITIES BORROWING AND LENDING

Securities borrowing and lending transactions are usually secured by cash or securities advanced by the borrower. Borrowed securities are not recognised on the statement of financial position, nor are lent securities derecognised. Cash collateral received or given is treated as a financial asset or liability. However, where securities borrowed are transferred to third parties, a liability for the obligation to return the securities to the stock lending counterparty is recorded. The securities borrowing-and-lending-activity arrangements are generally entered into through repos and reverse repos.

3.10 CASH AND CASH EQUIVALENTS

Cash and cash equivalents include cash on hand, balances held with central banks, deposits and balances due from banks or due to banks, items in the course of collection from or in transmission to other banks, and highly liquid assets with original maturities of less than three months from the date of acquisition, which are subject to insignificant risk of changes in their fair value and are used by the Bank in the management of its short-term commitments. Cash and cash equivalents are carried at amortised cost in the statement of financial position.

3.11 LOAN IMPAIRMENT

Refer to Credit Risk Management Overview section — Note 41.8.

3.12 AMORTISED COST MEASUREMENT

The amortised cost of a financial asset or liability is the amount at which the financial asset or liability is measured at initial recognition, minus principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between the initial amount recognised and the maturity amount, minus any reduction for impairment. The effective interest rate is the rate that exactly discounts estimated future cash payments through the expected life of the financial liability, or, where appropriate, a shorter period to the net carrying amount of the financial asset or financial liability.

3.13 FAIR VALUE MEASUREMENT

The Bank measures its financial assets and liabilities at the market price that it would receive to sell an asset or pay to transfer a liability in an orderly transaction between market participants at the measurement date in the principal market, or, in its absence, in the most advantageous market for the assets or liabilities. The Bank considers principal market as the market with the greatest volume and level of activity for financial assets and liabilities.

The Bank measures its non-financial assets at a price that takes into account a market participant's ability to generate economic benefits by using the assets for their highest and best use.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date, in the principal, or, in its absence, the most advantageous market to which the Bank has access at that date on the measurement date, under current market conditions, regardless of whether that price is directly observable or estimated

using another valuation technique. The fair value of a liability reflects its non-performance risk.

When applicable, the Bank measures the fair value of an instrument using the quoted price in an active market for that instrument. A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

When there is no quoted price in an active market, the bank uses valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs. The chosen valuation technique incorporates all the factors that market participants would take into account into pricing a transaction.

The best evidence of the fair value of a financial instrument at initial recognition is normally the transaction price, i.e., the fair value of the consideration given or received. If the Bank determines that the fair value at initial recognition differs from the transaction price, and the fair value is evidenced neither by a quoted price in an active market for an identical asset or a liability nor based on valuation technique that uses only data from observable markets, the instrument is initially measured at fair value, adjusted to defer the difference between the fair value at initial recognition and the transaction price. Subsequently, the difference is recognised in profit or loss on an appropriate basis over the life of the instrument but no later than when the valuation is supported wholly by observable market data or the transaction is closed out.

If an asset or a liability measured at fair value has a bid and an ask price, the Bank measures assets and long positions at a bid price and liabilities and short positions at an ask price.

Portfolios of financial assets and financial liabilities that are exposed to market risk and credit risk and that are managed by the Bank on the basis of the net exposure to either the market or credit risk are measured on the basis of a price that would be received to sell a net long position (or paid to transfer a net short position) for a particular risk exposure. Those portfolio-level adjustments are allocated to the individual assets and liabilities on the basis of the relative risk adjustment of each of the individual instruments in the portfolio.

The Bank's policy is to recognise transfers into and transfers out of fair value hierarchy levels as of the date of the event or change in circumstances that caused the transfer.

3.14 HEDGE ACCOUNTING

Derivatives designated as hedges are classified as either: (i) hedges of the change in the fair value of recognised assets or liabilities or firm commitments ('fair value hedges'); (ii) hedges of the variability in future cash flows attributable to a particular risk associated with a recognised asset or liability, or a highly probable forecast transaction that could affect future reported net income ('cash flow hedges'); or (iii) a hedge of a net investment in a foreign operation ('net investment hedges'). Hedge accounting is applied to derivatives designated in this way, provided certain criteria are met.

At the inception of a hedging relationship, to qualify for hedge accounting, the Bank documents the relationship between the hedging instruments and the hedged items as well as its risk management objective and its strategy for undertaking the hedge. The Bank also requires a documented assessment, both at hedge inception and on an ongoing basis, of whether or not the hedging instruments, primarily derivatives, that are used in hedging transactions are highly effective in offsetting the changes attributable to the hedged risks in the fair values or cash flows of the hedged items. Interest income and expenses on designated qualifying hedge swaps is included in 'Net interest income'.

Fair value hedges

Where a hedging relationship is designated as a fair value hedge, the hedged item is adjusted for the change in fair value in respect of the risk being hedged. Gains or losses on the changes in fair value of both the derivative and the hedged item attributable to hedged risk are recognised in the consolidated income statement, and the carrying amount of the hedged item is adjusted accordingly. If the derivative expires, is sold, terminated, exercised, no longer meets the criteria for fair value hedge accounting, or the designation is revoked, hedge accounting is discontinued. Any adjustment up to that point to the carrying value of a hedged item, for which the effective interest method is used, is amortised in the consolidated income statement as part of the recalculated effective interest rate over the period to maturity or derecognition.

Cash flow hedges

The effective portion of changes in the fair value of derivatives that are designated and qualify as cash flow hedges are recognised in other comprehensive income and accumulated in equity. The gain or loss relating to the ineffective part is recognised immediately in the consolidated income statement. Amounts accumulated in equity are reclassified from other comprehensive income and transferred to the consolidated income statement in the periods in which the hedged item affects profit or loss, in the same line of the consolidated income statement as the recognised hedged item. However, when the forecast transaction that is hedged results in the recognition of a non-financial asset or a non-financial liability, the cumulative gains or losses previously deferred in equity are transferred from equity and included in the initial measurement of the cost of the non-financial asset or non-financial liability. Hedge accounting is discontinued when the Bank revokes the hedging relationship; when the hedging instrument expires or is sold, or is terminated or exercised; or when a hedge no longer meets the criteria for hedge accounting.

Any cumulative gains or losses recognised in equity remain in equity until the forecast transaction is recognised, in the case of a non-financial asset or a non-financial liability, or until the forecast transaction affects the consolidated income statement. If the forecast transaction is no longer expected to occur, the cumulative gains or losses recognised in equity are immediately transferred to the consolidated income statement from other comprehensive income.

Net investment hedge

Hedges of net investments in foreign operations are accounted for in a similar way to cash flow hedges. A gain or loss on the effective portion of the hedging instrument is recognised in other comprehensive income and held in the net investment hedge reserve. The gain or loss relating to the ineffective portion is recognised immediately in the consolidated income statement. Gains and losses accumulated in equity are reclassified from other comprehensive income and included in the consolidated income statement on the disposal of the foreign operation.

Hedge-effectiveness testing

To qualify for hedge accounting, the Bank requires that at the inception of the hedge and through its life, each hedge must be expected to be highly effective (prospective effectiveness) and demonstrate actual effectiveness (retrospective effectiveness) on an ongoing basis.

The documentation of each hedging relationship sets out how the effectiveness of the hedge is assessed. The method the Bank adopts for assessing hedge effectiveness depends on its risk management strategy.

For prospective effectiveness, the hedging instrument must be expected to be highly effective in offsetting changes in fair value or cash flows attributable to the hedged risk during the period for which the hedge is designated. For actual effectiveness to be achieved, the changes in fair value or cash flows must offset each other in the range of 80% to 125%. Hedge ineffectiveness is recognised in the consolidated income statement.

Derivatives that do not qualify for hedge accounting

All gains and losses from changes in the fair values of derivatives that do not qualify for hedge accounting are recognised immediately in the consolidated income statement in 'Net gains on dealing in derivatives' under Net trading income (Note 28).

3.15 EQUITY INSTRUMENTS

Debt and equity instruments are classified as either financial liability or equity in accordance with the substance of the contractual arrangement.

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Equity instruments issued by the Bank are recognised at the proceeds received, net of direct issue costs.

A financial instrument is classified as equity if, and only if, both conditions (a) and (b) below are met.

(a) The instrument includes no contractual obligation:

- to deliver cash or another financial asset to another entity; or
- to exchange financial assets or financial liabilities with another entity under conditions that are potentially unfavourable to the Bank.

(b) If the instrument will or may be settled in the Bank's own equity instruments, it is:

- a non-derivative that includes no contractual obligation for the Bank to deliver a variable number of its own equity instruments; or
- a derivative that will be settled only by the Bank exchanging a fixed amount of cash or another financial asset for a fixed number of its own equity instruments.

3.16 TREASURY SHARES AND CONTRACTS ON OWN SHARES

Own equity instruments of the Bank which are acquired by the Bank or any of its subsidiaries (treasury shares) are deducted from other reserves and accounted for at weighted average cost. Consideration paid or received on the purchase, sale, issue or cancellation of the Bank's own equity instruments is recognised directly in equity.

No gain or loss is recognised in the consolidated income statement on the purchase, sale, issue or cancellation of own equity instruments.

Contracts on own shares that require physical settlement of a fixed number of own shares for a fixed consideration are classified as equity and added to or deducted from equity. Contracts on own shares that require net cash settlement or provide a choice of settlement are classified as trading instruments and changes in the fair value are reported in the consolidated income statement.

3.17 FINANCIAL GUARANTEES

Financial guarantees are contracts that require the Bank to make specified payments to reimburse the holder for a loss it incurs because a specified party fails to meet its obligation when due in accordance with the contractual terms.

Financial guarantee contracts are initially recognised at their fair value, which is likely to equal the premium received on issuance. The received premium is amortised over the life of the financial guarantee. The guarantee liability (the notional amount) is subsequently recognised at the higher of this amortised amount and the present value of any expected payments (when a payment under guarantee has become probable). The premium received on these financial guarantees is included within other liabilities.

3.18 ACCEPTANCES

Acceptances have been considered within the scope of IAS 39 — Financial Instruments: Recognition and Measurement and are recognised as a financial liability in the consolidated statement of financial position with a contractual right of reimbursement from the customer as a financial asset. Therefore, commitments in respect of acceptances have been accounted for as financial assets and financial liabilities.

3.19 COLLATERAL PENDING SALE

The Bank occasionally acquires real estate and other collaterals in settlement of certain loans and advances. Such real estate and other collaterals are stated at the lower of the net realisable value of the loans and advances and the current fair value of such assets less costs to sell at the date of acquisition. Gains or losses on disposal and unrealised losses on revaluation are recognised in the consolidated income statement.

3.20 IMPAIRMENT OF NON-FINANCIAL ASSETS

At each consolidated statement of financial position date, the Bank reviews the carrying amounts of its non-financial assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the assets is estimated in order to determine the extent of the impairment loss (if any). Where it is not possible to estimate the recoverable amount of an individual asset, the Bank estimates the recoverable amount of the cash-generating unit to which the asset belongs.

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised in the consolidated income statement, unless the relevant asset is carried at a revalued amount, in which case the impairment loss is treated as a revaluation decrease.

Where an impairment loss subsequently reverses, the carrying amount of the asset (cash-generating unit) is increased to the revised estimate of its recoverable amount, such that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (cash-generating unit) in prior years. A reversal of an impairment loss is recognised in the consolidated income statement, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

3.21 LEASING

The determination of whether an arrangement is a lease or contains a lease is based on the substance of the arrangement and requires an assessment of whether the fulfilment of the arrangement is dependent on the use of a specific asset or assets and whether the arrangement conveys a right to use the asset.

Bank as a lessee — Leases which do not transfer to the Bank substantially all the risks and benefits incidental to ownership of the leased items are operating leases. Operating lease payments are recognised as an expense in the consolidated income statement on a straight-line basis over the lease term. Contingent rentals payable are recognised as an expense in the period in which they are incurred.

Bank as a lessor — Leases where the Bank does not transfer substantially all the risk and benefits of ownership of the asset are classified as operating leases. Operating lease receivables are recognised as income in the consolidated income statement on a straight-line basis over the lease term. Contingent rents are recognised as revenue in the period in which they are earned.

3.22 INVESTMENT PROPERTIES

Investment property is property held either to earn rental income or for capital appreciation, or both, but not for sale in the ordinary course of business, use in the production or supply of goods or services, or for administrative purposes. Investment property is reflected at valuation based on fair value at the statement of financial position date. Refer to Note 3.13 for policy on fair valuation of non-financial assets.

The fair value is determined on a periodic basis by independent professional valuers. Fair value adjustments on investment property are included in the consolidated income statement in the period in which these gains or losses arise.

Investment properties under development that are being constructed or developed for future use as investment property are measured initially at cost, including all direct costs attributable to the design and construction of the property, including related staff costs. Subsequent to initial recognition, investment properties under development are measured at fair value. Gains and losses arising from changes in the fair value of investment properties under development are included in the consolidated income statement in the period in which they arise.

3.23 PROPERTY AND EQUIPMENT

Property and equipment are stated at cost less accumulated depreciation and impairment loss, if any. Cost includes expenditure that is directly attributable to the acquisition of the asset. Changes in the expected useful life are accounted for by changing the depreciation period or method, as appropriate, and treated as changes in accounting estimates.

Depreciation is charged to the consolidated income statement so as to write off the depreciable amount of property and equipment over their estimated useful lives using the straight-line method. The depreciable amount is the cost of an asset less its residual value. Land is not depreciated.

Estimated useful lives are as follows:

Freehold properties	15 to 25 years
Leasehold and freehold improvements	5 to 10 years
Furniture, equipment and vehicles	3 to 5 years
Computer equipment and accessories	3 to 10 years

Property and equipment are derecognised on disposal or when no future economic benefits are expected from their use. Gain or loss arising on the disposal or retirement of an asset is determined as the difference between the sales proceeds and the carrying amount of the asset at that date and is recognised in the consolidated income statement.

3.24 BUSINESS COMBINATIONS AND GOODWILL

The purchase method of accounting is used to account for business acquisitions by the Bank. The cost of acquisition is measured at the fair value of the consideration given at the date of exchange. The acquired identifiable assets, liabilities and contingent liabilities are measured at their fair values at the date of acquisition. Any excess of the cost of acquisition over the fair value of the Bank's share of the identifiable assets, liabilities and contingent liabilities acquired is recorded as goodwill. If the cost of acquisition is less than the fair value of the Bank's share of the identifiable assets, liabilities and contingent liabilities of the business acquired, the difference is recognised immediately in the consolidated income statement.

Goodwill acquired on business combination is carried at cost as established at the date of acquisition of the business less accumulated impairment losses, if any.

For the purpose of impairment testing, goodwill is allocated to each of the Bank's cash generating units that is expected to benefit from the synergies of the combination.

A cash-generating unit to which goodwill has been allocated is tested for impairment annually, or more frequently when there is indication that the unit may be impaired. If the recoverable amount of the cash-generating unit is less than its carrying amount, the impairment loss is allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to the other assets of the unit pro rata based on the carrying amount of each asset in the unit. Any impairment loss of goodwill is recognised directly in the consolidated income statement. An impairment loss recognised for goodwill is not reversed in subsequent periods.

On disposal of the relevant cash-generating unit, the attributable amount of goodwill is included in the determination of the gain or loss on disposal.

3.25 CAPITAL WORK IN PROGRESS

Capital work in progress is stated at cost. When the asset is ready for use, capital work in progress is transferred to the appropriate property and equipment category and depreciated in accordance with the Bank's policies.

3.26 BORROWING COSTS

Borrowing costs directly attributable to the acquisition or construction of qualifying assets, which are assets that necessarily take a substantial period of time to get ready for their intended use, are added to the cost of those assets until such time as the assets are substantially ready for their intended use.

All other borrowing costs are recognised in the consolidated income statement in the period in which they are incurred.

3.27 MANDATORY CONVERTIBLE SECURITIES

The components of mandatory convertible securities issued by the Bank are classified separately as equity and financial liability in accordance with the substance of the contractual arrangement. At the date of issue, the fair value of the liability component is estimated using the prevailing market interest rate for a similar non-convertible instrument. This amount is recorded as a liability on an amortised cost basis using the effective interest method until extinguished upon conversion or at the instrument's maturity date. The equity component is determined by deducting the amount of the liability component from the fair value of the convertible securities as a whole. This is recognised and included as a separate component in the consolidated statement of changes in equity and is not subsequently remeasured.

3.28 EMPLOYEE BENEFITS

(i) Employees' end-of-service benefits

(a) Defined benefit plan

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The liability recognised in the statement of financial position in respect of defined benefit gratuity plans is the present value of the defined benefit obligation at the end of the reporting period together with adjustments for unrecognised past-service costs. The defined benefit obligation is calculated annually by independent actuaries using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest rates of high-quality corporate bonds that are denominated in the currency in which the benefits will be paid and that have terms to maturity approximating to the terms of the related pension obligation.

Past-service costs are recognised immediately in income, unless the changes to the gratuity plan are conditional on the employees' remaining in service for a specified period of time (the vesting period). In this case, the past-service costs are amortised on a straight-line basis over the vesting period.

The Bank provides end-of-service benefits for its expatriate employees. The entitlement to these benefits is based upon the employees' length of service and completion of a minimum service period. The expected costs of these benefits are accrued over the period of employment.

(b) Defined contribution plan

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution pension plans are recognised as an employee benefit expense in the consolidated income statement in the periods during which services are rendered by employees.

Pension and national insurance contributions for UAE and GCC citizens are made by the Bank to the Abu Dhabi Retirement Pensions and Benefits Fund in accordance with UAE Federal Law No. 7 of 1999.

(ii) Termination benefits

Termination benefits are recognised as an expense when the Bank is committed demonstrably, without realistic possibility of withdrawal, to a formal detailed plan either to terminate employment before the normal retirement date or to provide termination benefits as a result of an offer made to encourage voluntary redundancy. Termination benefits for voluntary redundancies are recognised if the Bank has made an offer of voluntary redundancy, if it is probable that the offer will be accepted, and if the number of acceptances can be estimated reliably. If benefits are payable more than 12 months after the reporting date, then they are discounted to their present value.

(iii) Short-term employee benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid under short-term cash bonus or profit-sharing plans if the Bank has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

(iv) Employees' incentive plan shares

The cost of the equity-settled share-based payments is expensed over the vesting period, based on the Bank's estimate of equity instruments that will eventually vest. At the end of each reporting period, the Bank revises its estimate of the number of equity instruments expected to vest. The impact of the revision of the original estimates, if any, is recognised in the consolidated income statement over the remaining vesting period, with a corresponding adjustment to the employees' incentive plan reserve.

Where the terms of an equity-settled award are modified, the minimum expense recognised is the expense as if the terms had not been modified. An additional expense is recognised for any modification which increases the total fair value of the share-based payment arrangement or is otherwise beneficial to the employee as measured at the date of modification.

Where an equity-settled award is cancelled, it is treated as if it had vested on the date of cancellation, and any expense not yet recognised for the award is recognised immediately. This includes any award where non-vesting conditions within the control of either the entity or the counterparty are not met. However, if a new award is substituted for the cancelled award and designated as a replacement award on the date that it is granted, the cancelled and new awards are treated as if they were a modification of the original award, as described in the previous paragraph.

The dilutive effect of outstanding incentive plan shares is reflected in the computation of diluted earnings per share (Note 32).

3.29 PROVISIONS AND CONTINGENT LIABILITIES

Provisions are recognised when the Bank has a present legal or constructive obligation as a result of past events and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate of the amount of the obligation can be made. Where a provision is measured using the cash flows estimated to settle the present obligation, its carrying amount is the present value of those cash flows.

Provisions for onerous contracts are recognised when the expected benefits to be derived by the Bank from a contract are lower than the unavoidable cost of meeting its obligation under the contract. The provision is measured at the present value of the lower of the expected cost of terminating the contract and the expected net cost of continuing with the contract. Before a provision is established, the Bank recognises any impairment loss on the assets associated with that contract.

When some or all of the economic benefits required to settle a provision are expected to be recovered from a third party, a receivable is recognised as an asset only if it is virtually certain that reimbursement will be received and the amount of the receivable can be measured reliably.

Contingent liabilities, which include certain guarantees and letters of credit, are possible obligations that arise from past events whose existence will be confirmed only by the occurrence, or non-occurrence, of one or more uncertain future events not wholly within the Bank's control; or are present obligations that have arisen from past events but are not recognised because it is not probable that settlement will require outflow of economic benefits, or because the amount of the obligations cannot be reliably measured. Contingent liabilities are not recognised in the consolidated financial statements but are disclosed in the notes to the consolidated financial statements, unless they are remote.

3.30 SEGMENT REPORTING

A segment is a distinguishable component of the Bank that is engaged in providing either products or services (business segment) or products or services within a particular economic environment (geographical segment), which is subject to risks and rewards that are different from those of other segments. Refer to Note 37 on Business Segment Reporting.

3.31 TAXATION

Provision is made for taxes at rates enacted or substantively enacted as at statement of financial position date on taxable profits of overseas branches and subsidiaries in accordance with the fiscal regulations of the respective countries in which the Bank operates.

3.32 INTANGIBLE ASSETS

The Bank's intangible assets other than goodwill include intangible assets acquired in business combinations.

An intangible asset is recognised only when its cost can be measured reliably and it is probable that the expected future economic benefits that are attributable to it will flow to the Bank. Intangible assets acquired separately are measured on initial recognition at fair value and subsequently at cost less accumulated amortisation and impairment loss.

Intangible assets acquired in a business combination and recognised separately from goodwill are initially recognised at their fair value at the acquisition date which is regarded as their cost.

The useful lives of intangible assets are assessed to be either finite or indefinite. Intangible assets with finite lives are amortised over the useful economic life. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed once a year. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are accounted for by changing the amortisation period or method, as appropriate, and treated as changes in accounting estimates and accounted for on a prospective basis. The amortisation expense on intangible assets with finite lives is recognised in the consolidated income statement.

Estimated useful lives are as follows:

Credit card customer relationships	3 years
Wealth Management customer relationships	4 years
Core deposit intangibles	5 years

3.33 REVENUE AND EXPENSE RECOGNITION

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Bank and the revenue can be reliably measured. The following specific recognition criteria must also be met before revenue is recognised.

(i) Interest income and expense

For all financial instruments measured at amortised cost, interest-bearing financial assets classified as available-for-sale and financial instruments designated at fair value through profit or loss, interest, and similar income or expense is recorded using the effective interest rate (EIR), which is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial asset or financial liability. The calculation takes into account all contractual terms of the financial instrument and includes any fees or incremental costs that are directly attributable to the instrument and are an integral part of the EIR, but not future credit losses.

The carrying amount of the financial asset or financial liability is adjusted if the Bank revises its estimates of payments or receipts. The adjusted carrying amount is calculated based on the original effective interest rate.

Once the recorded value of a financial asset or a group of similar financial assets has been reduced due to an impairment loss, interest income continues to be recognised using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss.

(ii) Dividend income

Dividend income is recognised when the Bank's right to receive the payment is established.

(iii) Fee and commission income

The Bank earns fee and commission income from a diverse range of services it provides to its customers. Fee income can be divided into the following two categories:

(a) Fee income earned from services that are provided over a certain period of time

Fees earned for the provision of services over a period of time are accrued over that period. These fees include commission income and asset management, custody and other management and advisory fees.

Loan commitment fees for loans that are likely to be drawn down and other credit-related fees are deferred (together with any incremental costs) and recognised as an adjustment to the effective interest rate on the loan. When it is unlikely that a loan will be drawn down, the loan commitment fees are recognised over the commitment period on a straight-line basis.

(b) Fee income from providing transaction services

Fees arising from negotiating or participating in the negotiation of a transaction for a third party, such as the arrangement of the acquisition of shares or other securities or the purchase or sale of businesses, are recognised on completion of the underlying transaction. Fees or components of fees that are linked to a certain performance are recognised after fulfilling the corresponding criteria.

3.34 ISLAMIC FINANCING

The Bank engages in shari'ah-compliant Islamic Banking activities through various Islamic instruments such as Murabaha, Ijara, Salam, Mudaraba, Wakala and Sukuk. These are accounted in accordance with IAS 39 — Financial instrument: Recognition and Measurement.

Murabaha financing

A sale contract whereby the Bank sells to a customer commodities and other assets at an agreed-upon profit markup on cost. The Bank purchases the assets based on a promise received from a customer to buy the item purchased according to specific terms and conditions. Profit from Murabaha is quantifiable at the commencement of the transaction. Such income is recognised as it accrues over the period of the contract using the effective profit rate method on the balance outstanding.

Ijara financing

Ijara financing is an agreement whereby the Bank (lessor) leases or constructs an asset based on the customer's (lessee) request and promises to lease the assets for a specific period against certain rent instalments. Ijara could end in transferring the ownership of the asset to the lessee at the end of the lease period. Also, the Bank transfers substantially all the risks and rewards related to the ownership of the leased asset to the lessee. Ijara income is recognised on an effective profit rate basis over the lease term.

Mudaraba

Mudaraba is a contract between the Bank and a customer, whereby one party (Rab Al Mal) provides the funds and the other party (the Mudarib) invests the funds in a project or a particular activity, and any profits generated are distributed between the parties according to the profit shares that were pre-agreed in the contract. The Mudarib would bear the loss in case of default, negligence or violation of any of the terms and conditions of the Mudaraba. Otherwise, losses are borne by the Rab Al Mal. Income is recognised based on expected results adjusted for actual results on distribution by the Mudarib, whereas if the Bank is the Rab Al Mal, the losses are charged to the Bank's consolidated income statement when incurred.

Salam

Bai Al Salam is a sale contract where the customer (seller) undertakes to deliver/supply a specified tangible asset to the Bank (buyer) at a mutually agreed future date(s) in exchange for an advance price fully paid on the spot by the buyer.

Revenue on Salam financing is recognised on the effective profit rate basis over the period of the contract, based on the Salam capital outstanding.

Wakala

Wakala is an agreement between the Bank and a customer whereby one party (Rab Al Mal) provides a certain sum of money to an agent (Wakil) who invests it according to specific conditions in return for a certain fee (a lump sum of money or a percentage of the amount invested). The agent is obliged to guarantee the invested amount in case of default, negligence or violation of any of the terms and conditions of the Wakala. The Bank may be Wakil or Rab Al Mal, depending on the nature of the transaction.

Estimated income from Wakala is recognised on the effective profit rate basis over the period, adjusted by actual income when received. Losses are accounted for when incurred.

Sukuk

Sukuk are certificates of equal value representing undivided shares in ownership of tangible assets, usufructs and services or (in the ownership of) the assets of particular projects or special investment activity. They are asset-backed trust certificates evidencing ownership of an asset or its *usufruct* (earnings or benefits), and comply with the principle of shari'ah.

Sukuk form part of Debts issued and other borrowed funds as mentioned in Note 18.

4 SIGNIFICANT ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS

The reported results of the Bank are sensitive to the accounting policies, assumptions and estimates that underlie the preparation of these consolidated financial statements. IFRS requires the management, in preparing the Bank's consolidated financial statements, to select suitable accounting policies, apply them consistently, and make judgements and estimates that are reasonable and prudent. In the absence of an applicable standard or interpretation, IAS 8 — Accounting Policies, Changes in Accounting Estimates and Errors requires management to develop and apply an accounting policy that results in relevant and reliable information in the light of the requirements and guidance in IFRS dealing with similar and related issues and the IASB's Framework for the Preparation and Presentation of Financial Statements. The judgements and assumptions involved in the Bank's accounting policies that are considered by the Board of Directors to be the most important to the portrayal of its financial condition are discussed below. The use of estimates, assumptions or models that differ from those adopted by the Bank would affect its reported results.

IMPAIRMENT LOSSES ON LOANS AND ADVANCES

The Bank reviews its individually significant loans and advances at each statement of financial position date to assess whether an impairment loss should be recorded in the consolidated income statement. In particular, management judgement is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. These estimates are based on assumptions about a number of factors and actual results may differ, resulting in future changes to the allowance.

Loans and advances that have been assessed individually and found not to be impaired, and all individually insignificant loans and advances, are then assessed collectively, in groups of assets with similar risk characteristics, to determine whether provision should be made due to incurred loss events for which there is objective evidence but whose effects are not yet evident. The collective assessment takes account of data from the loan portfolio (such as levels of arrears, credit utilisation, loan to collateral ratios, etc.), and judgements to the effect of concentrations of risks and economic data (real estate prices indices, country risk and the performance of different individual groups, etc.).

The impairment loss on loans and advances is disclosed in more detail in Note 41.8.

VALUATION OF FINANCIAL INSTRUMENTS

The best evidence of fair value is a quoted price for the instrument being measured in an actively traded market. In the event that the market for a financial instrument is not active, a valuation technique is used. The majority of valuation techniques employ only observable market data, and so the reliability of the fair value measurement is high. However, certain financial instruments are valued on the basis of valuation techniques that include one or more significant market inputs that are unobservable. Valuation techniques that rely to a greater extent on unobservable inputs require a higher level of

management judgement to calculate a fair value than those based wholly on observable inputs.

Valuation techniques used to calculate fair values are discussed in Note 39. The main assumptions and estimates which management consider when applying a model with valuation techniques are:

- the likelihood and expected timing of future cash flows on the instrument. These cash flows are estimated based on the terms of the instrument, and judgement may be required when the ability of the counterparty to service the instrument in accordance with the contractual terms is in doubt. Future cash flows may be sensitive to changes in market rates;
- selecting an appropriate discount rate for the instrument. The determination of this rate is based on an assessment of what a market participant would regard as the appropriate spread of the rate for the instrument over the appropriate risk-free rate; and
- when applying a model with unobservable inputs, estimates are made to reflect uncertainties in fair values resulting from a lack of market data inputs, for example, as a result of illiquidity in the market. For these instruments, the fair value measurement is less reliable. Inputs into valuations based on unobservable data are inherently uncertain because there is little or no current market data available from which to determine the level at which an arm's-length transaction would occur under normal business conditions. However, in most cases there is some market data available on which to base a determination of fair value, for example, historical data, and the fair values of most financial instruments are based on some market observable inputs even when unobservable inputs are significant.

IMPAIRMENT OF AVAILABLE-FOR-SALE INVESTMENTS

The Bank exercises judgement to consider impairment on available-for-sale investments. This includes determination of whether any decline in the fair value below cost of equity instruments is significant or prolonged. In making this judgement, the Bank evaluates, among other factors, the normal volatility in market price. In addition, the Bank considers impairment to be appropriate when there is evidence of deterioration in the financial health of the investee, industry, and sector performance or changes in technology.

FAIR VALUATION OF INVESTMENT PROPERTIES

The fair value of investment properties is based on current prices in an active market for properties of a similar nature, condition or location. The Bank uses the valuation carried out by independent valuers as the fair value of its investment properties. The valuation is based upon assumptions such as market conditions, market prices, future rental income and period.

The fair value movements on investment properties are disclosed in more detail in Note 11.

CONSOLIDATION OF FUNDS

The changes introduced by IFRS 10 — Consolidated Financial Statements require an investor to consolidate an investee when it controls the investee. The investor controls an investee when it is exposed or has rights to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. The new definition of 'control' requires the Bank to exercise significant judgement on an ongoing basis to determine which entities are controlled, and therefore are required to be consolidated. This judgement has been applied in relation to the Bank's equity investments in three mutual funds where, through its investment management role, the Bank has de-facto control (refer to Note 49). There are no other investments where significant judgement is required as to whether or not to consolidate.

5 CASH AND BALANCES WITH CENTRAL BANKS

	2013 AED'000	2012 AED'000
Cash on hand	**586,709**	552,773
Balances with central banks	**370,743**	666,128
Reserves maintained with central banks	**7,448,647**	5,618,973
Certificates of deposit with UAE Central Bank	**1,475,000**	2,500,000
Reverse repo with Central Bank	**80,107**	–
Total cash and balances with central banks	**9,961,206**	9,337,874
The geographical concentration is as follows:		
Within the UAE	**9,857,886**	9,278,553
Outside the UAE	**103,320**	59,321
	9,961,206	9,337,874

Reserves maintained with central banks represent deposits with the central banks at stipulated percentages of its demand, savings, time and other deposits. These are only available for day-to-day operations under certain specified conditions and cannot be withdrawn without a central bank's prior approval.

6 DEPOSITS AND BALANCES DUE FROM BANKS

	2013 AED'000	2012 AED'000
Nostro balances	**1,031,020**	243,079
Margin deposits	**232,021**	480,291
Time deposits	**8,061,659**	12,757,803
Reverse repo placements	**–**	1,830,945
Murabaha placements	**1,870,000**	1,095,000
Wakala placements	**150,000**	110,000
Total deposits and balances due from banks	**11,344,700**	16,517,118
The geographical concentration is as follows:		
Within the UAE	**4,614,768**	7,496,926
Outside the UAE	**6,729,932**	9,020,192
	11,344,700	16,517,118

The Bank hedges its foreign currency reverse repo placements for foreign-currency-exchange-rate risk using foreign-exchange swap contracts and designates these instruments as cash flow hedges. There are no outstanding swaps as at 31 December 2013 (31 December 2012 — net positive fair value of AED 7,252 thousand).

7 TRADING SECURITIES

	2013 AED'000	2012 AED'000
Bonds	**136,772**	117,070
Equity instruments	**747,868**	524,807
Total trading securities	**884,640**	641,877
The geographical concentration is as follows:		
Within the UAE	**659,568**	454,690
Outside the UAE	**225,072**	187,187
	884,640	641,877

Bonds represent investments mainly in government and public sector bonds. Equity instruments are equities held by the three fund subsidiaries and are invested in UAE and GCC securities.

The fair value of trading investments is based on quoted market prices.

8 DERIVATIVE FINANCIAL INSTRUMENTS

In the ordinary course of business, the Bank enters into various types of derivative transactions that are affected by variables in the underlying instruments.

A derivative is a financial instrument or other contract with all three of the following characteristics:

(a) its value changes in response to the change in a specified interest rate, financial instrument price, commodity price, foreign-exchange rate, index of prices or rates, credit rating or credit index, or other variable, provided in the case of a non-financial variable that the variable is not specific to a party to the contract (sometimes called the 'underlying');

(b) it requires no initial net investment or an initial net investment that is smaller than would be required for other types of contracts that would be expected to have a similar response to changes in market factors; and

(c) it is settled at a future date.

Derivative financial instruments which the Bank enters into include forward foreign-exchange contracts, interest-rate futures, forward rate agreements, currency and interest-rate swaps, and currency and interest-rate options.

The Bank uses the following derivative financial instruments for hedging and trading purposes.

Forward and futures transactions

Currency forwards represent commitments to purchase foreign and domestic currencies, including non-deliverable spot transactions (i.e., the transaction is net-settled). Foreign currency and interest-rate futures are contractual obligations to receive or pay a net amount based on changes in currency rates or interest rates, or to buy or sell foreign currency or a financial instrument on a future date at a specified price, established in an organised financial market. The credit risk for futures contracts is negligible, as they are collateralised by cash or marketable securities, and changes in the futures' contract value are settled daily with the exchange. Forward rate agreements are individually negotiated interest-rate futures that call for a cash settlement at a future date for the difference between a contracted rate of interest and the current market rate, based on a notional principal amount.

Swap transactions

Currency and interest-rate swaps are commitments to exchange one set of cash flows for another. Swaps result in an economic exchange of currencies or interest rates (e.g., fixed-rate for floating-rate) or a combination of all of these (i.e., cross-currency interest-rate swaps). No exchange of principal takes place, except for certain cross-currency swaps. The Bank's credit risk represents the potential loss if counterparties fail to fulfil their obligation. This risk is monitored on an ongoing basis with reference to the current fair value, a proportion of the notional amount of the contracts, and the liquidity of the market. To control the level of credit risk taken, the Bank assesses counterparties using the same techniques as for its lending activities.

Option transactions

Foreign-currency and interest-rate options are contractual agreements under which the seller (writer) grants the purchaser (holder) the right, but not the obligation, either to buy (a call option) or to sell (a put option), at or by a set date or during a set period, a specific amount of a foreign currency or a financial instrument at a predetermined price. The seller receives a premium from the purchaser in consideration for the assumption of foreign-exchange or interest-rate risk. Options may be either exchange-traded or negotiated between the Bank and a customer over the counter (OTC).

Derivative contracts can be exchange-traded or over the counter (OTC). The Bank values exchange-traded derivatives using inputs at market-clearing levels. OTC derivatives are valued using market-based inputs or broker/dealer quotations. Where models are required, the Bank uses a variety of inputs, including contractual terms, market prices, yield curves and other reference market data.

Fair value measurement models

For OTC derivatives that trade in liquid markets, such as generic forwards, swaps and options, model inputs can generally be verified and model selection conforms to market practice. Certain OTC derivatives trade in less liquid markets with limited pricing information, and the determination of fair value for these derivatives is inherently more difficult. Subsequent to initial recognition, the Bank updates valuation inputs only when corroborated by evidence such as similar market transactions, third-party pricing services and/or broker-dealer quotations, or other empirical market data. In the absence of such evidence, management best estimates are used.

The table below shows the positive and negative fair values of derivative financial instruments.

	Fair values	
	Assets AED'000	Liabilities AED'000
At 31 December 2013		
Derivatives held or issued for trading		
Forward foreign-exchange contracts	**104,597**	**87,341**
Interest-rate and cross-currency swaps	**2,869,393**	**2,853,585**
Options	**58,591**	**156,821**
Futures (exchange-traded)	**1,767**	**–**
Commodity and energy swaps	**36,767**	**36,385**
Swaptions	**70,685**	**23,513**
Total derivatives held or issued for trading	**3,141,800**	**3,157,645**
Derivatives held as fair value hedges		
Interest-rate and cross-currency swaps	**295,327**	**807,917**
Derivatives held as cash flow hedges		
Interest-rate swaps	**42,273**	**–**
Forward foreign-exchange contracts	**136,803**	**25**
Total derivatives held as cash flow hedges	**179,076**	**25**
Total derivative financial instruments	**3,616,203**	**3,965,587**
At 31 December 2012		
Derivatives held or issued for trading		
Forward foreign-exchange contracts	182,709	178,041
Interest-rate and cross-currency swaps	3,990,096	4,000,297
Options	193,652	162,315
Futures (exchange-traded)	1,262	–
Commodity and energy swaps	191	147
Swaptions	8,964	8,964
Total derivatives held or issued for trading	4,376,874	4,349,764
Derivatives held as fair value hedges		
Interest-rate and cross-currency swaps	458,069	406,575
Derivatives held as cash flow hedges		
Interest-rate swaps	27,752	–
Forward foreign-exchange contracts	130,531	11,999
Total derivatives held as cash flow hedges	158,283	11,999
Total derivative financial instruments	4,993,226	4,768,338

The contractual notional value of derivatives outstanding as at 31 December 2013 were AED 300,502,784 thousand (31 December 2012 — AED 235,420,390 thousand). These notional amounts indicate the volume of transactions and are neither indicative of the market risk nor credit risk.

The net hedge ineffectiveness losses relating to the fair value and cash flow hedges amounting to AED 9,238 thousand (2012 — gains of AED 22,559 thousand) have been recognised in the consolidated income statement.

As at 31 December 2013, the Bank received cash collateral of AED 341,993 thousand (31 December 2012 — AED 478,771 thousand) against positive fair value of derivative assets from certain counterparties.

As at 31 December 2013, the Bank placed cash collateral of AED 280,378 thousand (31 December 2012 — AED 535,386 thousand) and investment securities of AED 1,502,425 thousand (31 December 2012 — AED 1,651,988 thousand) against the negative fair value of derivative liabilities.

Derivatives held or issued for trading purposes

The Bank's trading activities are predominantly related to offering hedging solutions to customers at competitive prices in order to enable them to transfer, modify or reduce current and expected risks. The Bank also manages risk taken as a result of client transactions or initiates positions with the expectation of profiting from favourable movement in prices, rates or indices.

Derivatives held or issued for hedging purposes

The Bank uses derivative financial instruments for hedging purposes as part of its asset and liability management activities in order to reduce its own exposure to fluctuations in exchange and interest-rates. The Bank uses forward foreign-exchange contracts, cross-currency swaps and interest-rate swaps to hedge exchange-rate and interest-rate risks. In all such cases, the hedging relationship and objectives, including details of the hedged item and hedging instrument, are formally documented and the transactions are accounted for based on the type of hedge.

9 INVESTMENT SECURITIES

	UAE AED'000	Other GCC countries AED'000	Rest of the world AED'000	Total AED'000
At 31 December 2013				
Available-for-sale investments				
Quoted:				
Government securities	**2,675,550**	**1,294,248**	**560,264**	**4,530,062**
Bonds — Public sector	**5,428,547**	**491,255**	**900,468**	**6,820,270**
Bonds — Banks and financial institutions	**2,249,622**	**834,683**	**5,953,539**	**9,037,844**
Bonds — Corporate	**90,833**	**–**	**–**	**90,833**
Equity instruments	**1,028**	**–**	**–**	**1,028**
Total quoted	**10,445,580**	**2,620,186**	**7,414,271**	**20,480,037**
Unquoted:				
Bonds — Public sector	**58,147**	**–**	**–**	**58,147**
Bonds — Banks and financial institutions	**–**	**–**	**32**	**32**
Bonds — Corporate	**–**	**–**	**1,131**	**1,131**
Equity instruments	**230,476**	**–**	**13,240**	**243,716**
Mutual funds	**71,709**	**–**	**–**	**71,709**
Total unquoted	**360,332**	**–**	**14,403**	**374,735**
Total available-for-sale investments	**10,805,912**	**2,620,186**	**7,428,674**	**20,854,772**
At 31 December 2012				
Available-for-sale investments				
Quoted:				
Government securities	2,604,477	1,236,175	246,697	4,087,349
Bonds — Public sector	5,082,037	453,951	923,606	6,459,594
Bonds — Banks and financial institutions	798,663	481,091	6,606,270	7,886,024
Bonds — Corporate	–	–	1,089	1,089
Equity instruments	424	–	–	424
Total quoted	8,485,601	2,171,217	7,777,662	18,434,480
Unquoted:				
Bonds — Banks and financial institutions	–	2,057	–	2,057
Equity instruments	204,921	–	701	205,622
Mutual funds	70,757	–	–	70,757
Total unquoted	275,678	2,057	701	278,436
Total available-for-sale investments	8,761,279	2,173,274	7,778,363	18,712,916

The Bank hedges interest-rate risk on certain fixed-rate and floating-rate investments through interest-rate swaps, and designates these as fair value and cash flow hedges, respectively. The net negative fair value of these interest-rate swaps at 31 December 2013 was AED 210,427 thousand (31 December 2012 — net negative fair value AED 384,649 thousand). The hedge ineffectiveness gains and losses relating to these hedges were included in the consolidated income statement.

The Bank entered into repurchase agreements and total return swap agreements whereby bonds were pledged and held by counterparties as collateral. The risks and rewards relating to the investments pledged remain with the Bank. The following table reflects the carrying value of these bonds and the associated financial liabilities:

	2013		2012	
	Carrying value of pledged assets AED'000	**Carrying value of associated liabilities AED'000**	Carrying value of pledged assets AED'000	Carrying value of associated liabilities AED'000
Repurchase financing	**2,390,637**	**2,274,631**	1,220,647	1,063,133

Further, the Bank pledged investment securities with fair value amounting to AED 1,508,768 thousand (31 December 2012 — AED 1,651,988 thousand) as collateral against margin calls. The risks and rewards relating to the investments pledged remain with the Bank.

The movement in investment securities is as follows:

	2013 AED'000	2012 AED'000
Fair value at 1 January	**18,712,916**	15,052,103
Purchases	**4,643,834**	4,330,235
Disposals	**(2,224,266)**	(1,408,955)
Fair value adjustments	**(277,800)**	802,108
Exchange difference	**88**	(26,064)
Eliminated on consolidation of funds	**–**	(35,016)
Impairment loss	**–**	(1,495)
Fair value at 31 December	**20,854,772**	18,712,916

10 LOANS AND ADVANCES, NET

	2013 AED'000	2012 AED'000
Overdrafts (retail and corporate)	**4,396,183**	5,775,020
Retail loans	**14,957,734**	12,563,043
Corporate loans	**101,121,762**	101,206,881
Credit cards	**2,238,316**	2,076,531
Islamic financing assets (Note 22)	**10,666,627**	6,600,046
Other facilities	**5,157,995**	1,437,494
Gross loans and advances	**138,538,617**	129,659,015
Less: Allowance for impairment (Note 41.8)	**(6,889,947)**	(6,463,720)
Total loans and advances, net	**131,648,670**	123,195,295

The Bank hedges certain fixed-rate and floating-rate loans and advances for interest-rate risk using interest-rate swaps, and designates these instruments as fair value and cash flow hedges, respectively. The net positive fair value of these swaps at 31 December 2013 was AED 9,103 thousand (31 December 2012 — net positive fair value of AED 13,499 thousand).

The Bank enters into repurchase agreements whereby loans are pledged and held by counterparties as collateral. The risks and rewards relating to the loans pledged will remain with the Bank. The following table reflects the carrying value of these loans and the associated financial liabilities:

	2013		2012	
	Carrying value of pledged assets AED'000	**Carrying value of associated liabilities AED'000**	Carrying value of pledged assets AED'000	Carrying value of associated liabilities AED'000
Repurchase agreements	**–**	**–**	4,756,807	2,358,230

The pledged loan and related borrowing matured and were settled in full during the year.

11 INVESTMENT PROPERTIES

	Completed and in use AED'000	Under development AED'000	Total AED'000
As at 1 January 2012	207,811	189,101	396,912
Additions during the year	–	85,625	85,625
Decrease in fair value	(18,810)	(10,026)	(28,836)
Transfer to property and equipment, net (Note 13)	(106,836)	–	(106,836)
Transfer from property and equipment, net (Note 13)	182,530	–	182,530
As at 1 January 2013	**264,695**	**264,700**	**529,395**
Additions during the year	14,147	17,148	31,295
Transfer on completion of construction	281,848	(281,848)	–
As at 31 December 2013	**560,690**	**–**	**560,690**

Included in Commitments and contingent liabilities (Note 36) is AED 11,872 thousand being future-committed expenditures on the investment property completed during the year.

Additions during the year include AED 14,059 thousand, being land and real estate acquired on settlements of certain loans and advances. As approved by the Central Bank of the UAE, the Bank can hold these real assets for a minimum period of three years and can extend the holding period with further approval. The Bank can also rent these properties and earn rental income.

Valuations are carried out by registered independent valuers having an appropriate recognised professional qualification and recent experience in the location and category of the property being valued. The properties were valued during the last quarter of the year.

The valuation methodologies considered by external valuers include:

- Direct Comparable method: This method seeks to determine the value of the property from transactions of comparable properties in the vicinity, applying adjustments to reflect differences to the subject property.
- Investment method: This method is used to assess the value of the property by capitalising the net operating income of the property at an appropriate yield an investor would expect for an investment of the duration of the interest being valued.

All investment properties of the Bank are located within the UAE.

Details of rental income and direct operating expenses relating to investment properties are as follows:

	2013 AED'000	2012 AED'000
Rental income	**19,748**	10,814
Direct operating expenses	**2,403**	214

12 OTHER ASSETS

	2013 AED'000	2012 AED'000
Interest receivables	**911,968**	845,442
Advance tax	**79,603**	45,880
Clearing receivables	**404**	1,148
Prepayments	**38,985**	59,766
Acceptances	**2,140,725**	4,738,044
Others	**232,953**	235,682
Total other assets	**3,404,638**	5,925,962

Acceptances arise when the Bank is under an obligation to make payments against documents drawn under letters of credit. Acceptances specify the amount of money, the date and the person to whom the payment is due. After acceptance, the instrument becomes an unconditional liability (time draft) of the Bank and is therefore recognised as a financial liability (Note 19) in the consolidated statement of financial position, with a corresponding contractual right of reimbursement from the customer recognised as a financial asset.

13 PROPERTY AND EQUIPMENT, NET

	Freehold properties AED'000	Leasehold properties AED'000	Furniture, equipment and vehicles AED'000	Computer equipment and accessories AED'000	Capital work-in-progress AED'000	Total AED'000
Cost or valuation						
At 1 January 2012	734,587	120,860	151,251	409,985	186,499	1,603,182
Exchange difference	(127)	–	(24)	–	(22)	(173)
Additions during the year	1,399	203	1,241	1,338	114,090	118,271
Transfers	3,316	10,556	7,531	42,213	(63,616)	–
Transfer to expenses	–	–	–	–	(4,267)	(4,267)
Transfer to investment properties (Note 11)	–	–	–	–	(182,530)	(182,530)
Transfer from investment properties (Note 11)	106,836	–	–	–	–	106,836
Impairment loss	–	–	–	–	(21,337)	(21,337)
Disposals during the year	–	–	(860)	–	–	(860)
At 1 January 2013	**846,011**	**131,619**	**159,139**	**453,536**	**28,817**	**1,619,122**
Exchange difference	**(430)**	**(2)**	**(734)**	**–**	**(3)**	**(1,169)**
Additions during the year	**–**	**347**	**2,366**	**1,674**	**78,875**	**83,262**
Transfers	**3,652**	**4,664**	**6,547**	**46,179**	**(61,042)**	**–**
Transfer to expenses	**–**	**–**	**–**	**–**	**(4)**	**(4)**
Disposals during the year	**(251)**	**–**	**(576)**	**(166)**	**–**	**(993)**
At 31 December 2013	**848,982**	**136,628**	**166,742**	**501,223**	**46,643**	**1,700,218**
Accumulated depreciation						
At 1 January 2012	195,986	56,327	110,812	275,539	–	638,664
Exchange difference	–	–	20	–	–	20
Charge for the year	31,251	17,261	15,904	66,870	–	131,286
Disposals during the year	–	–	(782)	–	–	(782)
At 1 January 2013	**227,237**	**73,588**	**125,954**	**342,409**	**–**	**769,188**
Exchange difference	**(50)**	**(2)**	**(542)**	**–**	**–**	**(594)**
Charge for the year	**37,304**	**18,023**	**12,965**	**58,930**	**–**	**127,222**
Disposals during the year	**(179)**	**–**	**(575)**	**(166)**	**–**	**(920)**
At 31 December 2013	**264,312**	**91,609**	**137,802**	**401,173**	**–**	**894,896**
Carrying amount						
At 31 December 2013	**584,670**	**45,019**	**28,940**	**100,050**	**46,643**	**805,322**
At 31 December 2012	618,774	58,031	33,185	111,127	28,817	849,934

14 INTANGIBLE ASSETS

		Other intangible assets			
	Goodwill AED'000	Credit-card-customer relationship AED'000	Wealth-management customer relationship AED'000	Core deposit intangible AED'000	Total AED'000
Cost or valuation					
As at 1 January 2012	18,800	12,700	18,000	112,700	162,200
As at 31 December 2013	**18,800**	**12,700**	**18,000**	**112,700**	**162,200**
Accumulated amortisation					
As at 1 January 2012	–	5,022	5,350	28,175	38,547
Amortisation during the year	–	4,387	4,600	22,540	31,527
As at 1 January 2013	**–**	**9,409**	**9,950**	**50,715**	**70,074**
Amortisation during the year	–	3,291	4,600	22,540	30,431
As at 31 December 2013	**–**	**12,700**	**14,550**	**73,255**	**100,505**
Carrying amount					
At 31 December 2013	**18,800**	**–**	**3,450**	**39,445**	**61,695**
At 31 December 2012	18,800	3,291	8,050	61,985	92,126

On 1 October 2010, the Bank acquired the retail banking, wealth management and small- and medium-enterprise businesses (the "Business") of The Royal Bank of Scotland ("RBS") in the UAE for a consideration of AED 168,900 thousand. Based on the fair valuation and purchase price allocation exercise performed by an external consultant immediately following the acquisition in 2010, the Bank recognised AED 143,400 thousand as intangible assets and AED 18,800 thousand as goodwill.

GOODWILL

For the purpose of impairment testing, goodwill is allocated to the Bank's operating divisions that represent the lowest level within the Bank at which goodwill is monitored for internal management purposes, which is not higher than the Bank's business segments.

The aggregate carrying amounts of goodwill allocated to each unit are as follows:

	AED'000
Cash-generating unit (CGU)	
Credit cards	10,784
Loans	5,099
Overdrafts	94
Wealth management business	2,823
	18,800

OTHER INTANGIBLE ASSETS

Customer relationships	Customer relationship intangible assets represent the value attributable to the business expected to be generated from customers that existed as at the acquisition date. In determining the fair value of customer relationships, credit card and wealth management customers were considered separately, given their differing risk profiles, relationships and loyalty. These relationships are expected to generate material recurring income in the form of interest, fees and commission.
Core deposit intangible	The value of core deposit intangible assets arises from the fact that the deposit base of the Bank represents a cheaper source of funding than wholesale or money market funding. The spread between the cost of deposit funding and the cost of wholesale/money market funding represents the value of the core deposit intangible.

IMPAIRMENT TESTING OF GOODWILL

No impairment losses on goodwill were recognised during the year ended 31 December 2013 (2012 — AED nil).

The recoverable amounts for the CGUs have been assessed based on their value in use. Value in use for each unit was determined by discounting the future cash flows expected to be generated from the continuing use of these units. Value in use was based on the following key assumptions:

- Cash flows were projected based on past experience, actual operating results and the business plan in 2013. Cash flows were extrapolated using a rate expected to be realised by these businesses. The forecast period is based on the Bank's current perspective with respect to the operation of these units and ranges from three to four years.
- Appropriate discount rates were applied in determining the recoverable amounts for the CGUs. These discount rates were estimated based on a capital asset pricing model using data from U.S. bond and UAE capital markets and range from 14.1% to 17.2%.

The key assumptions described above may change as economic and market conditions change. The Bank estimates that reasonable changes in these assumptions are not expected to cause the recoverable amount of the units to decline below the carrying amount.

15 DUE TO BANKS

	2013 AED'000	2012 AED'000
Vostro balances	**192,242**	120,504
Margin deposits	**255,097**	351,054
Time deposits	**3,843,672**	3,939,713
Total due to banks	**4,291,011**	4,411,271

The Bank hedges certain time deposits for interest-rate and foreign-currency-exchange risk using cross-currency swaps, and designates these as fair value or cash flow hedges. There are no outstanding swaps as at 31 December 2013 (31 December 2012 — positive fair value of AED 186 thousand).

16 DEPOSITS FROM CUSTOMERS

	2013 AED'000	2012 AED'000
Category		
Time deposits	**65,550,746**	65,908,251
Current account deposits	**37,131,506**	30,816,731
Savings deposits	**6,951,691**	5,110,650
Murabaha deposits	**4,974,515**	6,578,970
Long-term government deposits (Note 41.5)	**436,008**	449,569
Margin deposits	**383,242**	352,754
Total deposits from customers	**115,427,708**	109,216,925

For Islamic deposits details, refer to Note 22.

The Bank hedges certain foreign currency time deposits (foreign currency exchange risk) using foreign-exchange swap contracts and designates these as cash flow hedges. The net positive fair value of these swaps at 31 December 2013 was AED 59,578 thousand (31 December 2012 — net positive fair value of AED 13,257 thousand).

17 EURO COMMERCIAL PAPER

The Bank established a USD 4,000,000 thousand euro commercial paper programme (the ECP Programme) for the issuance of euro commercial paper. The details of the ECP as at 31 December are as follows:

	2013 AED'000	2012 AED'000
Currency		
Swiss franc (CHF)	**618,385**	481,389
Euro (EUR)	**1,568,178**	1,777,663
GB pound (GBP)	**1,329,692**	29,684
Japanese yen (JPY)	**–**	51,165
U.S. dollar (USD)	**2,424,180**	2,217,207
Total euro commercial paper	**5,940,435**	4,557,108

The Bank hedges certain ECP for foreign currency exchange risk through foreign-exchange swap contracts and designates these instruments as cash flow hedges. The net positive fair value of these hedge contracts at 31 December 2013 was AED 77,202 thousand (31 December 2012 — net positive fair value of AED 98,024 thousand).

ECP is issued at a discount, and the discount rate ranges between 0.12% to 1.03% (31 December 2012 — 0.14% to 1.67%).

For maturity analysis of ECP borrowings, refer to Note 43.

18 BORROWINGS

The details of borrowings as at 31 December 2013 are as follows:

Instrument	Currency	Within 1 year AED'000	1–3 years AED'000	3–5 years AED'000	Over 5 years AED'000	Total AED'000
Global medium-term notes	Chinese renminbi (CNH)	–	–	173,580	–	173,580
	Malaysian ringgit (MYR)	–	871,027	847,028	–	1,718,055
	Swiss franc (CHF)	–	575,705	388,677	–	964,382
	Turkish lira (TRY)	–	94,003	–	–	94,003
	UAE dirham (AED)	–	–	500,000	–	500,000
	Japanese yen (JPY)	–	92,046	–	–	92,046
	U.S. dollar (USD)	4,218,641	–	4,627,500	624,410	9,470,551
		4,218,641	1,632,781	6,536,785	624,410	13,012,617
Islamic sukuk notes	U.S. dollar (USD)	–	1,831,435	–	–	1,831,435
Bilateral loans — floating-rate	U.S. dollar (USD)	1,652,261	–	–	–	1,652,261
Subordinated notes — floating-rate	U.S. dollar (USD)	–	1,058,152	–	–	1,058,152
— fixed-rate	U.S. dollar (USD)	–	–	–	3,816,027	3,816,027
	Swiss franc (CHF)	–	–	–	380,130	380,130
Borrowings through repurchase agreements	U.S. dollar (USD)	2,274,631	–	–	–	2,274,631
Certificates of deposit (CDs)	Euro (EUR)	50,587	–	–	–	50,587
		8,196,120	4,522,368	6,536,785	4,820,567	24,075,840
Fair value adjustment on borrowings hedged						(290,272)
						23,785,568

Included in borrowings is AED 17,567,911 thousand which has been hedged using interest-rate, foreign-exchange and cross-currency swaps. These swaps are designated as either fair value or cash flow hedges. The net negative fair value of these swaps at 31 December 2013 was AED 268,993 thousand.

The details of borrowings as at 31 December 2012 are as follows:

Instrument	Currency	Within 1 year AED'000	1–3 years AED'000	3–5 years AED'000	Over 5 years AED'000	Total AED'000
Global medium-term notes	Chinese renminbi (CNH)	–	–	173,580	–	173,580
	Malaysian ringgit (MYR)	–	871,027	847,028	–	1,718,055
	Swiss franc (CHF)	–	575,705	388,677	–	964,382
	Turkish lira (TRY)	–	–	94,003	–	94,003
	UAE dirham (AED)	1,253,000	–	500,000	–	1,753,000
	U.S. dollar (USD)	–	3,673,000	–	587,680	4,260,680
		1,253,000	5,119,732	2,003,288	587,680	8,963,700
Syndicated loans	U.S. dollar (USD)	3,739,849	–	–	–	3,739,849
Islamic sukuk notes	U.S. dollar (USD)	–	–	1,836,500	–	1,836,500
Subordinated floating-rate notes	U.S. dollar (USD)	–	–	1,117,143	–	1,117,143
Tier 2 Loan	UAE dirham (AED)	–	–	6,617,456	–	6,617,456
Borrowings through repurchase agreements	U.S. dollar (USD)	1,450,631	620,737	–	–	2,071,368
	UAE dirham (AED)	1,349,995	–	–	–	1,349,995
		7,793,475	5,740,469	11,574,387	587,680	25,696,011
Fair value adjustment on borrowings hedged						443,636
						26,139,647

Included in borrowings is AED 15,347,201 thousand which has been hedged using interest-rate and cross-currency swaps. These swaps are designated as either fair value or cash flow hedges. The net positive fair value of these swaps at 31 December 2012 was AED 450,212 thousand.

Interest on global medium-term notes is payable quarterly, semi-annually and annually in arrears, and the contractual coupon rates as at 31 December 2013 are as follows:

Currency	Within 1 year	1–3 years	3–5 years	Over 5 years
CNH	–	–	Fixed rate of 3.7% p.a. and 4.125% p.a.	–
MYR	–	Fixed rate of 5.20% p.a.	Fixed rate of 4.30% p.a. and 5.35% p.a.	–
CHF	–	Fixed rate of 3.01% p.a.	Quarterly coupons with 110 basis points over CHF LIBOR	–
TRY	–	Fixed rate of 12.75% p.a.	–	–
AED	–	–	Fixed rate of 6.00% p.a.	–
JPY	–	Fixed rate of 0.81% p.a.	–	–
USD	Fixed rate of 0.905% p.a. to 4.75% p.a.	–	Fixed rate of 2.50% p.a. and quarterly coupons with 108 to 130 basis points over LIBOR	Fixed rate of 4.70% p.a. and 5.10% p.a.

SUKUK FINANCING NOTES

The Sukuk carries an expected profit rate of 4.07% per annum, payable semi-annually (Note 22).

BILATERAL LOANS

USD: Quarterly coupons with 58 to 78 basis points plus LIBOR.

SUBORDINATED NOTES

Subordinated floating-rate notes

Interest on the subordinated floating-rate notes is payable quarterly in arrears at a coupon rate of 110 basis points over three months LIBOR. The subordinated floating-rate notes qualify as Tier 2 subordinated loan capital for the first five-year period until 2011 and thereafter are amortised at the rate of 20% per annum until 2016 for capital adequacy calculation (Note 50). This has been approved by the Central Bank of the UAE.

Subordinated fixed-rate notes

Interest on the subordinated fixed-rate notes is payable half-yearly in arrears, and the contractual coupon rates as at 31 December 2013 are as follows:

Currency	Over 5 years
USD	Fixed rate of 3.125% to 4.5%
CHF	Fixed rate of 1.885%

The subordinated fixed-rate notes qualify as Tier 2 subordinated loan capital for the first five-year period until 2018 and thereafter are amortised at the rate of 20% per annum until 2023 for capital adequacy calculation (Note 50). This has been approved by the Central Bank of the UAE Subordinated notes of AED 1,476,792 thousand mature in 2023 but are callable after five years from the issuance date at the option of the Bank.

TIER 2 LOANS

In March 2009, the Bank converted AED 6,617,456 thousand government deposits into Tier 2 qualifying loans. The Tier 2 qualifying loans were to mature seven years from the date of the issue and interest was payable on a quarterly basis at a fixed rate of 4% per annum commencing 31 March 2009 for the first two years, 4.5% per annum for the third year, 5% per annum for the fourth year and 5.25% per annum for the remaining period. The terms also provided that the Bank had a call option to repay the loans partially or fully at the end of five years from the date of issue. For regulatory purposes, the loans qualified as Tier 2 capital and were being amortised, starting in 2012, at the rate of 20% per annum until maturity for capital adequacy calculation (Note 50). This has been approved by the Central Bank of the UAE.

The Bank repaid the entire amount of the Tier 2 loan in the first half of 2013.

BORROWINGS THROUGH REPURCHASE AGREEMENTS

USD: Quarterly coupons in arrears with 300 basis points plus LIBOR.
Half-yearly coupons in arrears with 86 to 300 basis points over LIBOR.
Fixed-rate borrowings at a coupon of 0.5% p.a.

CERTIFICATES OF DEPOSIT — FIXED RATE OF 0.409% P.A.

As at 31 December 2013, the Bank has entered into a commitment to borrow AED 3,678,325 thousand through repurchase agreements by placing investment securities as collateral.

Further, the Bank has undrawn borrowing floating-rate facilities of AED 1,469,200 thousand (31 December 2012 — AED nil).

19 OTHER LIABILITIES

	2013 AED'000	2012 AED'000
Interest payable	**398,931**	752,030
Recognised liability for defined benefit obligations	**256,102**	213,631
Accounts payable and other creditors	**189,724**	247,759
Clearing payables	**131**	955
Deferred income	**445,561**	229,392
Acceptances (Note 12)	**2,140,725**	4,738,044
Others	**1,479,743**	813,034
Total other liabilities	**4,910,917**	6,994,845

DEFINED BENEFIT OBLIGATIONS

The Bank provides gratuity benefits to its eligible employees in the UAE. The most recent actuarial valuations of the present value of the defined benefit obligation were carried out at 31 December 2013 by a registered actuary in the UAE. The present value of the defined benefit obligation, and the related current and past service cost, were measured using the Projected Unit Credit Method.

Movements in defined benefit obligations during the year were as follows:

	2013 AED'000	2012 AED'000
Opening defined benefit obligations	**213,631**	179,824
Net charge during the year	**57,214**	51,110
Benefits paid	**(14,743)**	(17,303)
Net recognised liability for defined benefit obligations	**256,102**	213,631

DEFINED BENEFIT CONTRIBUTION

The Bank also pays contributions to Abu Dhabi Retirement Pensions and Benefits Fund in respect of its UAE and GCC national employees, treated as defined contribution plans. The charge for the year in respect of these contributions is AED 22,746 thousand (2012 — AED 17,957 thousand). As at 31 December 2013, pension payable of AED 4,106 thousand had been classified under Other liabilities — others (31 December 2012 — AED 2,935 thousand).

20 SHARE CAPITAL

		Issued and fully paid	
	Authorised AED'000	2013 AED'000	2012 AED'000
Ordinary shares of AED 1 each	**5,595,597**	**5,595,597**	5,595,597

As at 31 December 2013, Abu Dhabi Investment Council held 58.083% (31 December 2012 — 58.083%) of the Bank's issued and fully paid-up share capital.

TREASURY SHARES

As at 31 December 2013, of the total issued shares of the Bank, its managed funds, accounted for as subsidiaries, held 7,373 thousand shares (31 December 2012 — 11,033 thousand shares).

During the year ended 31 December 2013, the Bank bought back from certain shareholders 392,741,711 (31 December 2012 — nil) ordinary shares at a total cash consideration of AED 1,796,957 thousand. These shares are held as treasury shares as at 31 December 2013 (Note 21) and are expected eventually to be cancelled. This buyback programme of up to 10% of the Bank's shares was approved by the Securities & Commodities Authority, the Central Bank of the UAE and the Bank's shareholders.

DIVIDENDS

For the year ended 31 December 2013, the Board of Directors has proposed to pay cash dividends of AED 1,560,857 thousand, being AED 0.30 dividend per share and representing 30% of the paid-up capital net of shares bought back (31 December 2012 — AED 1,398,620 thousand, being AED 0.25 dividend per share and representing 25% of the paid-up capital net of shares bought back). This is subject to the approval of the shareholders in the Annual General Meeting.

21 OTHER RESERVES, NET OF TREASURY SHARES

Reserves movement for the year ended 31 December 2013:

	Treasury shares AED'000	Employees' incentive plan shares, net AED'000	Statutory reserve AED'000
Balance at 1 January 2013	**(30,937)**	**(96,256)**	**1,950,650**
Exchange difference arising on translation of foreign operations	–	–	–
Fair value changes on cash flow hedges	–	–	–
Fair value changes on available-for-sale investments	–	–	–
Total comprehensive (loss)/profit for the year	–	–	–
Shares granted	–	**(630)**	–
Shares – vested portion (Note 23)	–	**39,448**	–
Buyback of own shares (Note 20)	**(1,796,957)**	–	–
Net movement in treasury shares held by fund subsidiaries	**8,925**	–	–
Transfer from retained earnings (Note 50)	–	–	**336,531**
Balance at 31 December 2013	**(1,818,969)**	**(57,438)**	**2,287,181**
Balance at 1 January 2012	–	(104,595)	1,677,069
Exchange difference arising on translation of foreign operations	–	–	–
Fair value changes on cash flow hedges	–	–	–
Fair value changes on available-for-sale investments	–	–	–
Total comprehensive profit/(loss) for the year	–	–	–
Shares granted (Note 23)	–	(40,000)	–
Shares – vested portion (Note 23)	–	48,339	–
Treasury shares acquired on consolidation of funds	(30,937)	–	–
Transfer from retained earnings (Note 50)	–	–	273,581
Balance at 31 December 2012	(30,937)	(96,256)	1,950,650

For more information on reserves, refer to Note 50.

Legal reserve AED'000	General reserve AED'000	Contingency reserve AED'000	Foreign currency translation reserve AED'000	Hedge reserve AED'000	Cumulative changes in fair values AED'000	Total AED'000
1,905,863	**2,000,000**	**150,000**	**(34,333)**	**26,756**	**416,848**	**6,288,591**
–	**–**	**–**	**(25,353)**	**–**	**–**	**(25,353)**
–	**–**	**–**	**–**	**14,044**	**–**	**14,044**
–	**–**	**–**	**–**	**–**	**(65,690)**	**(65,690)**
–	**–**	**–**	**(25,353)**	**14,044**	**(65,690)**	**(76,999)**
–	**–**	**–**	**–**	**–**	**–**	**(630)**
–	**–**	**–**	**–**	**–**	**–**	**39,448**
–	**–**	**–**	**–**	**–**	**–**	**(1,796,957)**
–	**–**	**–**	**–**	**–**	**–**	**8,925**
336,531	**–**	**–**	**–**	**–**	**–**	**673,062**
2,242,394	**2,000,000**	**150,000**	**(59,686)**	**40,800**	**351,158**	**5,135,440**
1,632,282	2,000,000	150,000	(27,521)	(2,581)	(404,758)	4,919,896
–	–	–	(6,812)	–	–	(6,812)
–	–	–	–	29,337	–	29,337
–	–	–	–	–	821,606	821,606
–	–	–	(6,812)	29,337	821,606	844,131
–	–	–	–	–	–	(40,000)
–	–	–	–	–	–	48,339
–	–	–	–	–	–	(30,937)
273,581	–	–	–	–	–	547,162
1,905,863	2,000,000	150,000	(34,333)	26,756	416,848	6,288,591

22 ISLAMIC FINANCING

Islamic financing assets

	2013 AED'000	2012 AED'000
Murabaha financing	**1,038,429**	720,544
Ijara financing	**5,594,710**	2,622,091
Mudaraba	**463,049**	471,696
Salam	**3,476,441**	2,720,103
Others	**93,998**	65,612
Gross Islamic financing assets	**10,666,627**	6,600,046
Less: Allowance for impairment	**(67,384)**	(29,247)
Net Islamic financing assets	**10,599,243**	6,570,799

Gross Ijara and related present value of the minimum Ijara payments

	2013 AED'000	2012 AED'000
Less than one year	**1,045,887**	549,978
Between one year and five years	**3,412,029**	2,169,248
More than five years	**2,669,126**	419,525
Gross Ijara	**7,127,042**	3,138,751
Less: Deferred income	**(1,532,332)**	(516,660)
Net Ijara	**5,594,710**	2,622,091
Net present value		
Less than one year	**778,304**	459,300
Between one year and five years	**2,719,904**	1,812,299
More than five years	**2,096,502**	350,492
Total net present value	**5,594,710**	2,622,091

Income from Islamic financing

	2013 AED'000	2012 AED'000
Murabaha financing	**54,354**	48,514
Ijara financing	**254,502**	54,751
Mudaraba	**20,999**	14,695
Salam	**263,573**	235,079
Others	**3,390**	1,006
Total income from Islamic financing	**596,818**	354,045

Islamic deposits

	2013 AED'000	2012 AED'000
Current account deposits	**2,139,789**	1,486,099
Margin deposits	**9,247**	7,675
Mudaraba savings deposits	**3,270,613**	2,284,227
Mudaraba term deposits	**1,528,311**	1,505,191
Wakala deposits	**1,224,052**	2,982,114
Total Islamic deposits	**8,172,012**	8,265,306

Islamic profit distribution

	2013 AED'000	2012 AED'000
Mudaraba savings and term deposits	**47,740**	59,638
Wakala deposits	**34,018**	139,698
Sukuk	**54,230**	60,788
Total Islamic profit distribution	**135,988**	260,124

In November 2011, ADCB, through its subsidiary ADCB Islamic Finance (Cayman) Limited (Sukuk company) issued a shari'ah-compliant financing arrangement — Sukuk amounting to USD 500,000 thousand (AED 1,836,500 thousand). The Sukuk carries an expected profit rate of 4.07% per annum payable semi-annually and is due to mature in November 2016. The Sukuk is listed on the London Stock Exchange.

23 EMPLOYEES' INCENTIVE PLAN SHARES, NET

The Bank has established an Employee Long-Term Incentive Plan (the "Plan") to recognise and retain well-performing employees. Under the Plan, the employees will be granted shares of the Bank when they meet the vesting conditions at a price prevailing at the grant date. These shares were acquired by the Bank from the stock market at the prevailing market price on the acquisition dates. These shares are held by ACB LTIP (IOM) Limited, a consolidated subsidiary, until vesting conditions are met. The Bank's Nomination/Remuneration and HR Committee determines and approves the shares to be granted to employees based on the Bank's key performance indicators.

For the year ended 31 December 2013, the Bank had two incentive plans in force as described below.

	1 January 2013	1 January 2012
Number of shares granted	6,738,937	14,102,774
The fair value of the granted shares at the grant date in AED thousand	20,284	38,642
Vesting date	31 December 2015	31 December 2014

Vesting conditions — Three years' service from the grant date or meeting special conditions during the vesting period (death, disability, retirement, termination or achieving the budgeted performance).

The movement of plan shares was as follows:

	2013	2012
Shares outstanding at 1 January	**41,080,821**	40,489,041
Shares granted during the year	**6,738,937**	14,102,774
Exercised during the year	**(38,287,554)**	(12,836,541)
Forfeited during the year	**(476,742)**	(674,453)
Outstanding at 31 December	**9,055,462**	41,080,821
Exercisable at 31 December	**–**	23,532,368
Amount of "Plan" cost recognised in the consolidated statement of income (AED '000)	**39,448**	48,339

Total number of plan shares forfeited and remained un-allotted with the Bank's subsidiary at 31 December 2013 were 6,389,858 (31 December 2012 — 3,609,712 shares).

24 CAPITAL NOTES

In February 2009, the Department of Finance, Government of Abu Dhabi, subscribed to ADCB's Tier I regulatory capital notes with a principal amount of AED 4,000,000 thousand (the "Notes").

The Notes are non-voting, non-cumulative perpetual securities for which there is no fixed redemption date. Redemption is only at the option of the Bank. The Notes are direct, unsecured, subordinated obligations of the Bank and rank *pari passu* without any preference among themselves, and the rights and claims of the Note holders will be subordinated to the claims of Senior Creditors. The Notes bear interest at the rate of 6% per annum payable semi-annually until February 2014, and a floating interest rate of six-month EIBOR plus 2.3% per annum thereafter. However, the Bank may at its sole discretion elect not to make a coupon payment. The Note holders do not have a right to claim the coupon, and an election by the Bank not to service the coupon is not considered an event of default. In addition, there are certain circumstances under which the Bank is prohibited from making a coupon payment on a relevant coupon payment date ("Non-Payment Event").

If the Bank makes a non-payment election or a non-payment event occurs, then the Bank will not (a) declare or pay any distribution or dividend or (b) redeem, purchase, cancel, reduce or otherwise acquire any of the share capital or any securities of the Bank ranking *pari passu* with or junior to the Notes except securities, the terms of which stipulate a mandatory redemption or conversion into equity, in each case unless or until two consecutive coupon payments have been paid in full.

25 INTEREST INCOME

	2013 AED'000	2012 AED'000
Loans and advances to banks	**172,627**	247,377
Loans and advances to customers	**5,873,912**	6,722,138
Investment securities	**473,418**	500,165
Total interest income	**6,519,957**	7,469,680

26 INTEREST EXPENSE

	2013 AED'000	2012 AED'000
Deposits from banks	**20,943**	14,250
Deposits from customers and euro commercial paper	**967,686**	1,667,702
Borrowings	**562,976**	674,418
Total interest expense	**1,551,605**	2,356,370

27 NET FEES AND COMMISSION INCOME

	2013 AED'000	2012 AED'000
Fees and commission income		
Retail banking fees	**747,303**	671,824
Corporate banking fees	**389,061**	349,200
Brokerage fees	**15,528**	3,894
Fees from trust and other fiduciary activities	**99,370**	67,706
Other fees	**37,078**	52,803
Total fees and commission income	**1,288,340**	1,145,427
Fees and commission expenses	**(295,804)**	(205,392)
Net fees and commission income	**992,536**	940,035

28 NET TRADING INCOME

	2013 AED'000	2012 AED'000
Net gains on dealing in derivatives	**45,843**	50,220
Net gains from dealing in foreign currencies	**184,268**	148,448
Net gains from trading securities	**307,282**	104,018
Net trading income	**537,393**	302,686

29 OTHER OPERATING INCOME

	2013 AED'000	2012 AED'000
Gains arising from retirement of hedges	**100,284**	–
Net gains/(losses) from available-for-sale investments	**32,911**	(4,224)
Property management income	**127,284**	111,091
Rental income	**30,477**	20,940
Income from retirement of long-term debt	**21,669**	6,399
Dividend income	**36,354**	25,043
Others	**11,529**	14,783
Total other operating income	**360,508**	174,032

30 OPERATING EXPENSES

	2013 AED'000	2012 AED'000
Staff expenses	**1,353,694**	1,164,649
Depreciation (Note 13)	**127,222**	131,286
Amortisation of intangible assets (Note 14)	**30,431**	31,527
Others	**846,839**	741,802
Total operating expenses	**2,358,186**	2,069,264

31 IMPAIRMENT ALLOWANCES

	2013 AED'000	2012 AED'000
Impairment allowance on loans and advances, net (Note 41.8)	**1,366,156**	1,691,108
Net impairment recoveries on available-for-sale investments	**(31,858)**	(2,726)
Impairment allowance on property and equipment, net (Note 13)	**–**	21,337
Total impairment allowances	**1,334,298**	1,709,719

32 EARNINGS PER SHARE

BASIC AND DILUTED EARNINGS PER SHARE

The calculation of basic earnings per share is based on the net profit attributable to equity holders of the Bank and the weighted average number of equity shares outstanding. Diluted earnings per share is calculated by adjusting the weighted average number of equity shares outstanding for the dilutive effects of potential equity shares held on account of employees' incentive plan and treasury shares arising on consolidation of fund subsidiaries.

	2013	2012
Net profit for the year attributable to the equity holders of the Bank (AED'000)	**3,365,309**	2,735,810
Less: Coupons paid on capital notes (AED'000) (Note 24)	**(240,000)**	(240,000)
Net adjusted profit for the year attributable to the equity holders of the Bank (AED'000) (a)	**3,125,309**	2,495,810
Weighted average number of shares in issue throughout the year (000s)	**5,595,597**	5,595,597
Less: Weighted average number of treasury shares arising on buyback (000s)	**(219,093)**	–
Less: Weighted average number of treasury shares arising on consolidation of funds (000s)	**(7,916)**	(14,186)
Less: Weighted average number of shares resulting from employees' incentive plan shares (000s)	**(27,256)**	(56,847)
Weighted average number of equity shares in issue during the year for basic earnings per share (000s) (b)	**5,341,332**	5,524,564
Add: Weighted average number of treasury shares on consolidation of funds (000s)	**7,916**	14,186
Add: Weighted average number of shares resulting from employees' incentive plan shares (000s)	**27,256**	56,847
Weighted average number of equity shares in issue during the year for diluted earnings per share (000s) (c)	**5,376,504**	5,595,597
Basic earnings per share (AED) (a)/(b)	**0.59**	0.45
Diluted earnings per share (AED) (a)/(c)	**0.58**	0.45

33 OPERATING LEASES

BANK AS LESSEE

Leasing arrangements

Operating leases relate mainly to leases of branch premises and ATMs of the Bank with lease terms between one to three years. The Bank does not have an option to purchase the leased premises at the expiry of the lease periods.

	2013 AED'000	2012 AED'000
Payments recognised as an expense		
Minimum lease payments	**60,809**	62,315
Non-cancellable operating lease commitments		
Not later than one year	**47,624**	42,327
Later than one year but not later than five years	**41,830**	67,523
Total non-cancellable operating lease commitments	**89,454**	109,850

BANK AS LESSOR

Operating leases relate to the investment property owned by the Bank with lease terms of one year, with an option to extend the lease term. All operating lease contracts contain a market review clause in the event that the lessee exercises its option to renew. The lessee does not have an option to purchase the property at the expiry of the lease period.

Rental incomes earned by the Bank from its investment properties and direct operating expenses arising on the investment properties for the year are set out in Note 11.

	2013 AED'000	2012 AED'000
Non-cancellable operating lease receivables:		
Not later than one year	**28,216**	9,559
Later than one year	**3,750**	11,250

34 CASH AND CASH EQUIVALENTS

Cash and cash equivalents included in the consolidated statement of cash flow comprise the following statement of financial position amounts:

	2013 AED'000	2012 AED'000
Cash and balances with central banks	**9,961,206**	9,337,874
Deposits and balances due from banks	**11,344,700**	16,517,118
Due to banks	**(4,291,011)**	(4,411,271)
	17,014,895	21,443,721
Less: Cash and balances with central banks and Deposits and balances due from banks — with original maturity of more than three months	**(7,245,757)**	(2,571,339)
Add: Due to banks — with original maturity of more than three months	**28,803**	307,932
Total cash and cash equivalents	**9,797,941**	19,180,314

35 RELATED-PARTY TRANSACTIONS

The Bank enters into transactions with its parent and related entities, funds under management, directors, senior management and their related entities, and the Government of Abu Dhabi (Ultimate controlling party and its related entities) in the ordinary course of business at commercial interest and commission rates.

Key management personnel are defined as those persons having authority and responsibility for planning, directing and controlling the activities of ADCB, being the directors, the chief executive officer and his direct reports.

Transactions between the Bank and its subsidiaries have been eliminated on consolidation and are not disclosed in this note.

PARENT AND ULTIMATE CONTROLLING PARTY

Abu Dhabi Investment Council holds 58.083% (31 December 2012 — 58.083%) of the Bank's issued and fully paid-up share capital (Note 20). Abu Dhabi Investment Council was established by the Government of Abu Dhabi pursuant to Law No. 16 of 2006 and so the ultimate controlling party is the Government of Abu Dhabi.

Related-party balances and transactions included in the consolidated statement of financial position and consolidated income statement are as follows:

	Ultimate controlling party and its related parties AED'000	Directors and related parties AED'000	Key managers AED'000	Trust activities AED'000	Total AED'000
31 December 2013					
Deposits and balances due from banks	**751,759**	**–**	**–**	**–**	**751,759**
Trading securities	**22,967**	**–**	**–**	**–**	**22,967**
Derivative financial instruments – assets	**1,241,534**	**2,564**	**–**	**–**	**1,244,098**
Investment securities	**4,908,890**	**–**	**–**	**–**	**4,908,890**
Loans & advances, net	**21,047,813**	**388,792**	**39,533**	**–**	**21,476,138**
Other assets	**233,760**	**6,511**	**25**	**–**	**240,296**
Due to banks	**370,380**	**–**	**–**	**–**	**370,380**
Derivative financial instruments – liabilities	**340,943**	**–**	**–**	**–**	**340,943**
Deposits from customers	**38,368,616**	**138,424**	**23,447**	**–**	**38,530,487**
Other liabilities	**188,655**	**678**	**–**	**–**	**189,333**
Capital notes	**4,000,000**	**–**	**–**	**–**	**4,000,000**
Commitments and contingent liabilities	**1,780,488**	**84,970**	**2,681**	**–**	**1,868,139**
Interest, fees and other income	**871,747**	**20,817**	**1,267**	**–**	**893,831**
Interest expenses	**316,948**	**227**	**156**	**–**	**317,331**
Derivative income	**(312,219)**	**753**	**–**	**–**	**(311,466)**
Interest expenses on Tier 2 loans	**91,958**	**–**	**–**	**–**	**91,958**
Coupon paid on capital notes	**240,000**	**–**	**–**	**–**	**240,000**
31 December 2012					
Deposits and balances due from banks	2,629,276	–	–	–	2,629,276
Derivative financial instruments – assets	1,416,608	37,667	–	–	1,454,275
Investment securities	5,288,591	24,175	–	–	5,312,766
Loans & advances, net	23,938,759	443,138	25,046	–	24,406,943
Other assets	231,329	–	–	–	231,329
Due to banks	1,268,365	–	–	–	1,268,365
Deposits from customers	26,884,205	290,242	18,595	–	27,193,042
Tier 2 loans	6,617,456	–	–	–	6,617,456
Other liabilities	261,583	–	–	2,494	264,077
Capital notes	4,000,000	–	–	–	4,000,000
Commitments and contingent liabilities	1,850,326	68,292	300	–	1,918,918
Interest, fees and other income	934,301	29,686	1,171	26,627	991,785
Interest expenses	432,424	8,358	316	–	441,098
Derivative income	309,316	16,765	–	–	326,081
Interest expenses on Tier 2 loans	253,042	–	–	–	253,042
Coupon paid on capital notes	240,000	–	–	–	240,000

Remuneration of key management employees and Board of Directors fees and expenses during the year are as follows:

	2013 AED'000	2012 AED'000
Short-term benefits	**24,956**	23,522
Termination benefits	**2,100**	2,044
Variable pay benefits	**25,262**	20,238
	52,318	45,804
Board of Directors fees and expenses	**12,481**	10,541

In addition to the above, the key management personnel were granted long-term deferred compensation including share-based payments of AED 22,238 thousand (2012 — AED 20,238 thousand).

36 COMMITMENTS AND CONTINGENT LIABILITIES

The Bank had the following commitments and contingent liabilities at 31 December:

	2013 AED'000	2012 AED'000
Letters of credit	**8,677,520**	6,251,347
Guarantees	**14,249,313**	12,250,409
Commitments to extend credit — revocable	**8,293,471**	6,744,165
Commitments to extend credit — irrevocable	**3,262,963**	3,210,238
Credit default swaps	**–**	55,095
Total commitments on behalf of customers	**34,483,267**	28,511,254
Commitments for future capital expenditure	**189,007**	131,885
Commitments to invest in investment securities	**132,185**	212,764
Total commitments and contingent liabilities	**34,804,459**	28,855,903

CREDIT-RELATED COMMITMENTS

Credit-related commitments include commitments to extend credit, standby letters of credit, and guarantees which are designed to meet the requirements of the Bank's customers. Irrevocable commitments to extend credit represent contractual commitments to make loans and advances and revolving credits. Revocable commitments to extend credit represent commitments to make loans and advances and revolving credits which can be cancelled by the bank unconditionally without any contractual obligations. Commitments generally have fixed expiry dates or other termination clauses. Since commitments may expire without being drawn upon, the total contract amounts do not necessarily represent future cash requirements.

Letters of credit and guarantees commit the Bank to make payments on behalf of customers contingent upon the failure of the customer to perform under the terms of the contract. These contracts would be exposed to market risk if issued or extended at a fixed rate of interest. However, these contracts are primarily made at floating rates.

Commitments and contingent liabilities, which have been entered into on behalf of customers and for which there are corresponding obligations from customers, are not included in assets and liabilities. The Bank's maximum exposure to credit loss, in the event of non-performance by the other party and where all counterclaims, collateral or security proves valueless, is represented by the contractual nominal amount of these instruments included in the table above. These commitments and contingent obligations are subject to the Bank's normal credit-approval processes.

37 OPERATING SEGMENTS

The Bank has four reportable segments, as described below, which are the Bank's strategic divisions. The strategic divisions offer different products and services, and are managed separately based on the Bank's management and internal reporting structure. For each of the strategic divisions, the Bank's Performance Management Committee reviews internal management reports on at least a quarterly basis.

The following summary describes the operations in each of the Bank's reportable segments:

Consumer Banking	comprises retail, wealth management and Islamic financing. It includes loans, deposits and other transactions and balances with retail customers and with corporate and private accounts of high-net-worth individuals and funds-management activities.
Wholesale Banking	comprises business banking, cash management, trade finance, corporate finance, small and medium enterprise financing, investment banking, Indian operations, Islamic financing, infrastructure and asset finance, government, and public enterprises. It includes loans, deposits and other transactions and balances with corporate customers.
Investments & Treasury	comprises central treasury operations, management of the Bank's investment portfolio and interest-rate, currency and commodity derivative portfolio, and Islamic financing. Investments & Treasury undertakes the Bank's funding and centralised risk-management activities through borrowings, issue of debt securities, and use of derivatives for risk management. It also undertakes trading and corporate finance activities and investing in liquid assets such as short-term placements, and corporate and government debt securities.
Property Management	comprises real estate management and engineering service operations of subsidiaries — Abu Dhabi Commercial Properties LLC, Abu Dhabi Commercial Engineering Services LLC, and rental income of ADCB.

Information regarding the results of each reportable segment is included below. Performance is measured based on segment profit before income tax, as included in the internal management reports that are reviewed by the Performance Management Committee. Segment profit is used to measure performance, as management believes that such information is the most relevant in evaluating the results of certain segments relative to other entities that operate within these industries. Inter-segment pricing is determined on an arm's-length basis.

The following is an analysis of the Bank's revenue and results by operating segment for the year ended:

	Consumer Banking AED'000	Wholesale Banking AED'000	Investments & Treasury AED'000	Property Management AED'000	Total AED'000
2013					
Net interest and Islamic financing income	**2,138,406**	**1,464,898**	**1,705,380**	**120,498**	**5,429,182**
Non-interest income	**914,341**	**459,774**	**347,800**	**168,522**	**1,890,437**
Operating expenses	**(1,420,232)**	**(632,984)**	**(205,489)**	**(99,481)**	**(2,358,186)**
Operating profit before impairment allowances	**1,632,515**	**1,291,688**	**1,847,691**	**189,539**	**4,961,433**
Impairment (allowances)/recoveries	**(1,062,858)**	**(291,508)**	**20,068**	**–**	**(1,334,298)**
Profit before taxation	**569,657**	**1,000,180**	**1,867,759**	**189,539**	**3,627,135**
Overseas income-tax expense	**–**	**(7,491)**	**–**	**–**	**(7,491)**
Net profit for the year	**569,657**	**992,689**	**1,867,759**	**189,539**	**3,619,644**
Capital expenditure					**99,846**
As at 31 December 2013					
Segment assets	**61,382,901**	**76,113,146**	**45,078,609**	**567,880**	**183,142,536**
Segment liabilities	**32,165,627**	**43,746,149**	**82,370,825**	**38,625**	**158,321,226**
2012					
Net interest and Islamic financing income	2,335,497	1,465,602	1,282,445	123,687	5,207,231
Non-interest income	693,537	431,416	133,266	129,698	1,387,917
Operating expenses	(1,314,081)	(525,997)	(159,602)	(69,584)	(2,069,264)
Operating profit before impairment allowances	1,714,953	1,371,021	1,256,109	183,801	4,525,884
Impairment (allowances)/recoveries	(1,479,004)	(211,892)	2,514	(21,337)	(1,709,719)
Profit before taxation	235,949	1,159,129	1,258,623	162,464	2,816,165
Overseas income-tax expense	–	(5,830)	–	–	(5,830)
Net profit for the year	235,949	1,153,299	1,258,623	162,464	2,810,335
Capital expenditure					199,358
As at 31 December 2012					
Segment assets	60,847,483	70,449,477	48,958,232	540,531	180,795,723
Segment liabilities	29,946,977	51,180,230	74,946,671	14,256	156,088,134

For the purpose of monitoring segment performance and allocating resources between segments, all assets and liabilities are allocated to reportable segments.

OTHER DISCLOSURES

The following is the analysis of the total operating income of each segment between income from external parties and inter-segment.

	External		Inter-segment	
	2013 AED'000	2012 AED'000	**2013 AED'000**	2012 AED'000
Consumer Banking	**4,292,674**	4,435,438	**(1,239,927)**	(1,406,404)
Wholesale Banking	**3,019,561**	2,602,597	**(1,094,889)**	(705,579)
Investments & Treasury	**(161,138)**	(572,585)	**2,214,318**	1,988,296
Property Management	**168,522**	129,698	**120,498**	123,687
Total	**7,319,619**	6,595,148	**–**	–

GEOGRAPHICAL INFORMATION

The Bank operates in two principal geographic areas, i.e., Domestic and International. The United Arab Emirates is designated as the Domestic area, which represents the operations of the Bank that originate from the UAE branches and subsidiaries; and the International area represents the operations of the Bank that originate from its branches in India, and Jersey and through its subsidiaries outside the UAE. The Bank's operations and information about its segment non-current financial assets by geographical area are as follows:

	Domestic		International	
	2013 AED'000	2012 AED'000	**2013 AED'000**	2012 AED'000
Income				
Net interest and Islamic financing income	**5,400,539**	5,180,704	**28,643**	26,527
Non-interest income	**1,887,635**	1,383,248	**2,802**	4,669
Non-current assets				
Investment properties	**560,690**	529,395	**–**	–
Property and equipment, net	**801,295**	844,256	**4,027**	5,678
Intangible assets	**61,695**	92,126	**–**	–

38 FINANCIAL INSTRUMENTS

CATEGORIES OF FINANCIAL INSTRUMENTS

The following tables analyse the Bank's financial assets and financial liabilities in accordance with categories of financial instruments under IAS 39.

	Held-for-trading AED'000	Hedging derivatives AED'000	Available-for-sale AED'000	Amortised cost AED'000	Total AED'000
31 December 2013					
Assets					
Cash and balances with central banks	–	–	–	9,961,206	9,961,206
Deposits and balances due from banks	–	–	–	11,344,700	11,344,700
Trading securities	884,640	–	–	–	884,640
Derivative financial instruments	3,141,800	474,403	–	–	3,616,203
Investment securities	–	–	20,854,772	–	20,854,772
Loans and advances, net	–	–	–	131,648,670	131,648,670
Other assets	–	–	–	3,365,653	3,365,653
Total financial assets	4,026,440	474,403	20,854,772	156,320,229	181,675,844
Liabilities					
Due to banks	–	–	–	4,291,011	4,291,011
Derivative financial instruments	3,157,645	807,942	–	–	3,965,587
Deposits from customers	–	–	–	115,427,708	115,427,708
Euro commercial paper	–	–	–	5,940,435	5,940,435
Borrowings	–	–	–	23,785,568	23,785,568
Other liabilities	–	–	–	4,465,356	4,465,356
Total financial liabilities	3,157,645	807,942	–	153,910,078	157,875,665
31 December 2012					
Assets					
Cash and balances with central banks	–	–	–	9,337,874	9,337,874
Deposits and balances due from banks	–	–	–	16,517,118	16,517,118
Trading securities	641,877	–	–	–	641,877
Derivative financial instruments	4,376,874	616,352	–	–	4,993,226
Investment securities	–	–	18,712,916	–	18,712,916
Loans and advances, net	–	–	–	123,195,295	123,195,295
Other assets	–	–	–	5,866,196	5,866,196
Total financial assets	5,018,751	616,352	18,712,916	154,916,483	179,264,502
Liabilities					
Due to banks	–	–	–	4,411,271	4,411,271
Derivative financial instruments	4,349,764	418,574	–	–	4,768,338
Deposits from customers	–	–	–	109,216,925	109,216,925
Euro commercial paper	–	–	–	4,557,108	4,557,108
Borrowings	–	–	–	26,139,647	26,139,647
Other liabilities	–	–	–	6,765,453	6,765,453
Total financial liabilities	4,349,764	418,574	–	151,090,404	155,858,742

39 FAIR VALUE HIERARCHY

FAIR VALUE MEASUREMENTS RECOGNISED IN THE STATEMENT OF FINANCIAL POSITION

The fair value measurements are categorised into different levels in the fair value hierarchy based on the inputs to valuation techniques used. The different levels are defined as follows:

QUOTED MARKET PRICES — LEVEL 1

Financial instruments are classified as Level 1 if their values are observable in an active market. Such instruments are valued by reference to unadjusted quoted prices for identical assets or liabilities in active markets where the quoted price is readily available, and the price represents actual and regularly occurring market transactions.

VALUATION TECHNIQUES USING OBSERVABLE INPUTS — LEVEL 2

Financial instruments and investment properties classified as Level 2 have been valued using models whose inputs are observable in an active market. Valuation based on observable inputs include financial instruments such as swaps and forwards, which are valued using market standard pricing techniques, and options that are commonly traded in markets where all the inputs to the market standard pricing models are observable.

The category includes derivative financial instruments, such as certain OTC derivatives, commodity derivatives, and foreign-exchange spot and forward contracts, and non-derivative financial instruments, such as investment properties.

These instruments are valued using the inputs observable in an active market. Valuation of derivative financial instruments is made through discounted cash flow method using the applicable yield curve for the duration of the instruments for non-optional derivatives, and standard option pricing models such as Black-Scholes and other valuation models for optional derivatives.

Level 2 investment properties include buildings completed and under development. Refer to Note 11 in respect of the valuation techniques used.

VALUATION TECHNIQUES USING SIGNIFICANT UNOBSERVABLE INPUTS — LEVEL 3

Financial instruments are classified as Level 3 if their valuation incorporates significant inputs that are not based on observable market data (unobservable inputs). A valuation input is considered observable if it can be directly observed from transactions in an active market.

Unobservable input levels are generally determined based on observable inputs of a similar nature, historical observations or other analytical techniques.

This category mainly includes private equity instruments and private funds. The carrying values of these investments are adjusted as follows:

a) Private equity instruments — using the latest available net book value; and

b) Private funds — based on the net asset value provided by the fund manager.

OTHER ASSETS AND LIABILITIES NOT MEASURED AT FAIR VALUE

The majority of the Bank's assets and liabilities measured at amortised cost, including loans and advances and deposits from customers, are Level 3 assets and liabilities, as there is no active market for such assets and liabilities. The Bank considers these to have a fair value approximately equivalent to their net carrying value, based on discounted cash flow calculations performed for a sample of loans, the majority of which carry variable interest rates, and given the relatively short tenor of most deposits from customers.

This hierarchy requires the use of observable market data when available. The Bank considers relevant and observable market prices in its valuations where possible. The table below analyses recurring fair value measurements for assets and liabilities.

	Notes	Level 1 Quoted market prices AED'000	Level 2 Observable inputs AED'000	Level 3 Significant unobservable inputs AED'000	Total AED'000
31 December 2013					
Assets at fair value					
Trading securities	7	**884,640**	**–**	**–**	**884,640**
Derivative financial instruments	8	**1,767**	**3,614,436**	**–**	**3,616,203**
Investment Securities	9				
Quoted		**20,480,037**	**–**	**–**	**20,480,037**
Unquoted		**–**	**58,147**	**316,588**	**374,735**
Investment properties	11	**–**	**560,690**	**–**	**560,690**
Total assets at fair value		**21,366,444**	**4,233,273**	**316,588**	**25,916,305**
Liabilities at fair value					
Derivative financial instruments	8	**–**	**3,965,587**	**–**	**3,965,587**
Total liabilities at fair value		**–**	**3,965,587**	**–**	**3,965,587**
31 December 2012					
Assets at fair value					
Trading securities	7	641,877	–	–	641,877
Derivative financial instruments	8	1,262	4,991,964	–	4,993,226
Investment securities	9				
Quoted		18,434,480	–	–	18,434,480
Unquoted		–	–	278,436	278,436
Investment properties	11	–	529,395	–	529,395
Total assets at fair value		19,077,619	5,521,359	278,436	24,877,414
Liabilities at fair value					
Derivative financial instruments	8	–	4,768,338	–	4,768,338
Total liabilities at fair value		–	4,768,338	–	4,768,338

The Bank's OTC derivatives in the Trading Book are classified as Level 2, as they are valued using inputs that can be observed in the market.

Reconciliation showing the movement in fair values of Level 3 available-for-sale investments is as follows:

	2013 AED'000	2012 AED'000
1 January	**278,436**	263,022
Acquisitions	**49,217**	17,245
Matured/disposals during the year	**(9,726)**	(4,593)
Adjustment through comprehensive income	**(2,502)**	10,648
Transfer in from Level 1	**1,163**	2,057
Impairment loss	**–**	(9,943)
31 December	**316,588**	278,436

Net loss of AED 1,903 thousand on disposal of Level 3 investments were included under Other operating income in the consolidated income statement (Note 29).

There were no significant transfers between Level 1 and Level 2 during the year.

There was no change in valuation techniques during the year.

40 RISK MANAGEMENT

Risk governance structure emphasises and balances strong central oversight and control of risk with clear accountability for and ownership of risk within each business unit. Under ADCB's approach to risk governance, the business primarily owns the risk that it generates and is equally responsible for assessing risk, designing and implementing controls, and monitoring and reporting their ongoing effectiveness to safeguard ADCB from exceeding its risk appetite.

Ultimate responsibility for setting out risk appetite and effective management of risk rests with the Board. This is managed through a number of Board-level committees; namely Board Risk & Credit Committee (BRCC) and Board Audit & Compliance Committee (BACC), which ensure that risk-taking authority and policies are cascaded down from the Board to the appropriate business units.

The Management Executive Committee (MEC) has primary responsibility for implementing, overseeing and taking ownership for the enforcement of risk strategy and internal control directives laid down by the Board and Board Committees.

The Management-level committees also actively manage risk, particularly the Assets and Liabilities Management Committee, the Management Risk & Credit Committee (MRCC) and the Management Recoveries Committee. The Risk Management function headed by the Bank's Chief Risk Officer reports independently to the Board Risk and Credit Committee. The risk function is independent of the origination, trading and sales function to ensure balance in risk-reward decisions is not compromised and to ensure transparency of decisions in accordance with laid-down standards and policies. The risk function exercises control over credit, market, short-term liquidity, operational and compliance risk.

The Audit & Compliance Committee provides assistance to the Board to fulfil its duties to ensure and oversee the Bank's financial statements, independence and performance of the Bank's external and internal auditors, compliance with legal and regulatory requirements, and internal policies and internal control over financial reporting.

The Internal Audit Group (IAG) aims to apply a systematic and disciplined approach to evaluating and improving the effectiveness of ADCB's risk management, control and governance processes. The IAG reports directly to the BACC. The IAG consists of a team of auditors, whose tasks are, among other things, to evaluate the quality of ADCB's lending portfolio, controls in operational processes and the integrity of ADCB's information systems and databases. The IAG auditors, alongside the Compliance Department, also ensure that transactions undertaken by ADCB are conducted in compliance with applicable legal and regulatory requirements, and in accordance with ADCB's internal procedures, thereby minimising the risk of fraudulent, improper or illegal practices.

41 CREDIT RISK MANAGEMENT

Credit risk is the risk that one party to a financial instrument will cause financial loss for the other party by failing to discharge an obligation.

ADCB's risk function follows the approaches listed below for credit risk management, depending on the type of customer.

Individual account management — These accounts are managed by a relationship manager and a credit manager. This category includes customers of Wholesale Banking and financial institutions. Risk management is conducted through expert analysis backed up by tools to support decision-making based on internal models of risk assessment.

Portfolio Management — This category generally includes individuals, sole proprietorships and partnerships and certain smaller SMEs. Management of these risks is based on internal models of assessment and scorecard-based decisions, complemented by internal portfolio analytics.

Management of credit risk

The Bank controls credit risk by aggregating and monitoring credit exposures (both direct and indirect exposures) on the loans and advances book, investment securities, non-funded exposures and due from banks. The Bank sets transaction limits for specific counterparties and continually assesses the creditworthiness of counterparties. The Bank sets and monitors country, industry, product and tenor risks, and uses its own internal rating models for assigning customer ratings which measure the degree of risk of a customer. Each rating corresponds to a certain probability of default. The Bank has various internal rating models for different customer segments.

In addition to monitoring credit limits, the Bank manages the credit exposure relating to its trading activities by entering into master netting agreements and collateral arrangements with counterparties in appropriate circumstances and limiting the duration of exposure. In certain cases, the Bank may also close out transactions or assign them to other counterparties to mitigate credit risk.

The bank-wide credit policies and standards are approved by the BRCC. These govern all delegated lending authorities and include policies, standards, metrics, strategies and procedures specific to each of the different business segments and are decided based on macro-economic conditions, the risk appetite of the Bank, market data, and internal skill sets and capabilities. They are regularly reviewed and modified to ensure they stay current, relevant and protect the Bank's interest in changing operating conditions. In addition to bank-wide policies, there are underwriting standards set for each portfolio segment.

41.1 ANALYSIS OF MAXIMUM EXPOSURE TO CREDIT RISK BEFORE CREDIT RISK MITIGANTS

The following table presents the maximum exposure as at 31 December 2013 and 2012 of credit risk of the consolidated statement of financial position and off-balance sheet financial instruments, before taking account of any credit risk mitigants and after allowance for impairment and netting where appropriate.

The maximum exposure to credit risk for consolidated statement of financial position items is their carrying value. For financial guarantees recorded off-balance-sheet, the maximum exposure to credit risk is the maximum amount that the Bank would have to pay if the guarantees were to be called upon. For loan and other credit-related commitments that are irrevocable over the life of the respective facilities, the maximum exposure to credit risk is the full amount of the committed facilities.

The analysis of credit risk under this section includes only financial assets subject to credit risk. They exclude other financial assets, such as trading portfolio which are exposed to market risk. The nominal value of off-balance sheet credit-related instruments is also shown, where appropriate.

Whilst the Bank's maximum exposure to credit risk is the carrying value of the assets or, in the case of off-balance sheet items, the amount guaranteed, committed or endorsed, in most cases the likely exposure is far less due to collateral held and other credit risk mitigants and other actions taken to manage the Bank's exposure.

	2013			2012		
	Carrying value AED'000	**Off-balance sheet items AED'000**	**Maximum credit exposure AED'000**	Carrying value AED'000	Off-balance sheet items AED'000	Maximum credit exposure AED'000
Deposits and balances due from banks	**11,344,700**	**–**	**11,344,700**	16,517,118	–	16,517,118
Derivative financial instruments	**3,616,203**	**–**	**3,274,210**	4,993,226	–	4,514,455
Investment securities	**20,854,772**	**132,185**	**20,986,957**	18,712,916	212,764	18,925,680
Loans and advances, net	**131,648,670**	**–**	**131,648,670**	123,195,295	–	123,195,295
Other assets	**3,404,638**	**–**	**3,286,050**	5,925,962	–	5,820,316
Guarantees	**–**	**14,249,313**	**14,177,430**	–	12,250,409	11,955,291
Letters of credit	**–**	**8,677,520**	**8,664,579**	–	6,251,347	6,212,827
Irrevocable commitments to extend credit	**–**	**3,262,963**	**3,262,963**	–	3,210,238	3,210,238
Credit default swaps	**–**	**–**	**–**	–	55,095	55,095
Total	**170,868,983**	**26,321,981**	**196,645,559**	169,344,517	21,979,853	190,406,315

The maximum credit exposure for derivative financial instruments is net of cash collateral of AED 341,993 thousand (31 December 2012 — AED 478,771 thousand).

41.2 CONCENTRATION OF CREDIT RISK

Concentration of credit risk arises when a number of counterparties or exposures have comparable economic characteristics, or such counterparties are engaged in similar activities or operate in the same geographical areas or economic sectors that would impact their ability to meet contractual obligations to be similarly affected by changes in economic or other conditions. The analysis of credit risk concentrations presented below is based on the location of the counterparty or customer or the economic activity in which it is engaged.

(a) Credit risk concentration by geographical sector

	Domestic (UAE) AED'000	Other GCC countries AED'000	Other Arab countries AED'000	Asia AED'000	Europe AED'000	USA AED'000	Rest of the world AED'000	Total AED'000
31 December 2013								
Assets								
Deposits and balances due from banks	**4,614,768**	**3,993,272**	**22,504**	**537,963**	**1,519,306**	**608,683**	**48,204**	**11,344,700**
Derivative financial instruments	**1,729,239**	**650**	**–**	**70,142**	**1,638,806**	**170,699**	**6,667**	**3,616,203**
Investment securities	**10,805,912**	**2,620,186**	**–**	**879,903**	**3,200,413**	**2,951,625**	**396,733**	**20,854,772**
Loans and advances, net	**124,417,670**	**2,823,841**	**33,378**	**2,310,642**	**1,202,961**	**391**	**859,787**	**131,648,670**
Other assets	**2,726,100**	**492,071**	**111**	**66,249**	**–**	**–**	**1,519**	**3,286,050**
Total assets	**144,293,689**	**9,930,020**	**55,993**	**3,864,899**	**7,561,486**	**3,731,398**	**1,312,910**	**170,750,395**
Commitment and contingent liability	**27,716,557**	**505,504**	**104,730**	**3,794,444**	**1,703,795**	**291,799**	**687,630**	**34,804,459**
31 December 2012								
Assets								
Deposits and balances due from banks	7,496,926	4,075,071	1,490	996,367	3,824,689	54,327	68,248	16,517,118
Derivative financial instruments	2,756,078	2,096	–	107,961	1,818,868	281,859	26,364	4,993,226
Investment securities	8,761,279	2,173,274	–	1,278,835	3,304,373	2,903,034	292,121	18,712,916
Loans and advances, net	119,241,363	1,665,743	134,368	1,066,749	100,064	210	986,798	123,195,295
Other assets	5,271,202	322,303	3	111,205	7	–	115,595	5,820,315
Total assets	143,526,848	8,238,487	135,861	3,561,117	9,048,001	3,239,430	1,489,126	169,238,870
Commitment and contingent liability	24,849,999	636,812	143,804	961,079	1,212,360	686,604	365,245	28,855,903

(b) Credit risk concentration by economic sector

The economic-activity-sector composition of the loans and advances portfolio is as follows:

	31 December 2013			31 December 2012		
	Within the UAE AED'000	**Outside the UAE AED'000**	**Total AED'000**	Within the UAE AED'000	Outside the UAE AED'000	Total AED'000
Economic sector						
Agriculture	**215,777**	**–**	**215,777**	196,610	–	196,610
Energy	**527,279**	**183,377**	**710,656**	531,071	172,682	703,753
Trading	**2,172,597**	**155,286**	**2,327,883**	1,193,769	63,142	1,256,911
Real estate investment & hospitality	**51,704,059**	**733,630**	**52,437,689**	50,867,506	892,754	51,760,260
Transport	**558,357**	**673,627**	**1,231,984**	365,840	589,142	954,982
Personal	**29,901,512**	**389,073**	**30,290,585**	27,328,371	289,147	27,617,518
Government & public sector entities	**31,690,007**	**560,690**	**32,250,697**	31,812,179	629,326	32,441,505
Financial institutions (*)	**9,844,961**	**4,987,911**	**14,832,872**	9,394,762	1,608,124	11,002,886
Manufacturing	**944,955**	**364,810**	**1,309,765**	1,035,530	245,570	1,281,100
Services	**1,586,456**	**352,906**	**1,939,362**	1,014,857	239,178	1,254,035
Others	**769,479**	**221,868**	**991,347**	967,406	222,049	1,189,455
	129,915,439	**8,623,178**	**138,538,617**	124,707,901	4,951,114	129,659,015
Less: Allowance for impairment			**(6,889,947)**			(6,463,720)
Total loans and advances, net			**131,648,670**			123,195,295

(*) Includes investment companies.

The Central Bank of UAE vide notice no. 3823/2012 dated 14/11/2012 has revamped banking return forms which are more extensive and granular than the existing reports. As a part of these changes, economic sector definitions and classifications were further refined and expanded. During 2013, the Bank, based on the new circular, reviewed the existing classification of loans and advances and reclassified them to better reflect the underlying nature of the business of the borrowers. Accordingly, the economic sectors of these loans and advances were reclassified for prior-year financial statements to conform to the current year's presentation.

The industry sector composition of other exposures is as follows:

	Commercial and business AED'000	Personal AED'000	Public sector AED'000	Government AED'000	Banks and financial institutions AED'000	Total AED'000
31 December 2013						
Assets						
Deposits and balances due from banks	**–**	**–**	**–**	**–**	**11,344,700**	**11,344,700**
Derivative financial instruments	**1,540,282**	**30,353**	**5,105**	**19,055**	**2,021,408**	**3,616,203**
Investment securities	**347,593**	**–**	**6,878,417**	**4,530,062**	**9,098,700**	**20,854,772**
Other assets	**1,971,695**	**236,966**	**906,504**	**140,261**	**30,624**	**3,286,050**
Total assets	**3,859,570**	**267,319**	**7,790,026**	**4,689,378**	**22,495,432**	**39,101,725**
Commitment and contingent liabilities	**14,925,283**	**7,117,817**	**3,280,961**	**1,554,305**	**7,926,093**	**34,804,459**
31 December 2012						
Assets						
Deposits and balances due from banks	–	–	–	–	16,517,118	16,517,118
Derivative financial instruments	2,559,346	50,694	–	–	2,383,186	4,993,226
Investment securities	221,515	–	6,459,594	4,087,349	7,944,458	18,712,916
Other assets	4,733,367	169,834	743,694	18,328	155,093	5,820,316
Total assets	7,514,228	220,528	7,203,288	4,105,677	26,999,855	46,043,576
Commitment and contingent liabilities	14,004,977	6,400,616	2,313,485	1,697,418	4,439,407	28,855,903

As at reporting date, the 20 largest customer exposures constitute 41.44% of the gross loans and advances (31 December 2012 — 46.53%).

41.3 CREDIT RISK MANAGEMENT OVERVIEW

Organisational Framework

The risk management structure of the Bank is clearly established with well-defined roles and responsibilities as explained in Note 40.

The committees responsible for managing credit risk are the Management Risk & Credit Committee and the Management Recoveries Committee. ADCB risk management practices and strategies are an integral part of business planning and the budgeting process. All risk management areas are centralised under the Credit and Risk Group.

The Board Risk and Credit Committee (BRCC) is responsible for sanctioning high-value credits and for the approval of credit policies and processes in line with growth, risk management and strategic objectives. In addition, the Bank manages the credit exposure by obtaining security where appropriate and limiting the duration of exposure. Credit risk in respect of derivative financial instruments is limited to those with positive fair values.

Regular audits of business units and the Bank's credit processes are undertaken by the Internal Audit and Compliance divisions.

41.4 CREDIT RISK MEASUREMENT AND MITIGATION POLICIES

Loans and advances to customers are the main source of credit risk, although the Bank can also be exposed to other forms of credit risk through, for example, loans to banks, loan commitments and debt securities. The Bank's risk management policies and processes are designed to identify and analyse risk, to set appropriate risk appetite, limits and controls, and to monitor the risks and adherence to limits by means of reliable and timely data. The Bank assesses the probability of default of individual counterparties using internal rating tools tailored to the various categories of counterparties (Note 41.6).

Exposure to credit risk is also managed through regular analysis of the ability of borrowers and potential borrowers to meet interest and capital repayment obligations and by changing these lending limits where appropriate.

Collateral

The Bank holds collateral against loans and advances to customers in the form of mortgage interests over property, other registered securities over assets, fixed deposits and guarantees. Estimates of fair value of the collateral (including shares) are updated on a regular basis. Collateral generally is not held over loans and advances to banks, except when securities are held as part of reverse repurchase and securities borrowing activity. The principal collateral types for loans and advances are:

- cash and marketable securities;
- mortgages over residential and commercial properties;
- charges over business assets such as premises, inventory and accounts receivable;
- charges over financial instruments such as debt securities and equities; and
- guarantees.

The estimated fair value of collateral and other security enhancements held against loans and advances to customers and banks for the year ended 31 December 2013 was AED 118,116,744 thousand (31 December 2012 — AED 96,188,466 thousand).

Collateral held as security against impaired loans primarily relates to commercial and residential property and securities. Where the estimated fair value of collateral held exceeds the outstanding loan, any excess on realisation is paid back to the customers and is not available for offset against other loans.

Derivatives

The Bank maintains strict control limits on net open derivative positions (i.e., the difference between purchase and sale contracts), by both amount and term. At any time, the amount subject to credit risk is limited to the current fair value of instruments that is favourable to the Bank (i.e., positive fair value of assets), which in relation to derivatives is a small fraction of the contract or notional values used to express the volume of instruments outstanding. This credit risk exposure is managed as part of the overall lending limits with customers, together with potential exposures from market movements.

Settlement risk arises in any situation where a payment in cash, securities or equities is made in the expectation of a corresponding receipt in cash, securities or equities. Daily settlement limits are established for each counterparty to cover the aggregate of all settlement risks arising from the Bank's market transactions on any single day.

Master netting arrangements

The Bank further restricts its exposure to credit losses by entering into master netting arrangements with counterparties with which it undertakes a significant volume of transactions. Master netting arrangements do not generally result in an offset of statement of financial position assets and liabilities, as transactions are usually settled on a gross basis, hence the impact of netting in practice is immaterial.

However, the credit risk associated with favourable contracts is reduced by a master netting arrangement to the extent that if a default occurs, all amounts with the counterparty are terminated and settled on a net basis. The Bank's overall exposure to credit risk on derivative instruments subject to master netting arrangements can change substantially within a year, as it is affected by each transaction subject to the arrangement.

41.5 PORTFOLIO MONITORING AND IDENTIFYING CREDIT RISK

Credit Risk Management is actively involved in identifying and monitoring credit risk loans. It monitors the portfolio through system generated MIS and periodic reviews, giving due consideration to industry/general economic trends, market feedback and media reports.

Within the retail portfolios comprising homogeneous assets, statistical techniques are deployed to monitor potential weaknesses within a particular portfolio. The approach is consistent with the Bank's policy of raising a specific impairment allowance as soon as objective evidence of impairment is identified. Retail accounts are classified according to specified categories of arrears status (days-past-due buckets), which reflect the level of contractual payments which are overdue on a loan.

The probability of default increases with the number of contractual payments missed, thus raising the associated impairment requirement. In the event a decision is taken to write off a loan, the account is moved to legal recovery function. However, in certain cases, an account may be charged off directly from a performing status, such as in the case of insolvency or death.

In the Wholesale Banking portfolio, the Bank will more frequently participate in debt restructuring agreements as part of the business-support process. Debt restructuring agreements may include actions to facilitate recovery of the principal and interest outstanding and may include rate negotiation, relaxing payment schedules, etc.

Exposure to credit risk by days past due

The Bank's risk classification of loans and advances, which is in adherence with the recommendations of Central Bank of United Arab Emirates guidelines, is as follows:

Risk Category	
Neither past due nor impaired	Up to 30 days past due
Past due but not impaired loans	Between 31 and 90 days past due
Past due and impaired	Over 91 days past due

The classification of loans and advances by days past due is as follows:

	2013 AED'000	2012 AED'000
Neither past due nor impaired	**130,819,755**	118,710,300
Past due but not impaired loans	**1,997,354**	4,009,770
Past due and impaired	**5,721,508**	6,938,945
	138,538,617	129,659,015
Less: Allowance for impairment	**(6,889,947)**	(6,463,720)
Loans and advances, net	**131,648,670**	123,195,295

Analysis of the age of past due but not impaired loans as at the end of the reporting period was as follows:

	2013 AED'000	2012 AED'000
31–60 days	**1,011,265**	3,012,195
61–90 days	**986,089**	997,575
Total past due but not impaired loans	**1,997,354**	4,009,770

Loans and advances include a loan to the Government of Abu Dhabi ("Government") of AED 436,008 thousand (31 December 2012 — AED 449,569 thousand). This loan arose as a result of the Government acquiring certain non-performing loans in previous years and was indemnified by the Government through a guarantee. The Bank has an equal amount of long-term deposits against this loan (Note 16).

41.6 EXPOSURE TO CREDIT RISK BY INTERNAL RISK GRADES

The Bank uses an internal grading system which employs 10 grades that categorise the Bank's wholesale and high-net-worth (HNW) customers based on various qualitative and quantitative factors, such as borrower financial strength, industry risk factors, management quality, operational efficiency, company standing, liquidity, capital structure, and peer group analysis. Some of these grades are further sub-classified with a plus or a minus sign. Lower grades are indicative of a lower likelihood of default. Credit grades 1–7 are assigned to performing customers or accounts while credit grades 8–10 are assigned to non-performing or defaulting customers.

Credit ratings are used by the Bank to decide the maximum lending amount per customer group and also to set minimum pricing thresholds. Retail customers or individual borrowers are not assigned a credit rating under this structure. However, retail banking uses behaviour scoring for its customers.

The internal credit grade system is not intended to replicate external credit grades, but as factors used to grade a borrower may be similar, a borrower rated poorly by an external rating agency is typically assigned a worse internal credit grade.

The following table represents credit quality of loans and advances, net that are neither past due nor impaired and derivative financial assets as at 31 December:

	2013		2012	
	Loans and advances, net AED'000	**Derivative financial assets AED'000**	Loans and advances, net AED'000	Derivative financial assets AED'000
Internal risk grades				
Grades 1 to 4	**30,188,330**	**3,352,045**	27,032,118	4,290,138
Grades 5 to 6	**67,182,007**	**262,032**	62,095,009	495,083
Grade 7	**11,298,330**	**1,871**	10,797,095	125,245
Ungraded — including retail loans	**22,151,088**	**255**	18,786,078	82,760
	130,819,755	**3,616,203**	118,710,300	4,993,226

41.7 EXTERNAL CREDIT RATINGS OF INVESTMENT SECURITIES

The table below presents the external credit ratings as at 31 December of the Bank's deposits and balances due from banks, trading and available-for-sale bond securities based on Moody's rating scale. Wherever Moody's ratings are not available, a comparable Standard & Poor's equivalent ratings scale is used.

	2013			2012		
	Deposits and balances due from banks AED'000	**Trading securities bonds AED'000**	**Available-for-sale bonds AED'000**	Deposits and balances due from banks AED'000	Trading securities bonds AED'000	Available-for-sale bonds AED'000
Ratings						
Aaa to Aa3	**2,667,928**	**–**	**6,143,363**	1,421,063	–	6,249,628
A1 to A3	**4,314,815**	**89,068**	**4,783,083**	5,861,934	36,276	5,430,118
Baa1 to Ba3	**1,285,819**	**29,019**	**6,900,106**	2,619,363	68,142	3,721,130
B1 to B3	**692,505**	**–**	**–**	2,675,093	–	1,143,907
Ca to Caa3	**–**	**–**	**32**	–	–	–
Unrated	**2,383,633**	**18,685**	**2,711,735**	3,939,665	12,652	1,891,330
	11,344,700	**136,772**	**20,538,319**	16,517,118	117,070	18,436,113

As at 31 December 2013, unrated available-for-sale investments include Government bonds of AED 2,139,168 thousand (31 December 2012 — AED 1,727,017 thousand).

41.8 IDENTIFICATION OF IMPAIRMENT

At each reporting date the Bank assesses whether there is objective evidence that financial assets carried at amortised cost are impaired. A financial asset or a group of financial assets is impaired when objective evidence demonstrates that a loss event has occurred after the initial recognition of the asset and that the loss event has an impact on the future cash flows of the asset that can be estimated reliably.

Objective evidence that financial assets are impaired can include significant financial difficulty of the borrower or issuer, default or delinquency by a borrower, restructuring of a loan or advance by the Bank on terms that the Bank would not otherwise consider, indications that a borrower or issuer will enter bankruptcy, the disappearance of an active market for a security, or other observable data relating to a Bank's asset, such as adverse changes in the payment status of borrowers or issuers in the Bank, or economic conditions that correlate with defaults in the Bank.

The Bank considers evidence of impairment for loans and advances and investment securities measured at amortised cost at both a specific-asset and collective level.

Individually assessed loans and advances

Impairment losses for individually assessed loans are determined by an evaluation of objective evidence relating to each exposure on a case-by-case basis. This procedure is applied to all classified corporate, commercial, high-net-worth individual loans, bank loans and advances which are individually significant accounts or are not subject to a portfolio-based approach. Specific factors considered by management when determining allowance for impairment on individual loans and advances which are significant include the Bank's aggregate exposure to the customer; viability of the customer's business model and its capacity to trade successfully out of financial difficulties and generate sufficient cash flow to service debt obligations; the amount and timing of expected receipts and recoveries; likely dividend available on liquidation or bankruptcy; extent of other creditors' commitments ranking ahead of, or *pari passu* with the Bank; likelihood of other creditors continuing to support the company; realisable value of security (or other credit mitigants) and likelihood of successful repossession; and likely deduction of any costs involved in recovery of amounts outstanding.

The amount of impairment loss is measured as the difference between the loan's carrying amount and the present value of estimated future cash flows excluding future credit losses but including amounts recoverable from guarantees and collateral, discounted at the loan's original effective interest rate, when it became delinquent under the contract. The amount of the loss is recognised using an allowance account and is included in the consolidated income statement line — impairment allowances.

The Bank's policy requires regular review of the level of impairment allowances on individual facilities, regular valuation of the collateral, and consideration of its enforceability. Impaired loans continue to be classified as impaired unless they are fully current and the collection of scheduled interest and principal is considered probable.

Collectively assessed loans and advances

Impairment is assessed on a collective basis in two circumstances:

- to cover losses which may have been incurred but have not yet been identified on loans subject to individual assessment; and
- for homogenous groups of loans that are not considered individually significant.

Incurred but not yet identified loss on individual loans

Individually assessed loans for which no evidence of loss has been specifically identified on an individual basis are grouped together according to their credit risk characteristics based on industry, product or loan rating for the purpose of calculating an estimated collective loss. This reflects impairment losses that the Bank may have incurred as a result of events occurring before the reporting date, which the Bank is not able to identify on an individual loan basis, and that can be reliably estimated. As soon as information becomes available which identifies losses on individual loans within the group of the customer, those loans are removed for the purpose of collective impairment and assessed on an individual basis for impairment. The management of the Bank assesses, based on historical experience and the prevailing economic and credit conditions, the magnitude of loans which may be impaired but not identified as of the reporting date.

In assessing collective impairment, the Bank uses statistical modelling of historical trends of the probability of default, timing of recoveries and the amount of loss incurred, adjusted for management's judgement as to whether current economic and credit conditions are such that the actual losses are likely to be greater or less than suggested by historical modelling. Default rates, loss rates and the expected timing of future recoveries are regularly benchmarked against actual outcomes to ensure that they remain appropriate.

The collective impairment allowance is determined after taking into account factors such as historical loss experience in portfolios of similar credit risk characteristics, past restructurings, the estimated period between impairment occurring and the loss being identified and evidenced by the establishment of an appropriate allowance against individual loans and management's judgement, based on experience, as to whether current economic and credit conditions are such that the actual level of inherent losses at the reporting date is likely to be greater or less than that suggested by historical experience.

The period between a loss occurring and its identification is estimated by management for each identified portfolio.

In addition to the above, the Bank also takes collective impairment allowance for its restructured loans.

Homogenous groups of loans and advances

Statistical methods are used to determine impairment losses on a collective basis for homogenous groups of loans that are not considered individually significant, because individual loan assessment is impracticable. Losses in these groups of loans are recorded on individual basis when individual loans are written off, at which point they are removed from the group.

Impairment of retail loans is calculated by applying a formula approach which allocates progressively higher loss rates in line with the overdue instalment date.

Retail loans — All unsecured loans falling under similar overdue categories are assumed to carry similar credit risk, and an allowance for impairment is taken on a portfolio basis. In cases of secured loans where the Bank possesses collateral (mortgage/auto loans), the realisable value of the collateral is taken into consideration in assessing the allowance for impairment.

Write-off of loans and advances

Loan and advances (and the related impairment allowance) is normally written off, either partially or in full, when there is no realistic prospect of recovery of the principal amount and, for a collateralised loan, when the proceeds from realising the security have been received.

Movement of the individual and collective impairment allowance on loans and advances:

	2013			2012		
	Individual impairment AED'000	**Collective impairment AED'000**	**Total AED'000**	Individual impairment AED'000	Collective impairment AED'000	Total AED'000
At 1 January	**4,207,137**	**2,256,583**	**6,463,720**	3,652,804	2,059,072	5,711,876
Charge for the year	**1,170,603**	**383,517**	**1,554,120**	1,676,510	197,613	1,874,123
Recoveries during the year	**(187,964)**	**–**	**(187,964)**	(183,015)	–	(183,015)
Net charge for the year	**982,639**	**383,517**	**1,366,156**	1,493,495	197,613	1,691,108
Discount unwind	**(144,016)**	**–**	**(144,016)**	(129,920)	–	(129,920)
Net amounts written off	**(795,407)**	**–**	**(795,407)**	(809,111)	–	(809,111)
Currency translation	**(158)**	**(348)**	**(506)**	(131)	(102)	(233)
Balance at 31 December	**4,250,195**	**2,639,752**	**6,889,947**	4,207,137	2,256,583	6,463,720

Reversal of impairment

If the amount of an impairment loss decreases in a subsequent period, and the decrease can be related objectively to an event occurring after the impairment was recognised, the excess is written back by reducing the loan impairment allowance account accordingly. The write-back is recognised in the consolidated income statement in the period in which it occurs.

Derivative-related credit risk

Credit risk in respect of derivative financial instruments arises from the potential for a counterparty to default on its contractual obligations and is limited to the positive fair value of instruments that are favourable to the Bank. The Bank enters into derivative contracts with financial institutions and corporates which are of satisfactory credit standing as per the Bank's independent credit assessment. Credit risk in derivatives is mitigated through limit control and master netting agreements as explained in Note 41.4.

Off-balance sheet

The Bank applies the same risk management policies for off-balance sheet risks as it does for its on-balance sheet risks. In the case of commitments to lend, customers and counterparties will be subject to the same credit management policies as for loans and advances. Collateral may be sought depending on the strength of the counterparty and the nature of the transaction.

42 INTEREST-RATE-RISK FRAMEWORK, MEASUREMENT AND MONITORING

Interest-rate risk arises from interest-bearing financial instruments and reflects the possibility that changes in interest rates will adversely affect the value of the financial instruments and the related income. The Bank manages this risk principally through monitoring interest-rate gaps and by matching the re-pricing profile of assets and liabilities.

Overall interest-rate-risk positions are managed by the Bank's Treasury department, which uses derivative instruments to manage the overall position arising from the Bank's interest-bearing financial instruments.

Financial assets and liabilities exposed to interest-rate risk are financial assets and financial liabilities with either a fixed or a floating contractual rate of interest. A significant portion of the Bank's loans and advances, deposits and balances due from banks, investment securities, deposits from customers, due to banks, borrowings, and capital notes fall under this category.

Financial assets that are not subject to any interest-rate risk mainly comprise investments in equity investments, cash and balances with central banks excluding certificates of deposit and reverse repo.

The off-balance sheet gap represents the net notional amounts of the off-balance sheet financial instruments, such as interest-rate swaps and currency swaps which are used to manage the interest-rate risk.

The Bank uses financial simulation tools to periodically measure and monitor interest-rate sensitivity. The results are analysed and monitored by the Asset and Liability Committee (ALCO).

The Bank's interest-rate-sensitivity position based on contractual repricing arrangements at 31 December 2013 was as follows:

	Less than 3 months AED'000	3 months to less than 6 months AED'000	6 months to less than 1 year AED'000	1 year to less than 3 years AED'000	Over 3 years AED'000	Non-interest bearing items AED'000	Total AED'000
31 December 2013							
Assets							
Cash and balances with central banks	80,106	600,000	875,000	–	–	8,406,100	9,961,206
Deposits and balances due from banks	9,773,508	1,571,192	–	–	–	–	11,344,700
Trading securities	9	–	–	70,268	66,495	747,868	884,640
Derivative financial instruments	2,846,443	334,008	16,518	53,479	54,850	310,905	3,616,203
Investment securities	784,967	2,666,111	2,919,807	10,173,295	3,994,139	316,453	20,854,772
Loans and advances, net	89,162,675	16,134,140	1,072,446	9,477,933	23,417,673	(7,616,197)	131,648,670
Investment properties	–	–	–	–	–	560,690	560,690
Other assets	48,357	–	–	–	–	3,356,281	3,404,638
Property and equipment, net	–	–	–	–	–	805,322	805,322
Intangible assets	–	–	–	–	–	61,695	61,695
Total assets	102,696,065	21,305,451	4,883,771	19,774,975	27,533,157	6,949,117	183,142,536
Liabilities and Equity							
Due to banks	4,282,208	8,803	–	–	–	–	4,291,011
Derivative financial instruments	2,736,271	970,048	10,308	112,302	6,948	129,710	3,965,587
Deposits from customers	70,170,504	11,434,930	7,658,851	604,872	1,154,703	24,403,848	115,427,708
Euro commercial paper	4,073,266	417,099	1,450,070	–	–	–	5,940,435
Borrowings	6,821,737	491,346	4,284,298	3,500,767	8,687,420	–	23,785,568
Other liabilities	–	–	–	–	–	4,910,917	4,910,917
Equity	–	–	–	–	–	24,821,310	24,821,310
Total liabilities and equity	88,083,986	13,322,226	13,403,527	4,217,941	9,849,071	54,265,785	183,142,536
On-balance sheet gap	14,612,079	7,983,225	(8,519,756)	15,557,034	17,684,086	(47,316,668)	–
Off-balance sheet gap	(771,279)	964,577	2,533,252	(7,337,694)	4,611,144	–	–
Total interest-rate-sensitivity gap	13,840,800	8,947,802	(5,986,504)	8,219,340	22,295,230	(47,316,668)	–
Cumulative interest-rate-sensitivity gap	13,840,800	22,788,602	16,802,098	25,021,438	47,316,668	–	–

Loans and advances, net non-interest bearing items include mainly loan loss provisions and other non-interest bearing items. Current account deposits under deposits from customers have been classified as non-interest bearing, as minuscule interest is paid on them, which render them insensitive to interest-rate changes. Accordingly, prior-year numbers have been reclassified to conform to the current year's presentation.

The Bank's interest-sensitivity position based on contractual repricing arrangements at 31 December 2012 was as follows:

	Less than 3 months AED'000	3 months to less than 6 months AED'000	6 months to less than 1 year AED'000	1 year to less than 3 years AED'000	Over 3 years AED'000	Non-interest bearing items AED'000	Total AED'000
31 December 2012							
Assets							
Cash and balances with central banks	–	600,000	1,900,000	–	–	6,837,874	9,337,874
Deposits and balances due from banks	15,447,397	726,328	100,429	–	–	242,964	16,517,118
Trading securities	–	–	–	12,652	104,418	524,807	641,877
Derivative financial instruments	3,983,884	579,861	28,573	84,564	3,105	313,239	4,993,226
Investment securities	1,085,149	704,201	254,421	10,467,236	5,925,105	276,804	18,712,916
Loans and advances, net	88,323,143	16,359,517	1,361,422	5,454,696	20,267,701	(8,571,184)	123,195,295
Investment properties	–	–	–	–	–	529,395	529,395
Other assets	–	–	–	–	–	5,925,962	5,925,962
Property and equipment, net	–	–	–	–	–	849,934	849,934
Intangible assets	–	–	–	–	–	92,126	92,126
Total assets	108,839,573	18,969,907	3,644,845	16,019,148	26,300,329	7,021,921	180,795,723
Liabilities and Equity							
Due to banks	4,169,742	241,529	–	–	–	–	4,411,271
Derivative financial instruments	4,178,403	330,097	2,378	64,315	3,105	190,040	4,768,338
Deposits from customers	62,642,156	17,490,929	6,075,092	114,857	1,151,597	21,742,294	109,216,925
Euro commercial paper	1,801,120	1,661,344	1,094,644	–	–	–	4,557,108
Borrowings	4,758,649	1,602,726	3,712,237	5,740,469	10,325,566	–	26,139,647
Other liabilities	–	–	–	–	–	6,994,845	6,994,845
Equity	–	–	–	–	–	24,707,589	24,707,589
Total liabilities and equity	77,550,070	21,326,625	10,884,351	5,919,641	11,480,268	53,634,768	180,795,723
On-balance sheet gap	31,289,503	(2,356,718)	(7,239,506)	10,099,507	14,820,061	(46,612,847)	–
Off-balance sheet gap	(564,767)	(4,095,820)	(1,110,127)	(1,218,084)	6,988,798	–	–
Total interest-rate-sensitivity gap	30,724,736	(6,452,538)	(8,349,633)	8,881,423	21,808,859	(46,612,847)	–
Cumulative interest-rate-sensitivity gap	30,724,736	24,272,198	15,922,565	24,803,988	46,612,847	–	–

Loans and advances, net non-interest bearing items include mainly loan loss provisions and other non-interest bearing items.

43 LIQUIDITY-RISK FRAMEWORK, MEASUREMENT AND MONITORING

Liquidity risk is the risk that the Bank will be unable to meet its payment obligations associated with its financial liabilities when they fall due and to replenish the funds when they are withdrawn. The Bank's approach to managing liquidity is to ensure that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Bank's reputation.

LIQUIDITY-RISK-MANAGEMENT PROCESS

The Assets and Liabilities Committee (ALCO) of the Bank sets and monitors liquidity ratio and regularly revises and calibrates the liquidity management policies to ensure that the Bank is in a position to meet its obligations as they fall due.

The Bank's liquidity-risk-management process, as carried out within the Bank and monitored by Bank's Treasury department includes:

- monitoring of liquidity position on a daily, weekly and monthly basis. This entails forecasting of future cash inflows/outflows and ensuring that the Bank can meet the required outflows;
- regular liquidity stress-testing conducted under a variety of scenarios covering both normal and more severe market conditions with well-defined triggers and suggested actions; and
- ensuring regular compliance with the liquidity ratios such as Advance to Stable Resources (ADR) ratio stipulated by the Central Bank of UAE.

The Bank has set an internal ceiling on the ADR ratio that should not be higher than 1:1 between:

- the amount of loans and advances together with the amount of inter-bank placements with a remaining life of more than three months; and
- the amount of stable resource comprising free own funds with a remaining life of more than six months, stable customer deposits and stand-by liquidity facilities.

The above definition is in line with the Central Bank of UAE definitions of the Advance to Deposits ratio.

Monitoring composition of funding sources at a granular level has set triggers for avoiding concentration of funding sources. The concentration of funding sources is monitored as percentage of the total liability position. Some of the ratios monitored are as follows:

- Euro commercial paper to total liabilities
- Wholesale funds to total liabilities
- Money market deposits to total liabilities
- Core funds to total liabilities
- Non-core funds to total liabilities

TOOLS FOR LIQUIDITY MANAGEMENT

The Bank through its Treasury department ensures that it has access to diverse sources of funding ranging from local customer deposits from both its retail and corporate customers to long-term funding such as debt securities and subordinated liabilities.

Whilst the Bank's debt securities and sub-debt typically are issued with maturities of greater than one year, deposits from banks and customers generally have shorter maturities which increase the liquidity risk of the Bank. Treasury manages this risk by:

- diversification of funding sources and balancing between long-term and short-term funding sources through borrowing under its global medium-term notes issue programmes;
- monitoring the stickiness of the liability portfolio and rewarding business units for sticky deposits through the fund transfer pricing process; and
- investing in various short-term or medium-term but highly marketable assets in line with Basel III guidelines for high-quality liquid assets (HQLA) such as certificates of deposit with the Central Bank, investment-grade bonds that can be repurchased at short notice, etc.

Further, the Bank also has the following facilities from the Central Bank of the UAE to manage its liquidity risk during critical times:

- overdraft facility against its cash reserves at an overnight rate at a spread of 150 basis points;
- overdraft facility beyond the cash reserves at an overnight spread of 300 basis points; and
- repo facility against identified investments securities bonds for a maximum period of seven days on a renewable basis at an overnight rate with a spread of 100 basis points for CDs.

None of the above Central Bank facilities are utilised and outstanding at the end of the year.

The table below summarises the maturity profile of the Bank's assets and liabilities. The contractual maturities of assets and liabilities have been determined on the basis of the remaining period at the end of the reporting period date to the contractual maturity date, and do not take into account the effective maturities as indicated by the Bank's deposit retention history and the availability of liquid funds. The maturity profile is monitored by management to ensure adequate liquidity is maintained.

The maturity profile of the assets and liabilities at 31 December 2013 was as follows:

	Less than 3 months AED'000	3 months to less than 6 months AED'000	6 months to less than 1 year AED'000	1 year to less than 3 years AED'000	Over 3 years AED'000	Total AED'000
31 December 2013						
Assets						
Cash and balances with central banks	8,486,206	600,000	875,000	–	–	9,961,206
Deposits and balances due from banks	9,773,508	1,571,192	–	–	–	11,344,700
Trading securities	884,640	–	–	–	–	884,640
Derivative financial instruments	173,561	139,458	148,559	486,098	2,668,527	3,616,203
Investment securities	1,023,258	2,443,005	3,209,989	9,959,421	4,219,099	20,854,772
Loans and advances, net	11,640,656	6,329,907	2,678,998	16,632,585	94,366,524	131,648,670
Investment properties	–	–	–	–	560,690	560,690
Other assets	2,523,487	757,440	123,711	–	–	3,404,638
Property and equipment, net	–	–	–	–	805,322	805,322
Intangible assets	–	–	–	–	61,695	61,695
Total assets	34,505,316	11,841,002	7,036,257	27,078,104	102,681,857	183,142,536
Liabilities						
Due to banks	4,282,208	8,803	–	–	–	4,291,011
Derivative financial instruments	81,865	97,209	121,462	877,527	2,787,524	3,965,587
Deposits from customers	94,574,351	11,434,930	7,658,851	604,872	1,154,704	115,427,708
Euro commercial paper	4,073,266	417,099	1,450,070	–	–	5,940,435
Borrowings	1,653,894	491,346	6,116,537	4,558,919	10,964,872	23,785,568
Other liabilities	3,773,663	757,440	123,711	–	256,103	4,910,917
Equity	–	–	–	–	24,821,310	24,821,310
Total liabilities and equity	108,439,247	13,206,827	15,470,631	6,041,318	39,984,513	183,142,536
Balance sheet liquidity gap	(73,933,931)	(1,365,825)	(8,434,374)	21,036,786	62,697,344	–
Off-balance sheet						
Financial guarantee and irrevocable commitments	2,329,104	472,147	490,872	461,205	604,891	4,358,219

The maturity profile of the assets and liabilities at 31 December 2012 was as follows:

	Less than 3 months AED'000	3 months to less than 6 months AED'000	6 months to less than 1 year AED'000	1 year to less than 3 years AED'000	Over 3 years AED'000	Total AED'000
31 December 2012						
Assets						
Cash and balances with central banks	6,837,874	600,000	1,900,000	–	–	9,337,874
Deposits and balances due from banks	15,690,361	726,328	100,429	–	–	16,517,118
Trading securities	641,877	–	–	–	–	641,877
Derivative financial instruments	265,252	60,585	115,962	677,968	3,873,459	4,993,226
Investment securities	623,394	789,295	254,422	11,120,669	5,925,136	18,712,916
Loans and advances, net	11,350,021	5,615,131	8,945,923	15,367,342	81,916,878	123,195,295
Investment properties	–	–	–	–	529,395	529,395
Other assets	4,268,801	1,550,947	89,201	–	17,013	5,925,962
Property and equipment, net	–	–	–	–	849,934	849,934
Intangible assets	–	–	–	–	92,126	92,126
Total assets	39,677,580	9,342,286	11,405,937	27,165,979	93,203,941	180,795,723
Liabilities						
Due to banks	4,169,742	241,529	–	–	–	4,411,271
Derivative financial instruments	245,430	52,713	87,168	915,347	3,467,680	4,768,338
Deposits from customers	84,384,450	17,490,929	6,075,092	114,857	1,151,597	109,216,925
Euro commercial paper	1,661,344	1,094,644	1,801,120	–	–	4,557,108
Borrowings	2,478,511	1,602,726	3,712,237	5,933,660	12,412,513	26,139,647
Other liabilities	4,773,037	1,549,704	91,722	1,363	579,019	6,994,845
Equity	–	–	–	–	24,707,589	24,707,589
Total liabilities and equity	97,712,514	22,032,245	11,767,339	6,965,227	42,318,398	180,795,723
Balance sheet liquidity gap	(58,034,934)	(12,689,959)	(361,402)	20,200,752	50,885,543	–
Off-balance sheet						
Financial guarantee and irrevocable commitments	1,541,992	266,321	1,262,472	923,764	280,743	4,275,292

The table below summarises the maturity profile of the Bank's financial liabilities at 31 December 2013 and 2012 based on contractual undiscounted repayment obligations. As interest payments up to contractual maturity are included in the table, totals do not match with the consolidated statement of financial position. The contractual maturities of liabilities have been determined based on the remaining period at the consolidated statement of financial position date to the contractual maturity date and do not take into account the effective expected maturities. The Bank expects that many customers will not request repayment on the earliest date the Bank could be required to pay and the table does not affect the expected cash flows indicated by the Bank's deposit retention history.

	Carrying amount AED'000	Gross outflow AED'000	Less than 3 months AED'000	3 months to less than 6 months AED'000	6 months to less than 1 year AED'000	1 year to less than 3 years AED'000	Over 3 years AED'000
31 December 2013							
Liabilities							
Due to banks	**4,291,011**	**4,291,942**	**4,283,139**	**8,803**	**–**	**–**	**–**
Derivative financial instruments	**3,965,587**	**4,339,381**	**3,157,645**	**296,518**	**23,033**	**190,433**	**671,752**
Deposits from customers	**115,427,708**	**115,887,664**	**94,793,212**	**11,545,539**	**7,762,519**	**1,771,943**	**14,451**
Euro commercial paper	**5,940,435**	**5,948,973**	**4,075,207**	**417,338**	**1,456,428**	**–**	**–**
Borrowings	**23,785,568**	**27,262,021**	**1,797,738**	**680,881**	**6,232,724**	**5,420,030**	**13,130,648**
Other liabilities	**4,465,356**	**4,465,356**	**3,328,102**	**757,439**	**123,711**	**–**	**256,104**
Total financial liabilities	**157,875,665**	**162,195,337**	**111,435,043**	**13,706,518**	**15,598,415**	**7,382,406**	**14,072,955**
31 December 2012							
Liabilities							
Due to banks	4,411,271	4,424,985	4,299,151	125,834	–	–	–
Derivative financial instruments	4,768,338	4,979,176	4,361,667	35,637	81,687	418,329	81,856
Deposits from customers	109,216,925	110,410,534	84,554,590	17,753,613	6,047,438	103,245	1,951,648
Euro commercial paper	4,557,108	4,589,179	1,804,848	1,679,299	1,105,032	–	–
Borrowings	26,139,647	29,311,894	2,456,630	1,767,980	4,063,073	6,968,034	14,056,177
Other liabilities	6,765,453	6,765,453	4,543,645	1,549,704	91,722	1,363	579,019
Total financial liabilities	155,858,742	160,481,221	102,020,531	22,912,067	11,388,952	7,490,971	16,668,700

Derivative financial instruments held for trading are included in the first liquidity bucket at their fair value.

44 FOREIGN-EXCHANGE-RISK FRAMEWORK, MEASUREMENT AND MONITORING

The Bank takes on exposure to the effects of fluctuations in the prevailing foreign currency exchange rates on its financial position and cash flows. The Board of Directors sets limits on the level of exposure by currency and in aggregate for both overnight and intra-day positions, which are monitored on a daily basis. The sensitivity of currency fluctuation risk is given in Note 45. The analysis of currency concentrations of the Bank's statement of financial position are presented below:

	AED AED'000	USD AED'000	EUR AED'000	CHF AED'000	GBP AED'000	MYR AED'000	Others AED'000	Total AED'000
31 December 2013								
Assets								
Cash and balances with central banks	8,831,948	1,025,723	61	–	–	–	103,474	9,961,206
Deposits and balances due from banks	3,414,750	2,081,363	677,034	207,318	483,193	–	4,481,042	11,344,700
Trading securities	477,038	192,511	–	–	–	–	215,091	884,640
Derivative financial instruments	307,197	222,384	2	–	–	–	3,086,620	3,616,203
Investment securities	229,494	19,557,530	547,029	–	–	–	520,719	20,854,772
Loans and advances, net	107,099,884	22,049,975	18,636	–	18,817	–	2,461,358	131,648,670
Investment properties	560,690	–	–	–	–	–	–	560,690
Other assets	664,112	2,335,381	83,088	7,547	1,417	35,382	277,711	3,404,638
Property and equipment, net	801,482	–	–	–	–	–	3,840	805,322
Intangible assets	61,695	–	–	–	–	–	–	61,695
Total assets	122,448,290	47,464,867	1,325,850	214,865	503,427	35,382	11,149,855	183,142,536
Liabilities and Equity								
Due to banks	2,466,059	1,714,362	502	–	110,088	–	–	4,291,011
Derivative financial instruments	819,858	87,076	80	–	–	–	3,058,573	3,965,587
Deposits from customers	80,833,071	27,622,090	897,540	206,422	1,777,990	13	4,090,582	115,427,708
Euro commercial paper	–	2,424,180	1,568,178	618,385	1,329,692	–	–	5,940,435
Borrowings	136,315	23,037,084	554,022	–	–	–	58,147	23,785,568
Other liabilities	2,946,464	1,028,480	26,194	6,938	5,981	19,086	877,774	4,910,917
Equity	24,289,565	488,595	43,150	–	–	–	–	24,821,310
Total liabilities and equity	111,491,332	56,401,867	3,089,666	831,745	3,223,751	19,099	8,085,076	183,142,536
Net balance sheet position	10,956,958	(8,937,000)	(1,763,816)	(616,880)	(2,720,324)	16,283	3,064,779	–
Net FX position on account of FX contracts	(2,476,945)	(2,755,489)	1,773,259	634,450	2,686,374	–	138,351	–
Net FX open position	8,480,013	(11,692,489)	9,443	17,570	(33,950)	16,283	3,203,130	–

	AED AED'000	USD AED'000	EUR AED'000	CHF AED'000	GBP AED'000	MYR AED'000	Others AED'000	Total AED'000
31 December 2012								
Assets								
Cash and balances with central banks	8,458,198	820,245	–	–	2	–	59,429	9,337,874
Deposits and balances due from banks	6,491,394	3,678,451	2,240,196	24,423	380,535	19	3,702,100	16,517,118
Trading securities	303,574	165,225	–	–	–	–	173,078	641,877
Derivative financial instruments	1,687,650	3,296,701	–	–	–	–	8,875	4,993,226
Investment securities	1,011,847	16,874,292	536,665	–	–	–	290,112	18,712,916
Loans and advances, net	108,507,076	12,431,945	41,302	–	425	–	2,214,547	123,195,295
Investment properties	529,395	–	–	–	–	–	–	529,395
Other assets	562,029	5,057,635	72,195	1,728	1,461	17,044	213,870	5,925,962
Property and equipment, net	844,256	–	–	–	–	–	5,678	849,934
Intangible assets	92,126	–	–	–	–	–	–	92,126
Total assets	128,487,545	42,324,494	2,890,358	26,151	382,423	17,063	6,667,689	180,795,723
Liabilities and Equity								
Due to banks	3,660,868	585,813	644	–	69,543	–	94,403	4,411,271
Derivative financial instruments	1,673,363	3,081,585	–	–	–	–	13,390	4,768,338
Deposits from customers	76,904,028	23,682,768	1,008,000	24,327	1,617,502	14	5,980,286	109,216,925
Euro commercial paper	–	2,217,207	1,777,663	481,389	29,684	–	51,165	4,557,108
Borrowings	10,164,086	15,433,350	482,052	–	–	–	60,159	26,139,647
Other liabilities	2,077,387	4,640,721	36,570	1,032	1,730	–	237,405	6,994,845
Equity	23,896,177	733,221	54,127	–	–	–	24,064	24,707,589
Total liabilities and equity	118,375,909	50,374,665	3,359,056	506,748	1,718,459	14	6,460,872	180,795,723
Net balance sheet position	10,111,636	(8,050,171)	(468,698)	(480,597)	(1,336,036)	17,049	206,817	–
Net FX position on account of FX contracts	(4,341,149)	(438,372)	465,645	481,373	1,335,747	–	2,496,756	–
Net FX open position	5,770,487	(8,488,543)	(3,053)	776	(289)	17,049	2,703,573	–

45 MARKET RISK FRAMEWORK, MEASUREMENT AND MONITORING

Market risk is the risk that changes in market prices, such as interest rates, equity prices, foreign-exchange rates and credit spreads (not relating to changes in the obligor's/issuer's credit standing), will affect the Bank's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return on risk.

Interest-rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates.

Currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign-exchange rates.

Other price risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices (other than those arising from interest-rate risk or currency risk), whether those changes are caused by factors specific to the individual financial instrument or its issuer or by factors affecting all similar financial instruments traded in the market.

MANAGEMENT OF MARKET RISK

The Bank separates its exposure to market risk between trading and non-trading portfolios. Trading portfolios are held by the Treasury division, and include positions arising from market making and proprietary position-taking, together with financial assets and liabilities that are managed on a fair value basis.

The Bank's activities expose it primarily to the financial risk of changes in interest rates and foreign currency exchange rates. The Bank enters into a variety of derivative financial instruments to manage its exposure to interest-rate and foreign-exchange risks.

The Board of Directors has set risk limits based on the Value-at-Risk sensitivity/stress analysis and foreign-exchange open position limits, which are closely monitored by the risk management division and reported regularly to the senior management and discussed by ALCO.

Market risk is identified, measured, monitored and controlled by an independent risk control function. Market risk management aims to reduce volatility in operating performance and make the Bank's market risk profile transparent to senior management, the Board of Directors, and regulators.

Market risk management is overseen by the Management Risk and Credit Committee (MRCC) and performs the following primary functions:

- establishment of a comprehensive mark-to-market valuation policy framework;
- establishment of a comprehensive market risk policy framework;
- independent measurement, monitoring and control of market risk; and
- setting up, approval and monitoring of limits.

RISK IDENTIFICATION AND CLASSIFICATION

The MRCC approves market risk policies for the Bank. All business segments are responsible for comprehensive identification and verification of market risks within their business units. Regular meetings are held between market risk management and the heads of risk-taking businesses to discuss and decide on risk exposures in the context of the market environment.

The Bank separates its exposure to market risk between trading and non-trading categories. Trading portfolios are held by the treasury division, and include positions arising from market making and proprietary position-taking, together with financial assets and liabilities that are managed on a fair value basis.

TRADING RISK

Market risk, which includes interest-rate risk, foreign-exchange risk, equity risk and commodities and other trading risks, involves the potential decline in net income or financial condition due to adverse changes in market rates.

Trading risk includes positions that are held by the Bank's trading unit, whose main business strategy is to trade or make markets. Unrealised gains and losses on these positions are generally reported under consolidated income statement.

NON-TRADING RISK

Non-trading risk arises from execution of the Bank's core business strategies, products and services to its customers, and the strategic positions the Bank undertakes to manage risk exposures.

These exposures can result from a variety of factors including but not limited to re-pricing of gaps in assets, liabilities and off-balance sheet instruments and changes in the level and shape of market interest-rate curves.

Non-trading risk includes securities and other assets held for longer-term investment in securities and derivatives designated as hedges and used to manage the Bank's asset/liability exposures.

RISK MEASUREMENT

The following are the tools used to measure the market risk. Because no single measure can reflect all aspects of market risk, the Bank uses various matrices, both statistical and non-statistical, including sensitivity analysis.

STATISTICAL RISK MEASURES

The Bank measures the risk of loss arising from future potential adverse movements in market rates, prices and volatilities using Value-at-Risk (VaR) methodology. The VaR that the Bank measures is an estimate, using a confidence level of 99% of the potential loss that is not expected to be exceeded if the current market positions were to be held unchanged for one day. This confidence level suggests that potential daily losses in excess of the VaR measure are likely to be experienced once every hundred days. The Board has set limits for the acceptable level of risks in managing the trading book.

The Bank uses simulation models to assess the possible changes in the market value of the trading book based on historical data. VaR models are usually designed to measure the market risk in a normal market environment and therefore the use of VaR has limitations because it is based on historical correlations and volatilities in market prices and assumes that the future movements will follow a statistical distribution.

The VaR represents the risk of portfolios at the close of a business day and intra-day risk levels may vary from those reported at the end of the day. The actual trading results, however, may differ from the VaR calculations and, in particular, the calculation does not provide a meaningful indication of profits and losses in stressed market conditions.

To overcome the VaR limitations mentioned above, the Bank runs an expected shortfall daily to monitor the tail risk outside the confidence limit.

The Bank's VaR for the year ended 31 December is as below:

	2013 AED'000	2012 AED'000
Daily value at risk (VaR at 99% — 1 day)		
Overall risk	**(4,318)**	(3,697)
Average VaR	**(4,212)**	(4,343)

NON-STATISTICAL RISK MEASURES

Non-statistical risk measures, other than stress/sensitivity testing, include independent market valuations to ensure that the Bank's valuations are correct, and risk Greeks to ensure that trading is within the risk appetite thresholds. These measures provide granular information of the Bank's market risk exposures.

Independent market valuations/Greeks are validated by an independent market risk function in order to ensure that the market valuations/Greeks are measured correctly. The Bank uses first-order risk Greeks to monitor and control market risk on a day-to-day basis. The interest-rate delta and vega and the foreign-exchange delta and vega are computed daily and monitored against a limit. The Board has set limits for the delta and the vega within acceptable levels of risks in managing the trading book.

SENSITIVITY ANALYSIS

To overcome the VaR limitations mentioned under "Statistical Risk Measures" on page 130, the Bank also carries out daily stress tests/sensitivity analysis of its portfolio to simulate conditions outside normal confidence intervals in order to analyse potential risk that may arise from extreme market events that are rare but plausible. The results of the stress tests are reported regularly to the Bank's ALCO committee for their review.

CURRENCY RISK

The following table depicts the sensitivity of fair valuations in the trading and non-trading book to hypothetical, instantaneous changes in the level of foreign currency exchange rates — with other market risk factors held constant — which would have an impact on the Bank's consolidated income statement:

	2013				2012			
Price Shock in Percentage	**+10% AED'000**	**-10% AED'000**	**+10pips AED'000**	**-10pips AED'000**	+10% AED'000	-10% AED'000	+10pips AED'000	-10pips AED'000
USD-AUD	**(427)**	**(2,713)**	**3**	**(4)**	(1,831)	2,238	(21)	21
EUR-USD	**117,458**	**39,507**	**(18)**	**32**	1,760	(1,760)	13	(13)
GBP-USD	**(120)**	**120**	**(1)**	**1**	2,931	(2,931)	18	(18)
USD-JPY	**(126)**	**154**	**–**	**–**	(155)	189	–	–
USD-CHF	**3,794**	**19,346**	**(16)**	**18**	41	(50)	–	–
USD-INR	**(18,012)**	**22,015**	**(3)**	**3**	(18,690)	22,843	(4)	4

MARKET RISK — TRADING BOOK

The following table depicts the sensitivity of fair valuations in the trading book to hypothetical and instantaneous changes in the level of interest rates — with other market risk factors held constant — which would have an impact on the Bank's consolidated income statement:

Relative instantaneous rate move shift for all tenors:

	2013		2012	
	+25% AED'000	**-25% AED'000**	+25% AED'000	-25% AED'000
AED	**(17,689)**	**29,346**	(38,062)	51,390
USD	**11,955**	**(20,087)**	35,859	(42,401)
Total	**(5,734)**	**9,259**	(2,203)	8,989

MARKET RISK — NON-TRADING BOOK

The following table demonstrates the sensitivity to a reasonable possible change in interest rates, with all other variables held constant, and the impact on the Bank's consolidated income statement for the non-trading portfolio.

The sensitivity on the consolidated income statement is the effect of the assumed changes in interest rates on the net interest income for one year, based on the floating-rate non-trading financial assets and financial liabilities, including the effect of hedging instruments.

	2013		2012	
	+25 bps AED'000	**-25 bps AED'000**	+25 bps AED'000	-25 bps AED'000
Sensitivity of net interest income	**26,783**	**(26,783)**	27,918	(27,494)

46 OPERATIONAL RISK MANAGEMENT

Operational risk is the risk of loss resulting from inadequate or failed internal processes, people and systems or from external events. Operational risks can expose the Bank to potentially large losses. While the Bank cannot eliminate all operational risks, it has developed a comprehensive process of identifying, assessing, controlling/mitigating, monitoring and reporting operational risk.

The ultimate responsibility for Bank-wide operational risk management, as well as compliance with laws and regulations, rests with the Board of Directors (BoD), though this responsibility has been delegated to the senior management. Ongoing management of operational risk is coordinated by the Operational Risk Management Department (ORMD) and reviewed/controlled by MRCC and MEC as applicable for policy purposes.

The Operational Risk Governance Framework is built on a number of elements which allow the Bank to effectively manage and measure its operational risk profile and to calculate the amount of operational risk capital that the Bank needs to hold to absorb potential losses.

The Internal Audit function provides further independent review of the Bank's operational risk management processes, systems and controls and reports to the Board and senior management.

47 FOREIGN CURRENCY BALANCES

Net assets amounting to the Indian rupee equivalent of AED 201,907 thousand (31 December 2012 — AED 202,577 thousand) held in India are subject to the exchange control regulations of India.

48 TRUST ACTIVITIES

As at 31 December 2013, the net asset value of the funds under the management of the Bank amounted to AED 1,910,018 thousand (31 December 2012 — AED 1,893,972 thousand).

49 SUBSIDIARIES

The following entities have been treated as subsidiaries for the purpose of consolidation as per the Bank's accounting policy as disclosed in Note 3.5. The Bank's interests, held directly or indirectly, in the subsidiaries are as follows:

Name of subsidiary	Ownership interest	Incorporation		Principal activities
		Year	Country	
Al Dhabi Brokerage Services L.L.C.	100%	2005	UAE	Agent in trading of financial instruments and stocks.
Abu Dhabi Commercial Properties L.L.C.	100%	2005	UAE	Real estate property management and advisory services.
Abu Dhabi Commercial Engineering Services L.L.C.	100%	2007	UAE	Engineering services.
ADCB Holdings (Cayman) Limited	100%	2008	Cayman Islands	Holding company.
ADCB Holdings (Labuan) Limited	100%	2008	Malaysia	Holding company.
ADCB Holdings (Malaysia) Sdn Bhd	100%	2008	Malaysia	Investment holding company.
ADCB Finance (Cayman) Limited	100%	2008	Cayman Islands	Treasury financing activities.
Abu Dhabi Commercial Islamic Finance Pvt.J.S.C.	100%	2009	UAE	Islamic Banking.
Abu Dhabi Commercial Property Development L.L.C. (*)	100%	2006	UAE	Property development.
Abu Dhabi Commercial Properties Consultancy L.L.C. (*)	100%	2008	UAE	Real estate consultancy.
Abu Dhabi Commercial Finance Solutions L.L.C.	100%	2005	UAE	Financial investments.
Abu Dhabi Commercial Investment Services L.L.C.	100%	2005	UAE	Financial investments.
Abu Dhabi Commercial Bank (UK Representative Office) Limited (*)	100%	2008	United Kingdom	Process service agent.
Kinetic Infrastructure Development L.L.C.	100%	2006	UAE	Infrastructure projects and real estate development.
ADCB Fund Management S.A.R.L.	100%	2009	Luxembourg	Fund management company.
Al Nokhitha Investments Feeder Fund	95.41%	2009	Luxembourg	Mutual fund.
MSCI UAE Index Fund Feeder Fund	99.90%	2009	Luxembourg	Mutual fund.
Arabian Index Feeder Fund	95.77%	2009	Luxembourg	Mutual fund.
ACB LTIP (IOM) Limited	Controlling interest	2008	Isle of Man	Trust activities.
AD NAC Ventures W.L.L.	99.75%	2012	Bahrain	Trust activities.
ITMAM Services L.L.C.	100%	2013	UAE	Transaction processing and back office support for related parties.
Abu Dhabi Commercial Enterprises L.L.C.	100%	2013	Qatar	Engineering services.
ADCB Services FZ-L.L.C.	100%	2010	UAE	Transaction processing and back office support for related parties.
ADCB Islamic Finance (Cayman) Limited	100%	2011	Cayman Islands	Islamic financing activities.
ADCB Arabian Index Fund (**)	17.58%	2008	UAE	Mutual fund.
ADCB MSCI UAE Index Fund (**)	43.36%	2007	UAE	Mutual fund.
Al Nokhitha Fund (**)	23.77%	2005	UAE	Mutual fund.

(*) These subsidiaries are dormant.

(**) ADCB Arabian Index Fund, ADCB MSCI UAE Index Fund and Al Nokhitha Fund are accounted for as subsidiaries under IFRS 10 because the Bank's direct ownership interests in the Funds exposes it to significant variable returns and its role as investment manager of the Funds gives it the ability to affect these returns. Financial information related to the three funds is as follows:

	2013 AED'000	2012 AED'000
Total assets	**935,072**	611,566
Total liabilities	**3,367**	2,429
Total operating income	**358,256**	102,387
Net profit	**346,273**	92,937

50 CAPITAL ADEQUACY AND CAPITAL MANAGEMENT

CAPITAL MANAGEMENT PROCESS

The Bank's objectives when managing capital, which is a broader concept than the 'equity' on the face of statement of financial position, are:

- to comply with the capital requirements set by the Central Bank of United Arab Emirates;
- to safeguard the Bank's ability to continue as a going concern and increase the returns for the shareholders; and
- to maintain a strong capital base to support the development of its business.

Capital adequacy and the use of regulatory capital are monitored on a regular basis by the Bank's management, employing techniques based on the guidelines developed by the Basel Committee and the Central Bank of United Arab Emirates. The required information is filed with the regulators on a regular basis as required under Basel II standards.

The UAE Central Bank, through its circular No. 27/2009 dated 17 November 2009, informed all the banks operating in the UAE to implement the Standardised approach of Basel II from the date of the circular. For credit and market risk, the Central Bank has issued guidelines for implementation of the Standardised approach and banks are required to comply and report under Pillar 2 — Internal Capital Adequacy Assessment Process (ICAAP) requirements since March 2010. For operational risk, the Central Bank has given banks the option to use the Basic Indicators approach or the Standardised approach and the Bank has chosen to use the Standardised approach.

The Bank currently uses the approach defined below for Pillar 1 reporting:

Credit risk: The Standardised approach is used by the Bank in calculating its capital requirements for credit risk. This approach allows the use of external ratings from designated credit rating agencies, wherever available, in determining the appropriate risk weights. The risk weight is determined by the asset class and the external rating of the counterparty. The net exposure incorporates off-balance sheet exposures after applying the credit conversion factors (CCF) and credit risk mitigants (CRM).

Market risk: For the regulatory market risk capital requirement, the Bank uses the standardised approach.

Operational risk: The Bank uses the standardised approach for computing capital requirement for operational risk.

The Bank also prepares an annual comprehensive ICAAP (Internal Capital Adequacy Assessment Process) document. This document is a detailed assessment by the Bank of its risk profile, approaches to assess and measure various material risks, and capital planning under regular and stress scenarios.

The Bank's capital management is driven by short- and long-term strategies and organisational requirements with due consideration to the regulatory, economic and commercial environment in which the Bank operates.

The Bank seeks to optimise returns on capital, and its objective has always been to maintain a strong capital base to support business development and to meet regulatory capital requirements at all times.

CAPITAL SUPPLY

As per Basel II requirements, capital should comprise the following:

Tier 1 capital includes paid-up share capital, share premium, published reserves (including post-tax retained earnings but excluding the positive balance of cumulative changes in fair value), hybrid Tier 1 instruments (with prior approval from Central Bank) and non-controlling interests in the equity of subsidiaries less than wholly-owned.

Deductions are made from Tier 1 core capital as per the the Basel/Central Bank of UAE rules and include goodwill and other intangibles at net book value, adjustments for the cumulative effect of foreign currency translation, the negative balance of cumulative changes in fair value, own shares held — at net book value (taking account of any provisions made against the acquisition value), current year loss/retained losses, shortfalls in provisions and other deductions to be determined by Central Bank of UAE.

Tier 2 capital includes collective provisions per Basel and UAE Central Bank norms, undisclosed reserves, asset revaluation reserves/cumulative changes in fair value, hybrid (debt/equity) capital instruments and subordinated term loans.

Tier 3 capital includes principal forms of eligible capital to cover market risks and consists of shareholders' equity and retained earnings (Tier 1 capital) and supplementary capital (Tier 2 capital). Subject to prior approval from the Central Bank of the UAE, banks may employ a third tier of capital (Tier 3), consisting of short-term subordinated debt as defined in paragraph 49(xiv) of Basel II, for the sole purpose of meeting a proportion of the capital requirements for market risks, subject to the conditions in paragraph 49(xiii) and 49(xiv).

SECURITISED ASSETS

Exposures to securitised assets that are rated B+ and below (long term), below A3/P3 (short term), or are un-rated are deducted from the capital base and the deductions will be 50% from Tier 1 and 50% from Tier 2 capital.

CAPITAL ALLOCATION

The allocation of capital between specific operations and activities is, to a large extent, driven by optimisation of the return achieved on the capital allocated. The amount of capital allocated to each operation or activity is based primarily upon the regulatory capital and the Bank's business strategy, but in some cases the regulatory requirements do not reflect fully the varying degree of risk associated with different activities. In such cases the capital requirements may be flexed to reflect differing risk profiles, subject to the overall level of capital to support a particular operation or activity not falling below the minimum required for regulatory purposes. The process of allocating capital to specific operations and activities is undertaken independently of those responsible for the operation by Bank Risk & Credit and Finance functions and is subject to review by the ALCO as appropriate.

CAPITAL ADEQUACY RATIO

The ratio calculated in accordance with Basel II is as follows:

	31 December 2013 AED'000	31 December 2012 AED'000
Tier 1 capital		
Share capital (Note 20)	**5,595,597**	5,595,597
Share premium	**3,848,286**	3,848,286
Other reserves, net of treasury shares (Note 21)	**4,784,282**	5,871,743
Retained earnings	**5,597,275**	4,537,315
Non-controlling interests in equity of subsidiaries	**644,712**	437,800
Capital notes (Note 24)	**4,000,000**	4,000,000
Less: Intangible assets (Note 14)	**(61,695)**	(92,126)
Less: Securitisation exposures	**–**	(27,547)
Total Tier 1 capital	**24,408,457**	24,171,068
Tier 2 capital		
Collective impairment allowance on loans and advances	**1,684,495**	1,601,418
Cumulative changes in fair value (Note 21)	**158,021**	187,582
Tier 2 loan (Note 18)	**–**	5,293,965
Subordinated notes (Note 18)	**4,904,727**	670,286
Less: Securitisation exposures	**–**	(27,547)
Total Tier 2 capital	**6,747,243**	7,725,704
Total regulatory capital	**31,155,700**	31,896,772
Risk-weighted assets		
Credit risk	**134,759,561**	128,113,458
Market risk	**4,890,071**	3,749,544
Operational risk	**7,216,753**	6,526,611
Total risk-weighted assets	**146,866,385**	138,389,613
Capital adequacy ratio	**21.21%**	23.05%
Tier 1 ratio	**16.62%**	17.47%
Tier 2 ratio	**4.59%**	5.58%

The capital adequacy ratio was above the minimum requirement of 12% for 31 December 2013 (31 December 2012 — 12%) stipulated by the Central Bank of the UAE.

Tier 1 capital comprises the following resources:
Ordinary shareholders' funds, which include the cumulative proceeds from the issuance of ordinary shares at their nominal value net of treasury shares arising on consolidation of funds and buyback of own shares. These instruments confer a share of ownership in the bank, and carry no obligations.

(a) Statutory and legal reserves:

(i) Statutory reserve: As required by Article 255 of UAE Federal Commercial Companies Law No. 8 of 1984 (as amended), 10% of the net profit for the year is transferred to the statutory reserve. The Bank may resolve to discontinue such annual transfers when the reserve equals 50% of the nominal value of the paid-up share capital. Accordingly, an amount of AED 336,531 thousand has been transferred to statutory reserve during the year (31 December 2012 — AED 273,581 thousand). The statutory reserve is not available for distribution.

(ii) Legal reserve: In accordance with the Article 82 of Union Law No. 10 of 1980 and Article 84 of the Memorandum and Articles of Association of the Bank, 10% of the net profit for the year is transferred to the legal reserve. The Bank may resolve to discontinue such annual transfers when the reserve equals 50% of the nominal value of the paid-up share capital. Accordingly, an amount of AED 336,531 thousand has been transferred to legal reserve during the year (31 December 2012 — AED 273,581 thousand). The legal reserve is not available for distribution.

(b) General reserve and contingency reserves:

(i) General reserve: In accordance with Article 84 of the Memorandum and Articles of Association of the Bank, a further percentage of net profit for the year can be transferred to the general reserve based on the recommendation of the Board of Directors. The Bank may resolve to discontinue such annual transfers when the reserve equals 25% of the nominal value of the paid-up share capital. This reserve may only be used for the purposes recommended by the Board of Directors and approved by the shareholders.

(ii) Contingency reserve: The contingency reserve is established to cover unforeseen future risks or contingencies which may arise from general banking risks.

(c) Employees' incentive plan shares: The Bank grants equity-settled share-based payments to employees. These shares are acquired by the Bank for its employees and are deducted from capital.

(d) Foreign currency translation reserve: The translation reserve comprises all foreign-exchange differences arising from the translation of the financial statements of foreign operations.

(e) Retained earnings which represent the cumulative profits not distributed to shareholders, and other eligible reserves.

(f) Non-controlling interests in equity of subsidiaries.

(g) Capital notes: In February 2009, the Department of Finance, Government of Abu Dhabi subscribed to ADCB's Tier 1 regulatory capital notes with a principal amount of AED 4,000,000 thousand (the "Notes"). The Notes are non-voting, non-cumulative perpetual securities for which there is no fixed redemption date. Redemption is only at the option of the Bank.

Deductions from Tier 1 resources include intangible assets and 50% of securitisation exposures.

Tier 2 capital comprises the following resources:

(a) Collective impairment on loans and advances limited to 1.25% of credit risk–weighted assets.

(b) Cumulative changes in fair value — The cumulative changes in fair values include the cumulative net change in the fair value of available-for-sale investments measured at fair value through other comprehensive income. However, it is limited to 45% if the balance is positive. But if the balance is negative, the entire balance is adjusted in Tier 1 capital.

(c) Eligible subordinated borrowings (Note 18).

Deductions from Tier 2 resources include 50% of securitisation exposures.

51 LEGAL PROCEEDINGS

The Bank is involved in various legal proceedings and claims arising in the ordinary course of business. While the outcome of these matters cannot be predicted with certainty, management does not believe that these matters will have a material adverse effect on the Bank's consolidated financial statements if settled unfavourably.